2022
ANNUAL REPORT

بنك الشـــارقـــة
Bank of Sharjah

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His Highness
Sheikh Khalifa bin Zayed Al Nahyan
President of the United Arab Emirates



His Highness
Sheikh Mohammed bin Rashid Al Maktoum
Vice President and Prime Minister of the
United Arab Emirates and Ruler of Dubai



His Highness
Dr. Sheikh Sultan bin Muhammad Al Qasimi
Member of the Supreme Council, Ruler of Sharjah
and its Depedencies Honorary Chairman

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BOARD OF DIRECTORS

BOARD OF DIRECTORS



HONORARY CHAIRMAN
His Highness, Doctor Sheikh Sultan Bin Mohammed Al-Qasimi



CHAIRMAN
Sheikh Mohammed Bin Saud Al Qasimi



DEPUTY CHAIRMAN
Sheikh Saif Bin Mohammed Bin Butti Al Hamed



Non-Executive Director
H.E. Humaid Nasser Al Owais



Mr. Abdulaziz Hassan Al Midfa
Independent Non-Executive Director



Mr. Salem Humeid Al Ghamai
Independent Non-Executive Director



Mr. Saud Abdul Aziz Al Besharah
Non-Executive Director



Mr. Abdulla Mohamed AlFahim
Independent Non-Executive Director



Mr. Abdulaziz Mubarak Al Hasawi
Non-Executive Director



Mr. Salah Ahmed Abdalla Al Noman (Al Shamsi)
Independent Non-Executive Director



Mr. Amer Khansaheb
Independent Non-Executive Director



Mr. Waleed Al Sayegh
Independent Non-Executive Director



Group CEO
Mr. Varouj Nerguizian

CHAIRMAN'S SPEECH TO THE GENERAL ASSEMBLY NO.50. 4 MAY 2023

DEAR VALUED SHAREHOLDERS,

On behalf of the Board of Directors of Bank of Sharjah, I am pleased to welcome you to the 50th General Assembly Meeting, which is held this year at the eve of a historic milestone, as we will be celebrating the golden jubilee of our Bank later this year.

Allow me to express the Board's sincere appreciation for your continuous support and great confidence in the Bank over five decades. This has constituted the omen of our success and our ability to overcome all challenges and build a record full of achievements that we are proud of, all-the-while looking forward to a bright and prosperous future.

For 49 years of unwavering dedication, perseverance and innovation, Bank of Sharjah has established itself as a leading financial institution, serving the diverse needs of its customers and communities. During the past five decades, Bank of Sharjah has actively participated in the critical role of shaping the UAE banking industry, by offering innovative financial solutions, exceptional customer service and promoting economic growth.

We take immense pride in our legacy of contributing to the communities we serve, and in our commitment to responsible banking. Our focus on sustainability and corporate social responsibility is unwavering, and we will continue to play an active role in creating a better future for all.

I take this opportunity to extend on your behalf and on behalf of the Board, our sincere gratitude and respect to H.H. Sheikh Mohammed bin Zayed Al Nahyan, UAE President and Ruler of Abu Dhabi, H.H. Sheikh Mohammed bin Rashid Al Maktoum, Vice-President Prime Minister & Ruler of Dubai, H.H. Sheikh Mansour bin Zayed Al Nahyan Vice-President Deputy Prime Minister & Minister of the Presidential Court, and H.H. Sheikh Dr Sultan bin Mohammed Al Qasimi, Ruler of Sharjah, & Their Highnesses the Rulers and Members of the Supreme Council, for their wise leadership of our beloved country and their valuable efforts to achieve security, stability and prosperity for all.

In 2022, the world was preoccupied with the outbreak of the war in Ukraine and its repercussions on security, and political and economic levels, at a time the global economy was striving to recover from the Covid-19 pandemic, which forced deep and radical changes to business markets in various fields, especially after the rise of new concepts such as artificial intelligence, digital transformation, and the adoption of cryptocurrencies and blockchain technology.

2022 was a distinguished year for the UAE, as it imposed itself as a main player on the economic and financial level, regionally and internationally, after the conclusion of the Expo 2020 in March with the participation of 192 countries leading to comprehensive economic partnership agreements, alongside the rise in real estate prices, and the progress in numerous fields, especially those related to tourism, investment and services.

The UAE is also proud of being among the leading countries in the field of sustainability, as best evidenced by the pioneering projects and initiatives that were accomplished during the year 2022, which qualified it to host the COP 28 conference next November.

Before touching on the Bank's financial results for the year 2022, we are pleased to announce the proposal to increase the Bank's capital by issuing 800 million shares at par in favour of the Government of Sharjah represented by Sharjah Asset Management, as a strategic shareholder. This will raise their shareholding in the bank from 17.16% to about 40%, raising the paid-up capital of the Bank from AED 2.2 to AED 3 Billion.

I am also pleased to announce that the Bank succeeded in issuing USD 500M, 5-year unsecured bonds in March 2023 under the EMTN Programme, just before the latest global banking turmoil.

In 2022, the Bank achieved a net profit of AED 245 million compared to AED 225 million for 2021; unfortunately, the application of the accounting standards IAS 29 and 21 has converted these Profits into losses of AED 159 million, an accounting anomaly that will only be corrected once the currency peg is removed in Lebanon.

On behalf of the Board of Directors of Bank of Sharjah and on your behalf, I would like to present our deepest gratitude to His Highness Sheikh Dr Sultan bin Mohammed Al Qasimi, Member of the Supreme Council and Ruler of Sharjah, our Honorary President, for his unwavering patronage and support.

I would like also to thank all our Clients and Correspondents around the world and the financial authorities in the country, in particular the Central Bank of the United Arab Emirates, the Securities and Commodities Authority (SCA) and the Abu Dhabi Securities Exchange (ADX) for their trust and the prevailing spirit of extensive cooperation.

A word of great appreciation to the outgoing members of the Board, His Excellency Humaid Nasser Al Owais, Mr. Abdulaziz Al Midfa and Mr. Saud Al Besharah, for their decades of contribution to the success of the Bank.

Finally, I would like to emphasise the Board of Directors' continued support for the Bank's management and employees, and thank them for their tireless efforts and dedication to the Bank. I would also like to share a special thanks to Mr. Varouj Nerguizian, who has led the Bank as Group CEO for the last 30 years and has kindly accepted to remain as Senior Advisor to the Board.

I have the honour to present to you the report of the Board of Directors for the year 2022.

Mohammed Bin Saud Al Qasimi
Chairman



BOARD OF DIRECTORS' REPORT TO THE GENERAL ASSEMBLY

BOARD OF DIRECTORS REPORT TO THE ASSEMBLY GENERAL MEETING NO.50 THURSDAY 4 MAY, 2022

2022, was one of the most pivotal years in the post-World War II era, a reminder to 1989, which witnessed the fall of the Berlin Wall; to 1991, when the Soviet Union collapsed; to 2001 with the bombing of the New York World Trade Centre towers; and to 2008, which witnessed the collapse of the global financial markets. Severe strain to international relations was followed by the Russia-Ukraine war starting in February 2022, with a potential to extend further into Europe and beyond within continued and forthcoming global tensions, at a time when the world economy struggles to recover from the repercussions of the Covid-19 pandemic.

On the other hand, the year witnessed positive changes, the most prominent of which were transformations in energy sources and the transition to clean energy. There has also been an improvement in climate policies and laws. Representatives of the participating countries in the Climate Conference (COP 27) held in Sharm El-Sheikh in November agreed to establish a fund to compensate for losses and damages incurred by developing countries as a result of climate change, which was an encouraging signal of hope.

Moreover, scientists in the United States of America succeeded in producing nuclear fusion, a milestone for the future of clean energy. This achievement heralds the possibility of ending the dependence on fossil fuels in the next 30 years.

The Qatar World Cup 2022 and its pristine organization gave a boost to the pride of the Arab world calming regional tensions and soothing relations. It also brought to light the changing concept and world view of the role of women, as French Stephanie Frappart became the first woman “referee” (one out of three), in the men’s World Cup. The organization of the event by Qatar constituted an important catalyst for the economies of the GCC countries.

In October 2022, Lebanon and Israel finally signed a unique tripartite agreement mediated by the United States of America to define the demarcation of their maritime borders. Israel retained the Karish gas field and Lebanon got the Qana gas field with the adoption of Line 23 as a demarcation for their exclusive economic zones. Under this agreement, Total will pay 17% of the net revenues of the Qana gas field to Israel. This agreement could not happen without the tacit acquiescence of hostile parties and constitutes the first step towards resolving Lebanon’s financial problems and with time usher peace in the region.

It remains evident that the challenges of the region will extend into 2023, while Arab countries will remain in a “status quo” of no war and no peace, and in a political stalemate that can only be resolved by far reaching and focussed initiatives, with the backing of regional and global players; especially Russia, China, the United States of America and Europe.

Did Russia go into war against Ukraine or was it dragged into it? The neutrality of Ukraine, an unkept promise from the Reagan era, with more and more European countries aspiring to join NATO gradually became for Russia an existential treat. In February 2022, Russian forces entered Ukraine annexing large regions by armed force; Europe and the United States mobilised extensive military support in favour of Ukraine under the motto of defending democracy against tyranny, introducing crippling sanctions and mobilising the western media and social networks short of full direct military intervention.

As a result, NATO which was suffering from disparity and bickering among its members, became the beacon of military defence, attracting new members and worrying other regional powers at the expected expansion of its reach.

Despite the field progress of the Russian army in Ukraine, the latter was staggered by the level of Ukrainian resistance and sacrifice. This war revealed the inferiority of the Russian military equipment compared to their counterpart from Western countries. As a result, the aura and legend of the strength built around the Russian army was shaken.

For countries considering building a European force capable of defending the continent independently from the Americans, it became obvious that American support remains essential.

The war in Ukraine had devastating collateral consequences. The disruption of the supply chain from Ukraine threatened global food security and the spread of famine in developing countries, with grain and other agricultural products hardly reaching African and Middle Eastern countries. However, the rapid Turkish diplomatic initiatives with the warring factions to find special arrangements led to the receding of the crisis and helped contain its effects.

Oil and gas prices have seen unprecedented levels, bringing with them inflation and fear of a cold winter in Europe. The United States started supplying gas to Europe, albeit at four times the market price, while simultaneously demanding OPEC+ not to cut production in order to lower the price of oil. However, OPEC+, despite veiled warnings tantamount to retaliatory threats by Congress, reduced production by 2 million barrels a day.

In the United States, the results of the midterm elections explicitly highlighted that American society has overcome the extremism of the Democratic left and the hard-line of the Republican right, after many disturbing indicators during former President Donald Trump's term that questioned government institutions, especially the security ones, the integrity of the elections, and resorted to civil violence, as evidenced by the attack on Capitol. These events constituted a blatant threat to the principles of freedom and democracy that the United States stoically promotes.

This threat to democracy reached Europe itself with the remarkable escalation of extreme right-wing movements in Sweden, Italy and Hungary where they gained power, and France and Germany witnessed acts of violence against foreigners and calls to stop the "open borders" policy.

On September 8, 2022, Queen Elizabeth II died at the age of 96, seventy years after she ascended the royal throne in 1952. The departure of the legendary queen brought about a profound change in the political scene in Britain because of her strong influence and presence at the European and global levels. Prince Charles was declared King of Britain, succeeding the late Queen.

While the world was bidding farewell to Queen Elizabeth, the United Kingdom experienced an unprecedented state of political confusion, after Prime Minister Liz Truss failed to go through with her financial and economic plan after only six weeks of assuming office, which forced her to resign, to be succeeded at the end of October by Richie Sunak, the first prime minister of Asian descent, and the fifth prime minister of the UK since the referendum on its exit from the European Union in 2016.

In addition to its international isolation due to its nuclear ambitions and its quest for hegemony in the Middle East in several countries, including Yemen, Iraq, Syria and Lebanon, Iran witnessed in the year 2022 a destabilizing internal crisis with the outbreak of a wild protest movement and a feminist and youth uprising, reaching the point of calling for the fall of the regime following the killing of 22-year-old Mahsa Amini, by the morality police.

The demonstrations calling for women's freedom gradually turned into a broader movement against the Islamic regime, with protests in the streets, universities and schools, spreading to all cities of Iran despite the campaign of repression and random executions. In early December, the Iranian authorities announced the suspension of the morality police, and former President Khatami called for easing tensions and responding to popular demands.

In 2022, China also suffered from crises, most notably what Beijing's policy revealed in terms of the inability to combat the "Covid-19" pandemic, from the weak effectiveness of their vaccines used, the border closure policy and its repercussions on manufacturing, and the resulting social and economic crises such as high debts, many bankruptcies, a real estate crisis and a rise in commodity prices and food.

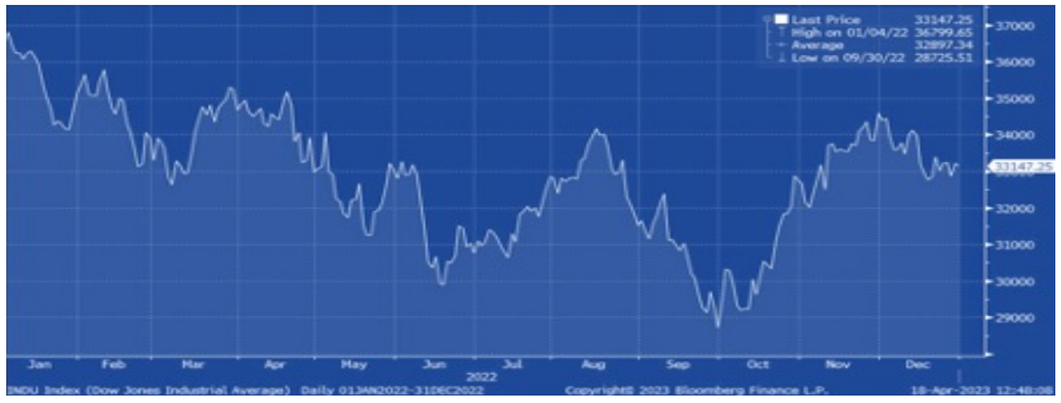
Markets Review 2022

International equity, currency, commodity and interest rate markets during 2022 were largely dominated by two particular factors:

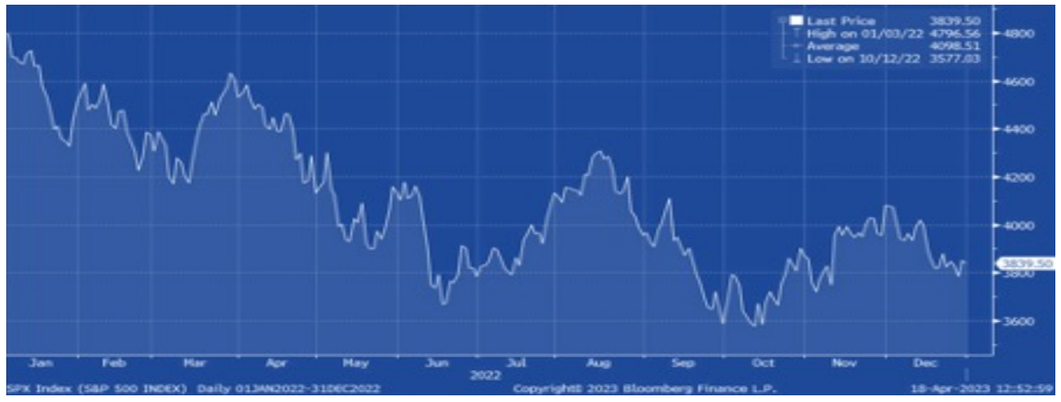
1. The pace and effect of the US Fed interest rate increases
2. The war in Ukraine and the follow-on effects on global markets

Equity markets continued to rally into the Q4, albeit with significant bouts of volatility. The Tech sector still remains, relatively speaking, under pressure, and characterised by a widespread reduction in the labour force as the pandemic-related hiring spree is reversed as consumers return, somewhat, to brick-and-mortar stores, and spending on services.

Dow Jones Industrial Average

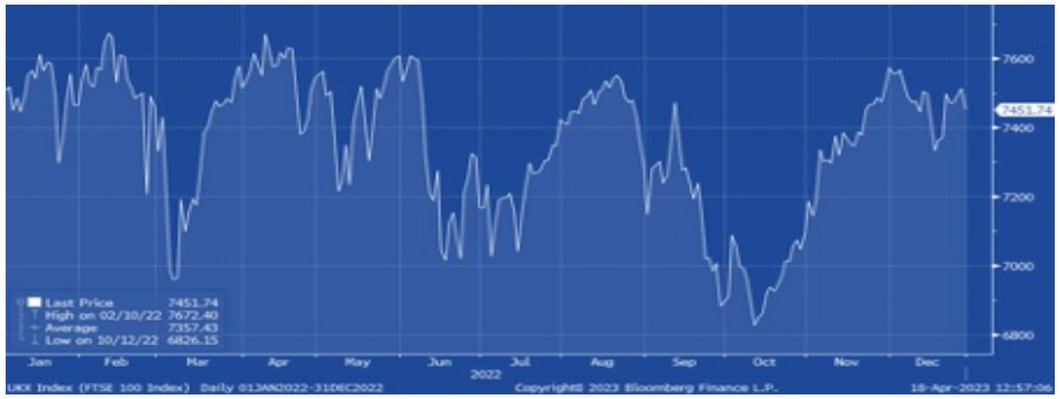


S&P 500 Index

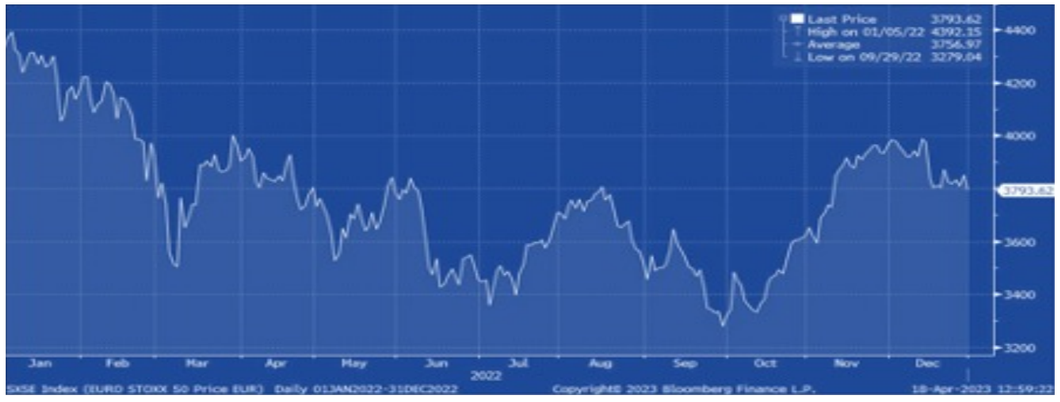


European equity markets have outperformed their US cousins, as a widely-feared winter energy crisis failed to materialise due to mild weather conditions and the successful replacement of Russian gas from alternative sources. The relative strength of the Euro, and other currencies, against the US Dollar has also served to underpin asset values.

FTSE 100 Index

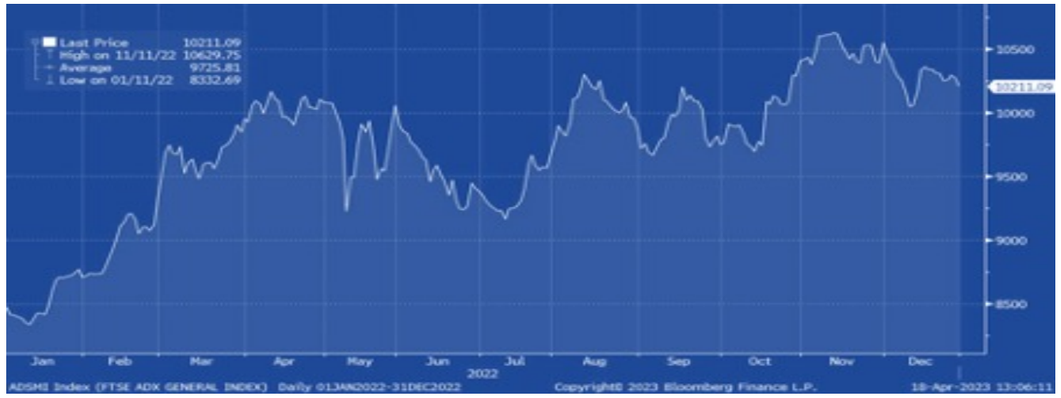


Euro Stoxx 50 Equity Index

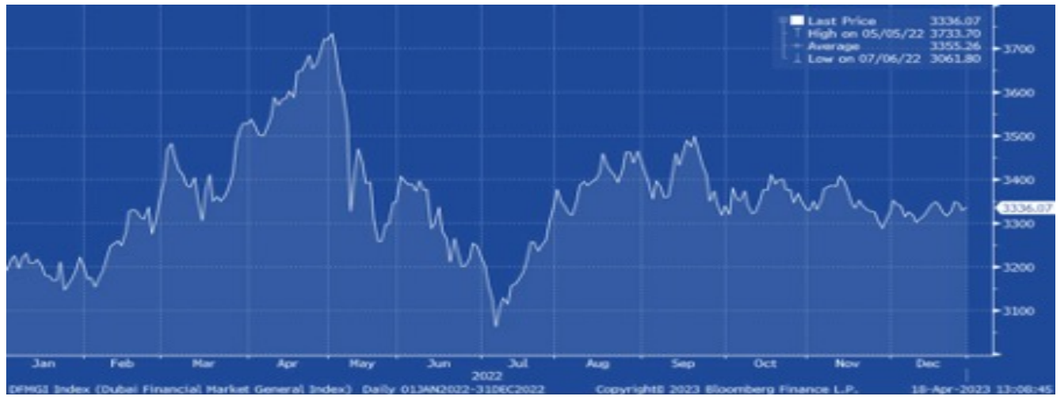


Abu Dhabi equity markets outperformed international markets in the second half of 2022. The high oil prices and multiple succesful local IPO's during the year added significant liquidity and depth to the market.

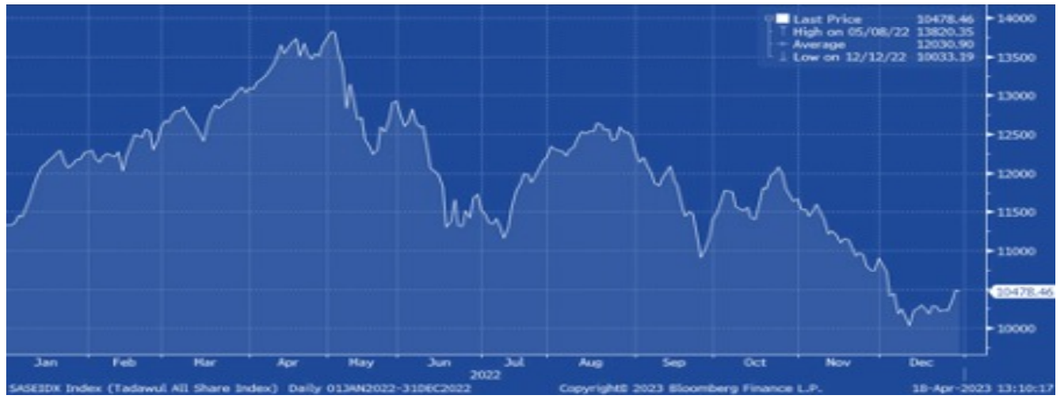
Abu Dhabi ADX General Index



Dubai Financial Market General Index

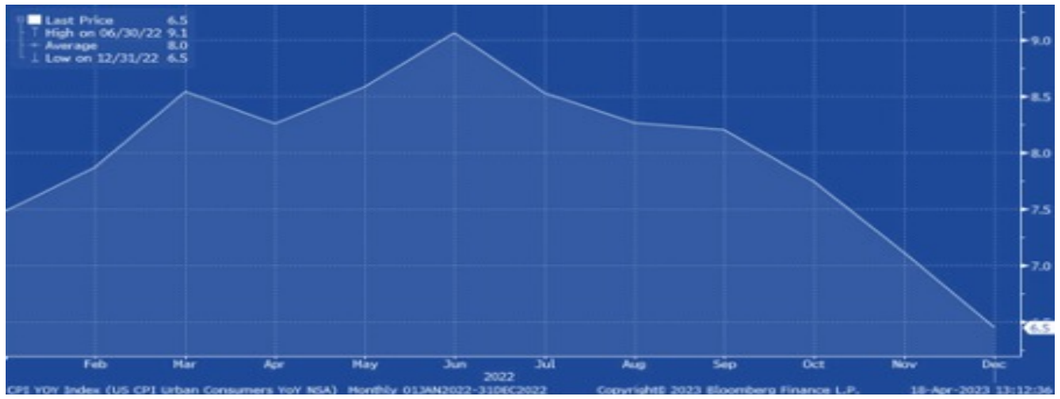


Saudi Arabia Tadawul All Share Index



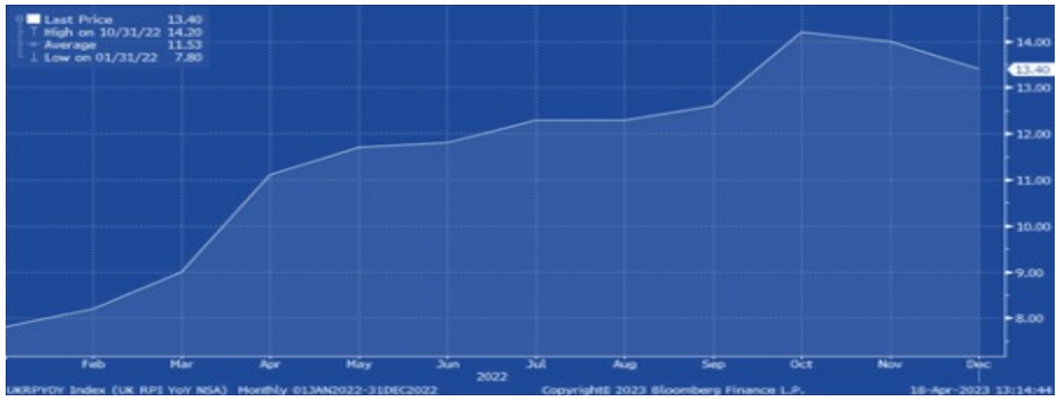
US consumer price inflation index has declined markedly, and quickly, from the peak of 9.1% seen in June 2022 to 6.5% in December 2022, as energy prices fell from the peaks seen in the immediate aftermath of the onset of the Ukraine war; base effects from the year-on-year comparisons in the data series added to the declining trend; and other commodity prices fell as pandemic supply chain-related disruptions eased.

US Consumer Price Inflation



However, this most recent reading has seen a deceleration in the decline, as energy prices rose again in January, and other concurrent economic data releases depicted a robust US employment market and strong consumer spending. Inflation appears to have migrated from the commodity complex, or the “non-sticky” component of the phenomenon, to the more “price-sticky” elements in the services sector.

UK Retail Price Inflation



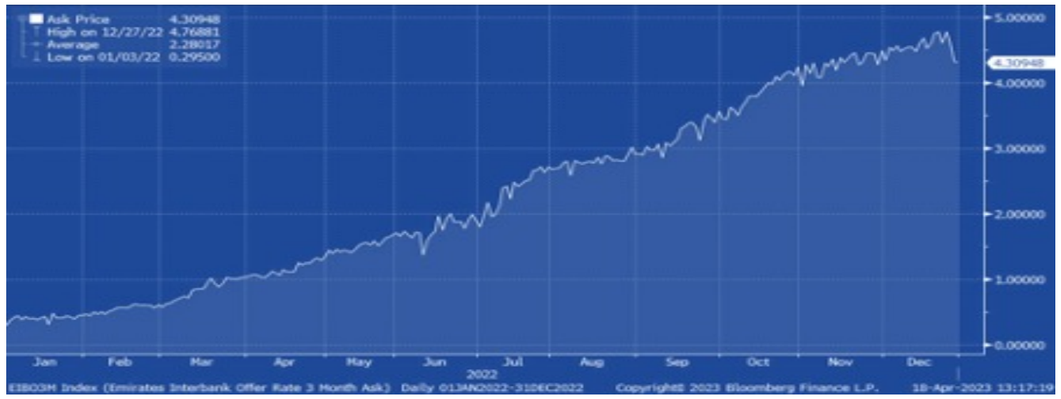
Since March 2022, the US Federal Reserve has raised rates by a total of 450 basis points, moderating the pace of increases to 50 bps and 25 bps in the two final hikes of 2022. The UAE central bank has matched the rate increases and other central banks in Europe, Australia, Canada, New Zealand, South Korea and the UK have also raised rates.

US Fed Funds Rate



3-month EIBOR rates have moved up in tandem with US rates, to 4.75%, from the 0.30% level at the beginning of the year.

3-Month UAE EIBOR



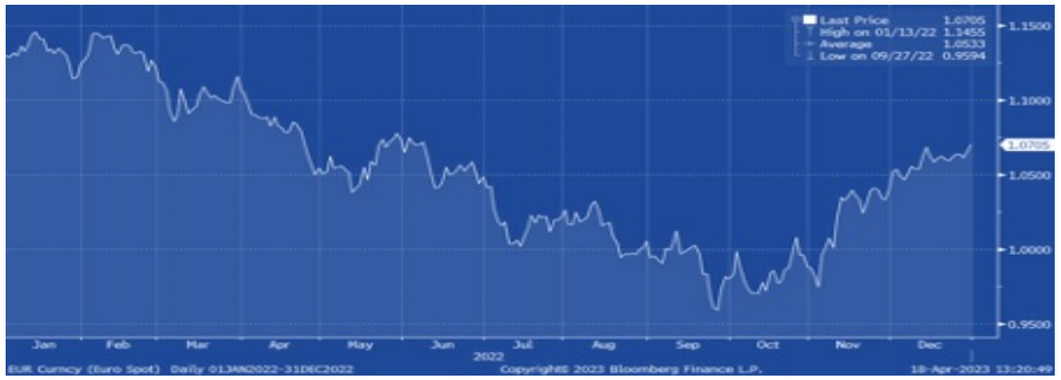
US Treasury yields steadily increased from August to October in 2022, markets re-assessed the summer months’ expectation that inflation had peaked, and were taken aback by the Fed’s aggressiveness in the interest rate raising cycle. 10-year yields soared from 2.50% in early August to 4.30% in October. Since October, the “Fed pivot” rate gained momentum, and 10-year rates fell again to the 3.85% level at year-end.

10 Year US Treasury Bond Yield

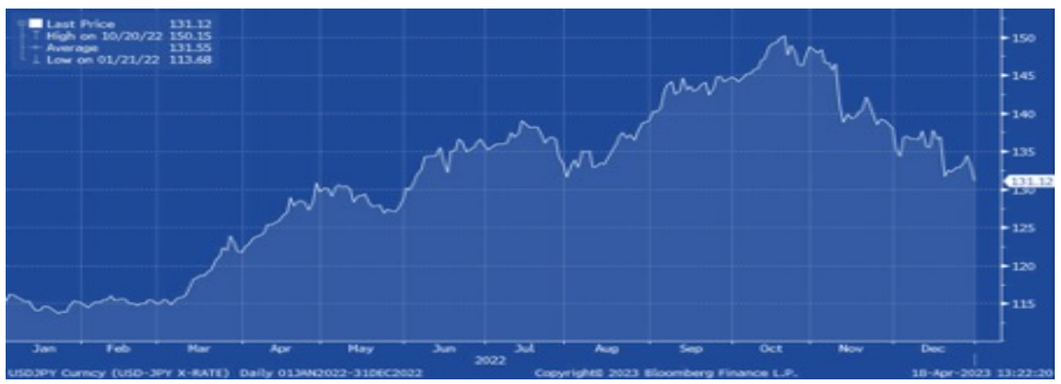


As the Fed "pivot" proposition gained momentum during the 4th quarter of 2022, the yield differential between US and other currency assets declined, and the Dollar lost some of its shine. Having breached parity, falling to as low as 0.9530 against the Euro between mid-September and mid-November, it weakened during December. This pattern was repeated against the Yen, with the currency pair currently trading at 131 at end-December. Sterling recovered from its "Miss Truss mistrust" episode in September under the new Tory leadership, and has followed a similar path against the Dollar.

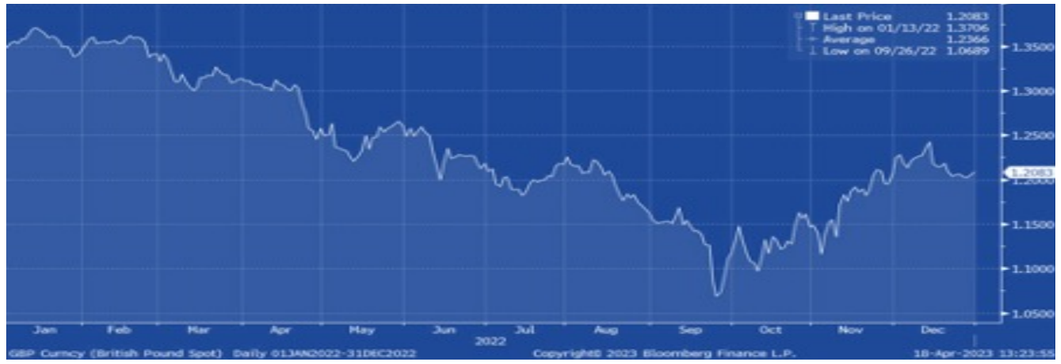
Euro/US Dollar Exchange Rate



US Dollar/ Japanese Yen Exchange Rate

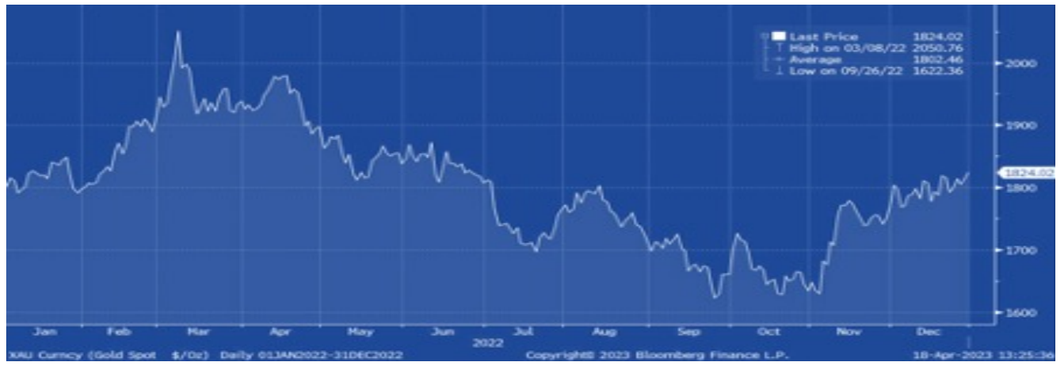


Sterling/US Dollar Exchange Rate



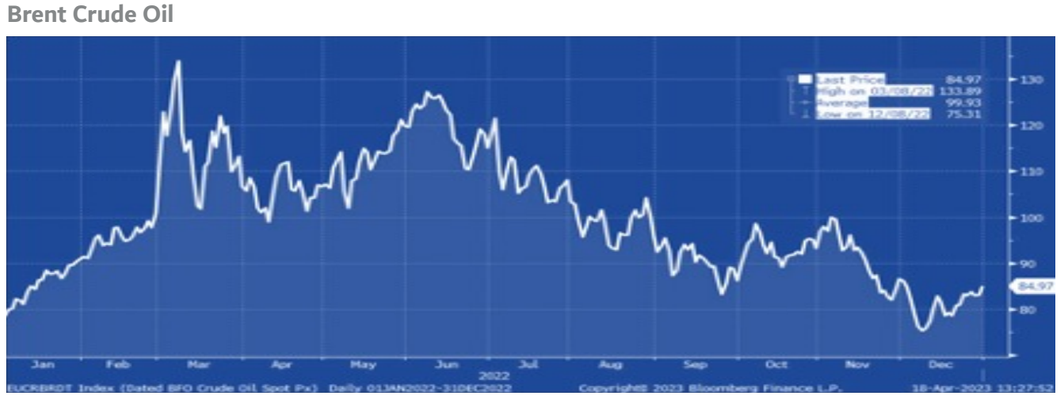
Gold dropped from the Ukraine invasion-related highs of $2,050 in, remarkably, a period of the fastest inflation seen in decades, to the $1,600 level in Q3 2022, as the allure of higher interest rates in US assets reduced the relative appeal for the precious metal. Since then, in line with other fiat currencies, it has recovered against the USD to the $1,825 level at year-end.

US/Dollar Gold



Oil price retreated progressively throughout 2022 from the highs seen on the implementation of unexpectedly severe and widespread sanctions against Russian energy exports after the Ukraine invasion.

Brent Crude Oil



The Arab world in general and the Gulf states in particular remained relatively the least affected in light of the surrounding global and regional events. Despite the severity of the Western-Russian conflict, they did not take a clear position on the Ukrainian war and charted paths for themselves in the regional and international space independent of the West.

Regionally, the Kingdom of Saudi Arabia continued its rapid and ascending movement on all levels in 2022, and presented itself as a main player whether politically, economically or financially, thus becoming a global destination attracting investment from all over the world with the appointment of Crown Prince Muhammad bin Salman bin Abdulaziz Al Saud as Prime Minister.

In July 2022, Saudi Arabia hosted an American-Gulf summit, with the participation of Jordan, Egypt and Iraq, during US President Joe Biden›s visit, which was the first to the Middle East since he took office. Many crucial matters were discussed, foremost of which were «energy security» and «flaming conflict areas in Middle East", in addition to "Iran's nuclear", "the repercussions of the Ukraine war", "strengthening strategic relations" and "expanding regional economic and security cooperation".

A few days before President Biden›s arrival in the Kingdom, Riyadh announced on July 15, 2022 the opening of its airspace to all air carriers that meet transit requirements, which means lifting restrictions on aircraft flying to and from Israel through the Kingdom›s airspace. President Biden described the decision as historic, while Israel considered it an important step to strengthen relations with the countries of the region.

In an event no less important in December 2022, Chinese President Xi Jinping visited the Kingdom, where three summits were held, the Saudi-Chinese summit, the Riyadh-Chinese Gulf Summit for Cooperation and Development, and the Riyadh-Chinese Arab Summit for Cooperation and Development, with the participation of the leaders of the GCC countries and other Arab countries, reflecting the importance of Saudi Arabia and its political weight in the region. This event was considered one of the most significant events of 2022, as it resulted in agreements, rapprochement and gains for all parties, consequently leading to radical changes in the level of building alliances.

In October 2022, Lebanon entered a state of presidential vacuum, with the end of President Michel Aoun's term, whereby the concerned political parties failed to elect a new president. This situation added to the series of accumulated political, social, economic and financial crises since 2019, brought the country to a level of deterioration never seen in any other country.

Locally, during the year 2022, the UAE witnessed many important events, qualitative decisions and achievements in all fields, a continuous progress that constituted a new impetus in the sustainable development process that reflected the UAE›s future vision.

On May 13th 2022 the United Arab Emirates bid farewell to its President, Sheikh Khalifa bin Zayed bin Sultan Al Nahyan, "may God bless his soul,", and His Highness Sheikh Mohammed bin Zayed Al Nahyan was elected as his successor at the head of the state on the fourteenth of May 2022.

Important changes took place that positively affected the UAE economically and socially, such as the decision to change the weekly holiday to Saturday and Sunday, starting from January 1, 2022. This decision strengthened the UAE›s economic position on a global scale, especially in terms of integration with global markets, stock exchanges and international banks.

In January 2022, the Emirates Space Agency and Masdar City signed an agreement to establish the first economic zone to support medium and emerging projects and companies. This zone will build national capabilities to form a global economic infrastructure and a stimulating work environment for private companies and government agencies alike.

The UAE has achieved a new level in support of the Year of Sustainability, by launching commercial operations at the third Barakah nuclear power station as part of its efforts to reduce its carbon footprint.

In February 2022, the UAE was proactive in cancelling all Covid related restrictions re-starting the economic cycle in the country, and in November it cancelled all precautionary measures related to the pandemic.

One of the greatest events during the year 2022, was the impressive conclusion of Expo 2020 in March, whereby 24.1 million visitors within 182 days where welcomed with the participation of 192 countries. The UAE emerged as a remarkable engine of the economy in the world, especially in the wake of the outbreak of the Covid-19 pandemic and the restriction of travel. It was the first Expo to be held in the Middle East, Africa and Asia, coinciding with the UAE›s celebration of its Golden Jubilee.

In financial matters, the UAE Ministry of Finance has introduced a corporate tax on business profits in accordance with Federal Law No. (47) of 2022, which reflects the UAE›s vision to align with the principles of best international practices.

The Emirates Council for Digital Economy also approved doubling the contribution of the digital economy to the GDP from 9.7% (2022) to 19.4% over the next ten years, so that this strategy, which includes more than 30 initiatives, projects and programs, contributes to strengthening the UAE's economic position on a global scale.

In 2022, the United Arab Emirates ranked 13th globally in the per capita gross national income index, according to purchasing power indices, which reflects the UAE›s economic strength and the high income achieved by individuals.

In October 2022, the UAE announced the adoption of the general budget of the Union 2023-2026, with a total estimated expenditure of AED 252.3 billion to achieve the country›s development, social and economic goals for the future.

In November 2022, the UAE signed an agreement to invest $100 billion to generate 100 gigawatts of clean energy, in cooperation with the United States of America, to achieve its desired goals during the Year of Sustainability as well as its strategy aimed at generating clean energy by 2035.

In November 2022, Qatar World Cup constituted a great stimulus for the economy and tourism in the region, as the UAE benefited from its close geographical location to Doha at all levels, especially by operating hotels and securing daily flights for tourists and residents at exorbitant prices.

The Emirate of Sharjah welcomed the year 2023 with glam and prosperity in all fields and sectors of work, production and creativity, which made it an ideal destination for residence and distinguished investment, especially in the cultural, academic and knowledge fields.

In 2022, more than 13 million passengers transited through Sharjah Airport, as it achieved record growth rates in the wake of the Covid pandemic, in terms of passenger traffic, flights and cargo services, thus achieving Sharjah International Airport Authority's strategic goals and ambitions and strengthening the airport's leading position among the top five regional airports.

His Highness Sheikh Dr Sultan bin Mohammed Al Qasimi, Ruler of Sharjah, inaugurated the new headquarters of Bee›ah Group, located on Al Dhaid-Sharjah Road. The new building, designed by the late international architect Zaha Hadid, is one of the most sustainable and intelligent buildings in the Middle East, and it also sets new standards for future offices due to the advanced technologies it contains.

His Highness opened the Sharjah waste-to-energy plant, the first of its kind in the Middle East. The new station will be a turning point towards achieving the goal of zero waste in the Emirate of Sharjah, completely diverting it away from landfills, and achieving carbon neutrality. The station will also support the country's efforts to enhance the low-carbon energy mix and treat and deal with non-recyclable waste according to the highest and latest standards.

In the year 2022, His Highness, presided over the American University of Sharjah's celebration of its silver jubilee. As part of his pioneering efforts to support science, culture and knowledge, he directed the allocation of a budget for scientific research exceeding AED 100 million, and adopted a new policy for spending on scholarships and research.

In December 2022, His Highness approved the emirate's general budget, with total expenditures amounting to about AED 32.2 billion for the year 2023. The budget reflected His Highness' interest in providing social support and aid and to achieve social prosperity and justice. About (28%) of the general budget, which aims to achieve financial sustainability and enhance the economic competitiveness of the emirate, has been allocated for salaries, (35%) for the infrastructure sector and capital projects in the emirate, (24%) for the social development sector in support of scientific, cultural and heritage services and stimulation of creativity, innovation and scientific research.

Total Assets reached AED 37,402 million as at 31/12/2022, against AED 33,562 million as at 31/12/2021, up by 11%.

Total Loans and advances reached AED 21,623 million as at 31/12/2022, against AED 21,314 million as at 31/12/2021, up by 1%.

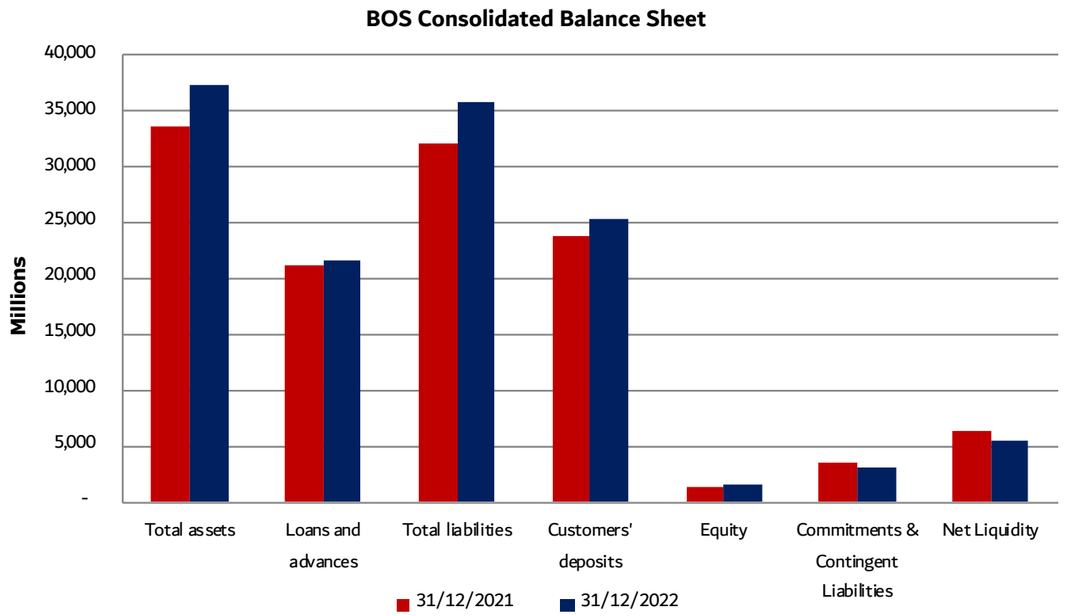
Total Liabilities reached AED 35,908 million as at 31/12/2022, against AED 32,151 million as at 31/12/2021, up by 12%.

Total Customers' Deposits reached AED 25,281 million as at 31/12/2022, against AED 23,757 million as at 31/12/2021, up by 6%.

Total Equity reached AED 1,494 million as at 31/12/2022, against AED 1,411 million as at 31/12/2021, up by 6%.

Total Off-Balance Sheet reached AED 3,128 million as at 31/12/2022, against 3,555 million as at 31/12/2021, down by 12%.

Net liquidity reached AED 5,513 million as at 31/12/2022, against 6,472 million as at 31/12/2021, down by 15%.



Income Statement:

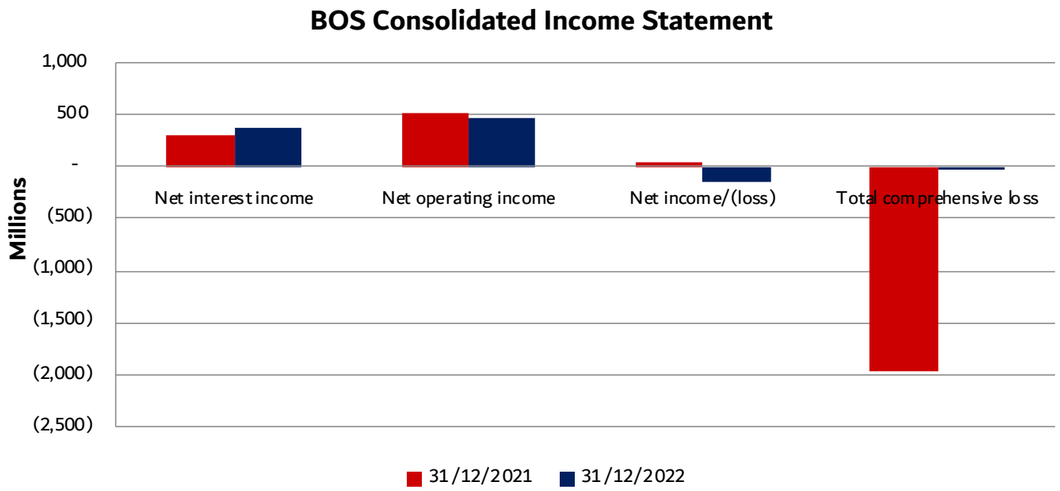
(After the application of IAS 21 & 29)

Net interest income reached AED 369 million for the year ended 31/12/2022 compared to AED 301 million for the year ended 31/12/2021, up by 23%.

Net operating profit reached AED 457 million for the year ended 31/12/2022 compared to AED 516 million for the year ended 31/12/2021, down by 11%.

Net loss reached AED 159 million for the year ended 31/12/2022 compared to a profit of AED 42 million for the year ended 31/12/2021, down by 474%.

Total comprehensive loss reached AED 12 million for the year ended 31/12/2022 compared to AED 1,982 million for the year ended 31/12/2021, down by 99%.



31 December 2022	Before IAS 29 @1,507.5 LBP/USD AED'000	Hyperinflation & currency translation impact AED'000	After IAS 29 @38,000 LBP/USD AED'000
Net profit/(loss)	244,970	(403,738)	(158,768)
Total comprehensive income/(loss)	219,884	(403,730)	(183,846)
Currency translation effect on other comprehensive loss		171,546	
Accumulated IAS 29 effect on equity - 31.12.2021		**(1,790,385)**	
Retained earnings adjustment during 2021		**4,737**	
IAS 29 effect on equity - 12 months 2022		**95,740**	
Equity	3,416,448	(1,922,092)	1,494,356

31 December 2021	Before IAS 29 @1,507.5 LBP/USD AED'000	Hyperinflation & currency translation impact AED'000	After IAS 29 @22,700 LBP/USD AED'000
Net profit	224,864	(182,455)	42,409
Total comprehensive income	284,672	(183,460)	101,212
Currency translation effect on other comprehensive loss	-	(2,083,048)	-
Accumulated IAS 29 effect on equity - 31.12.2020		**236,269**	
IAS 29 effect on equity - 12 months 2021		**239,854**	
Equity	3,201,757	(1,790,385)	1,411,372

EMIRATES LEBANON BANK S.A.L. (EL BANK) ACTIVITIES

Because of the economic situation in the country, The Group's operations in Lebanon, through its subsidiary Emirates Lebanon Bank SAL ("ELBank"), are subject to the imposition of accounting standards IAS 29 & IAS 21. In line with IAS 29, the financial statements of Emirates Lebanon Bank SAL have been restated by applying the general price index of the reporting date to the comparative amounts, in order to reflect the changes in the purchasing power of the LBP on the closing date of the financial statements. The non-monetary items of the statement of financial position as well as the income statement, statement of other comprehensive income and statement of cash flows for the current year of Emirates Lebanon Bank SAL, have been adjusted for inflation and re-expressed in accordance with the variation of the consumer price index ('CPI'), at the presentation date of its financial statements. The consumer price index at the beginning of the reporting year was 921.40 and closed at 2,045.46.

IAS 29 attempts to account for the hyperinflationary nature of the Lebanese economy, and adjusts the IFRS 9 accounts by applying the change in Lebanon's Consumer Price Index over the accounting period to every line item on the subsidiary's balance sheet. This produces large adjustments which, under the terms of the accounting standard, flow through the accounts either through the P&L and OCI income lines, or directly to Equity. At the end of 2021, the IAS 29 accounting exercise had reflected a net additional gain of AED 912 million in Equity to the Group, composed of AED 2,860 million negative adjustments to P&L, and AED 3,772 million positive adjustments to Equity. In the opinion of both Management and the Group's Regulators, this additional capital was illusory and did not present a true representation of the financial position, and so the Group, with the agreement of its Regulators, never took this gain into account when calculating its Capital Ratios. At the end of 2021, this approach was validated, as IAS 21 came into force for the subsidiary's accounts, and effectively zeroed this imaginary gain to Equity.

IAS 21 attempts to account for the effects on the Group of the depreciation of the Lebanese Pound. The negative effect on the net monetary position which has been derived as the difference resulting from the restatement of non-monetary assets, owners' equity and items in the statement of comprehensive income is recognised in the consolidated statement of profit or loss. During 2022, the resulting loss on the net monetary position for Emirates Lebanon Bank SAL was AED 312 million (2021: AED 191 million).

However, in a departure from practice in other jurisdictions, the international audit firms have mandated that the standard not just be applied to the Lebanese Pound balances, but also to the US Dollar balances of the subsidiary.

The methodology used to apply the IAS 21 standard to the US Dollar balances is to multiply every 1 US Dollar on the balance sheet by the Official Peg Rate of 1,507.50 LBP to the USD and divide by the Sayrafa Rate, which at end 2021 was 22,700 LBP to the USD, and at end 2022 was 38,000 LBP to the USD. Thus, every 1 USD on the balance sheet becomes USD 6.6 cents at end 2021, and USD 4.0 cents at end 2022. This would imply, for example, a 96% haircut on Depositors, whereas the IMF is advocating for a zero % haircut. Deposit balances of up to USD 250,000 form 40% of the Subsidiary's deposit portfolio.

Indeed, with the recently implemented new peg of 15,000 Lebanese Lira to the USD, the post IAS 21 & 29 Equity figures as at 31 December 2022 would have stood higher by 60% at AED 2.4 Billion instead of AED 1.5 Billion.

This result will further be immediately corrected once the peg is removed, a requirement from IMF within their proposed financial support. The maximum currency translation effect that would be reflected in the Group's equity assuming that the LBP was fully depreciated, would amount to AED 430 million, instead of AED 1.9 billion currently reflected in the Group's equity under currency translation reserve.

EMIRATES LEBANON BANK S.A.L. (EL BANK) ACTIVITIES
(AFTER THE APPLICATION OF IAS 21 & 29)

Total Assets reached AED 324 million as at 31/12/2022, against AED 452 million as at 31/12/2021, down by 28%.

Total Loans and advances reached AED 49 million as at 31/12/2022, against AED 77 million as at 31/12/2021, down by 36%.

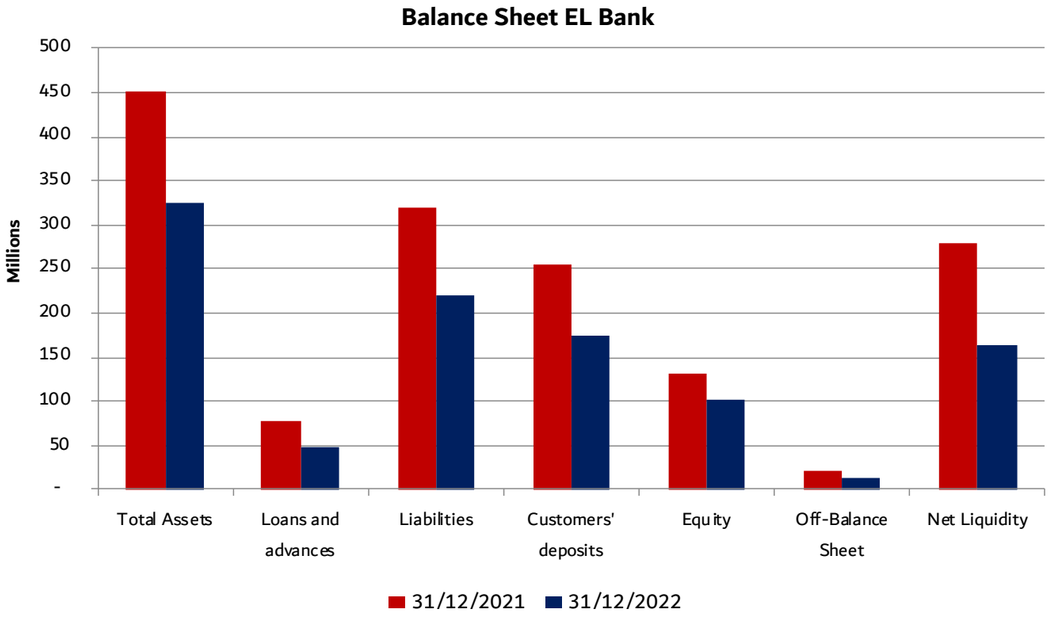
Total Liabilities reached AED 221 million as at 31/12/2022, against AED 320 million as at 31/12/2021, down by 31%.

Total Customers' deposits reached AED 173 million as at 31/12/2022, against AED 255 million as at 31/12/2021, down by 32%.

Total Equity reached AED 103 million as at 31/12/2022, against AED 131 million as at 31/12/2021, down by 22%.

Total Off-Balance Sheet reached AED 14 million as at 31/12/2022, against AED 21 million as at 31/12/2021, down by 35%.

Net Liquidity reached AED 165 million as at 31/12/2022, against AED 278 million as at 31/12/2021, down by 41%.



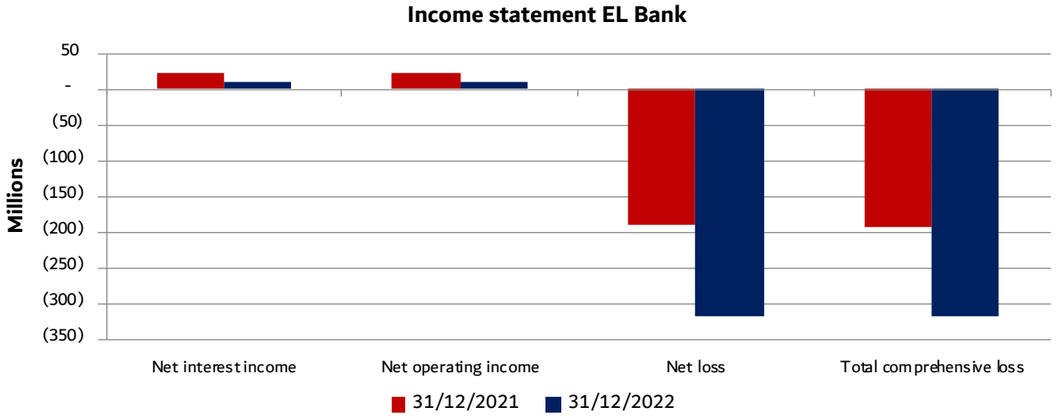
INCOME STATEMENT:
(AFTER THE APPLICATION OF IAS 21 & 29)

Net interest income of AED 8 million for the year ended 31/12/2022 compared to AED 21 million for the year ended 31/12/2021, down by 62%.

Net operating income of AED 11 million for the year ended 31/12/2022 compared to AED 21 million for the year ended 31/12/2021, down by 50%.

Net loss of AED 317 million for the year ended 31/12/2022 compared to AED 191 million for the year ended 31/12/2021, up by 66%.

Total comprehensive loss of AED 317 million for the year ended 31/12/2022 compared to AED 193 million for the year ended 31/12/2021, up by 64%.





CONSOLIDATED FINANCIAL STATEMENTS

For the year ended
31 December 2022

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BOARD OF DIRECTORS' REPORT

The Board has pleasure in submitting their report and the audited consolidated financial statements for the year ended 31 December 2022.

INCORPORATION AND REGISTERED OFFICE

Bank of Sharjah P.J.S.C. (the "Bank") is a Public Joint Stock Company incorporated by an Amiri Decree issued on 22 December 1973 by His Highness the Ruler of Sharjah and was registered in February 1993 under Commercial Companies Law Number 8 of 1984 (as amended). The Bank commenced operations under a banking license issued from United Arab Emirates Central Bank dated 26 January 1974.

The Bank's registered office is located at Al Khan Road, P.O. Box 1394, Sharjah, United Arab Emirates.

PRINCIPAL ACTIVITIES

The Bank's principal activities are commercial and investment banking.

MANAGEMENT

In January 2023, Mr. Varouj Nerguizian, the Group CEO, decided to take up his right to retirement. The Board has graciously proposed that he becomes an advisor for some time to help and support the Bank. Mr. Mario Tohme will be in charge in the interim, with full delegation, and it will be business as usual, until the new CEO joins the Bank.

RESULTS

The reported Net Loss for the year ended 31 December 2022 amounted to AED 159 million (2021: Profit of AED 42 million). This is after the impact of applying IAS 29 and Sayrafa exchange rate in the consolidated financial statements, which resulted in a decrease in the net income for the year by AED 404 million (2021: AED 183 million). Had IAS 29 not been applied and had the Group used the pegged exchange rate of 1,507.5 LBP/USD instead of Sayrafa rate of 38,000 LBP/USD as of 31 December 2022, the net profit for the year ended 31 December 2022 would have been equal to AED 245 million (2021: AED 225 million).

The reported total comprehensive loss for the year ended 31 December 2022 amounted to AED 12 million (2021: AED 1,982 million). This is after the impact of applying IAS 29 and Sayrafa exchange rate in the consolidated financial statements, which resulted in a decrease in the total comprehensive loss for the year by AED 232 million (2021: AED 2,267 million). Had IAS 29 not been applied and had the Group used the pegged exchange rate of 1,507.5 LBP/USD instead of Sayrafa rate of 38,000 LBP/USD as of 31 December 2022, the total comprehensive income for the year ended 31 December 2022 would have been equal to AED 220 million (2021: AED 285 million).

The reported total equity as at 31 December 2022 amounted to AED 1,494 million (2021: AED 1,411 million). This is after the impact of applying IAS 29 and Sayrafa exchange rate in the consolidated financial statements which resulted in a decrease in total equity of AED 1,922 million (2021: AED 1,791 million). Had IAS 29 not been applied and had the Group used the pegged exchange rate of 1,507.5 LBP/USD instead of Sayrafa rate of 38,000 LBP/USD as of 31 December 2022, total equity as at 31 December 2022 would have been equal to AED 3,416 million (2021: AED 3,202 million).

The application of IAS 21 on the USD denominated Assets and Liabilities of our Lebanese subsidiary, by multiplying One US Dollar with the peg rate of 1507.50 and dividing the result by the Sayrafa rate of 38,000, has rendered the USD equal to 4.0 cents. This result will be immediately corrected once the peg is removed. The removal of the peg is a requirement from International Monetary Fund within their proposed financial support. It is understood, this would have a positive effect on the Equity level of the subsidiary as around 80% of the subsidiary's assets and liabilities are denominated in USD.

The Bank's consolidated financial statements are impacted by the application of the International Financial Reporting Standards on hyperinflation and foreign exchange on the consolidation of the Bank's subsidiary in Lebanon. This impacts every single line item on the Bank's consolidated statement of financial position and the consolidated statement of profit or loss. As a result, it may be difficult for the users of the financial statements (which include the Board, Management, Regulators, Investors, Rating Agencies, etc) to understand the performance of the Group apart from the effect of its Subsidiary in Lebanon.

The detailed results are set out in the attached consolidated financial statements.

GOING CONCERN BASIS

Based on the above assessment the Board of Directors is comfortable that the Group has adequate resources and support to continue its operational existence for the foreseeable future. For this reason, they continue to adopt the going concern basis in preparing the consolidated financial statements for the year ended 31 December 2022.

TRANSACTIONS WITH RELATED PARTIES

The consolidated financial statements disclose related party transactions and balances in note 33. All transactions are carried out as part of our normal course of business and in compliance with applicable laws and regulations.

AUDITORS

Grant Thornton Audit and Accounting Limited Corporation (Dubai Branch) were appointed as external auditors for the Group for the year ended 31 December 2022. A shareholder's resolution is proposed to absolve them of their responsibility for the year ended 31 December 2022.

DIRECTORS

The Directors during the year were:

1. Sheikh Mohammed Bin Saud Al Qasimi (Chairman)
2. Sh. Saif Bin Mohammed Bin Butti Al Hamed (Vice Chairman)
3. HE. Humaid Nasir Al Owais
4. Mr. Abdul Aziz Al Midfa
5. Mr. Abdul Aziz Al Hasawi
6. Mr. Saud Al Besharah
7. Mr. Salem Al Ghammai
8. Mr. Salah Ahmed Abdalla Al Noman
9. Mr. Abdulla Sherif Al Fahim
10. Mr. Amer Abdulaziz Khansaheb
11. Mr. Waleed Ibrahim AlSayegh

On behalf of the Board

Mohammed Bin Saud Al Qasimi

Chairman

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Bank of Sharjah PJSC

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Opinion

We have audited the accompanying consolidated financial statements of Bank of Sharjah PJSC (the "Bank") and its subsidiaries (collectively referred to as the "Group"), which comprise the consolidated statement of financial position as at 31 December 2022, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group, as at 31 December 2022, and its consolidated financial performance and consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRS").

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (the "IESBA Code") together with the ethical requirements that are relevant to our audit of the Group's consolidated financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Description of key audit matters	How the matter was addressed in our audit

Measurement of expected credit loss ("ECL") on loans and advances to customers

The Group applies Expected Credit Losses ("ECL") model on its financial instruments measured at amortised cost, financial guarantee contracts, loan commitments and letters of credit. The Group exercises significant judgements and makes a number of assumptions which is determined as a function of the assessment of the probability of default ("PD"), loss given default ("LGD"), adjusted for the forward-looking information, and exposure at default ("EAD") associated with the underlying financial assets.

The Group applies significant judgements and makes a number of assumptions in developing ECL models and applying staging criteria and forward economic adjustments for calculating impairment provisions.

ECL models are naturally subject to limitations. These limitations are addressed with management judgmental adjustments on specific credit exposures, the measurement of which is inherently judgmental and subject to a high level of estimation uncertainty.

The Group's determination of impairment allowances for loans and advances to customers required management to make judgements over the staging of financial assets and measurement of the Expected Credit Loss (ECL), this includes manual staging adjustments allowed as per the Group's policies, where appropriate.

Note (4.1) of the Group's consolidated financial statements explains the accounting policies applied when determining the ECL and note (36) provides the risk management disclosures relating to ECL.

We have performed the following audit procedures on the measurement of ECL on loans and advances to customers included in the Group's consolidated financial statements for the year ended 31 December 2022:

- we obtained an understanding of the control environment associated with the process of estimation of ECL and assessed the design and tested the operating effectiveness of controls in that process;
- we have tested the completeness and accuracy of the data used in the calculation of ECL;
- for a sample of exposures, we have checked the appropriateness of the Group's application of the staging criteria and staging adjustments;
- we have involved our IFRS 9 experts to assess the following areas:
  - conceptual framework used for developing the Group's impairment policy in the context of its compliance with the requirements of IFRS 9.
  - ECL modelling methodology and calculations used to compute the probability of default (PD), loss given default (LGD), and exposure at default (EAD) including reasonableness of the assumptions.
  - the appropriateness of the macro-economic variables, multiple economic scenarios chosen and scenario weightings.
- for the Stage 3 portfolio we have assessed the appropriateness of the provisioning assumptions for a sample of corporate exposures selected on the basis of risk and the significance of individual exposures. This included assessing, on a sample basis, the appropriateness of consideration of repayments and collateral valuations, by involving our property valuation experts;
- assessed the appropriateness of the significant assumptions used in certain management judgmental adjustments; and
- inspected the consolidated financial statements disclosures to assess compliance with IFRS 7 and IFRS 9.

Description of key audit matters	How the matter was addressed in our audit

Measurement of expected credit loss ("ECL") on loans and advances to customers

Lebanon was declared a hyperinflationary economy in 2020. Consequently, the Group adopted for the first time the requirements of IAS 29 — Financial Reporting in Hyperinflationary Economies on its consolidated financial statements for the year ended 31 December 2020 and IAS 21 on its consolidated financial statements for the year ended 31 December 2021.

Lebanon remains hyperinflationary, and in 2022 the Group has continued to apply hyperinflationary accounting. Accordingly, management applies judgement in determining the value(s) of the consumer price index and currency exchange rate(s) (Sayrafa rate) as at and during the year ended 31 December 2022. Lebanon's official exchange rate changed to 15,000 LBP / 1 USD, with effect on 1 February 2023.

Note (2) of the Group's consolidated financial statements contain disclosures that explain the implications on the Group.

We have performed the following audit procedures regarding the accuracy of the accounting of hyperinflation and foreign currency translation adjustment in the Group's consolidated financial statements for the year ended 31 December 2022:

- we involved our experts to assess the following areas:
  - the conceptual framework used in developing the Group's hyperinflationary calculation model in the context of its compliance with IAS 21 and IAS 29;
  - the reasonableness of the assumptions made by management in calculating the hyperinflationary adjustment;
  - the incremental accounting implications, if any, on the Group's consolidated financial statements as at 31 December 2022, due to the official currency exchange rate in Lebanon changing to 15,000 LBP/1 USD on 1 February 2023; and
- we tested the completeness and accuracy of the data used for the calculation of the hyperinflation adjustment; and
- we assessed the adequacy of the disclosures in the consolidated financial statements.

OTHER MATTER

The consolidated financial statements of the Group for the year ended 31 December 2021 were audited by another auditor who expressed an unmodified audit opinion on those consolidated financial statements on 24 August 2022.

OTHER INFORMATION

The Directors of the Group are responsible for the other information. The other information comprises the Board of Directors' report but does not include the consolidated financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and the Annual Report and the Management Discussion and Analysis Report, which are expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information except for the financial information given in the Board of Directors' report, and accordingly we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing

to report in this regard. When we read the Annual Report and the Management Discussion and Analysis Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSOLIDATED FINANCIAL STATEMENTS:

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS and their preparation in compliance with applicable provisions of UAE Federal Decree Law No. (32) of 2021 , and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Grou p's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law and regulations preclude public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Further, as required by the UAE Federal Decree Law No. (32) of 2021, we report that for the year ended 31 December 2022:

i) We have obtained all the information we considered necessary for the purposes of our audit;
ii) The consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Decree Law No. (32) of 2021;
iii) The Group has maintained proper books of account in accordance with established accounting principles;
iv) The financial information included in the Board of Directors' report is consistent with the books of account of the Group;
v) as disclosed in note (9) to the consolidated financial statements, the Group has purchased shares during the year ended 31 December 2022;
vi) note (33) to the consolidated financial statements discloses material related party transactions and the terms under which they were conducted;
vii) Based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Bank has, during the year ended 31 December 2022, contravened any of the applicable provisions of the UAE Federal Decree Law No. 32 of 2021 or of its Articles of Association which would materially affect its activities or its financial position as at 31 December 2022; and

Further, as required by UAE Federal Law No. (14) of 2018, we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

GRANT THORNTON

Dr. Osama El-Bakry

Registration No: 935

Dubai, United Arab Emirates

Date: 30 March 2023



CONSOLIDATED STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 31 December

	Notes	2022 AED'000	2021 AED'000
ASSETS			
Cash and balances with central banks	6	**3,949,107**	3,223,357
Deposits and balances due from banks	7	**113,897**	64,354
Loans and advances, net	8	**21,623,267**	21,314,047
Investments measured at fair value	9	**434,308**	486,755
Investments measured at amortised cost	9	**7,335,160**	4,351,247
Investment properties	10	**1,158,109**	1,091,543
Other intangible assets	12	**22,055**	22,075
Assets acquired in settlement of debts	11	**1,227,821**	1,448,800
Other assets	13	**1,254,145**	1,270,627
Derivative assets held for risk management	14	**6,388**	9,083
Properties and equipment	15	**278,074**	280,170
Total assets		**37,402,331**	33,562,058
LIABILITIES AND EQUITY			
Liabilities			
Customers' deposits	16	**25,281,131**	23,757,419
Deposits and balances due to banks	17	**662,333**	237,995
Repo borrowings	18	**5,003,552**	750,000
Other liabilities	19	**1,901,538**	2,043,171
Derivative liabilities held for risk management	14	**-**	8,922
Issued bonds	20	**3,059,421**	5,353,179
Total liabilities		**35,907,975**	32,150,686
Equity			
Capital and reserves			
Share capital	21	**2,200,000**	2,200,000
Statutory reserve	21	**1,050,000**	1,050,000
Contingency reserve	21	**640,000**	640,000
Impairment reserve	8 (b) & 21	**147,624**	220,972
Investment fair value reserve		**(706,370)**	(681,292)
Currency translation reserve	2	**(1,911,502)**	(2,083,048)
Retained earnings		**71,551**	57,404
Equity attributable to equity holders of the Bank		**1,491,303**	1,404,036
Non-controlling interests		**3,053**	7,336
Total equity		**1,494,356**	1,411,372
Total liabilities and equity		**37,402,331**	33,562,058

To the best of our knowledge, the consolidated financial statements fairly present, in all material respects, the consolidated financial position, financial performance and consolidated cash flows of the Group as of, and for the year ended 31 December 2022. The consolidated financial statements of the Group were approved by the Board of Directors and authorised for issue on

Mohammed Bin Saud Al Qasimi
Chairman

Mario Tohme
CEO

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

for the year ended 31 December

	Notes	2022 AED'000	2021 AED'000
Interest income	25	**1,136,534**	1,007,929
Interest expense	26	**(767,117)**	(706,831)
Net interest income		**369,417**	301,098
Net fee and commission income	27	**233,175**	174,017
Exchange profit		**31,657**	20,989
Income on investments	28	**14,175**	71,829
Net income on properties		**98,113**	73,735
Other income		**1,438**	1,765
Operating income		**747,975**	643,433
Net impairment loss on financial assets	29	(291,441)	(127,582)
Net operating income		**456,534**	515,851
Personnel expenses	30	**(161,529)**	(152,900)
Depreciation	15&30	**(31,874)**	(29,620)
Other expenses	30	**(107,727)**	(94,084)
Amortisation of other intangible assets	12	**(1,230)**	(927)
Loss on monetary position	2	**(312,436)**	(191,206)
(Loss)/ profit before taxes		**(158,262)**	47,114
Income tax expense – overseas	31	**(506)**	(4,705)
Net (loss)/ profit for the year		**(158,768)**	42,409
Attributable to:			
Equity holders of the Bank		**(154,485)**	43,780
Non-controlling interests		**(4,283)**	(1,371)
Net (loss)/ profit for the year		**(158,768)**	42,409
Basic and diluted (loss)/ profit per share (AED)	22	**(0.07)**	0.02

The accompanying notes 1 to 39 form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December

	2022 AED'000	2021 AED'000
Net (loss)/ profit for the year	**(158,768)**	42,409
Other comprehensive (loss)/ income items		
Items that will not be reclassified subsequently to consolidated statement of profit or loss:		
Net changes in fair value of financial assets measured at fair value through other comprehensive income (equity instruments)	**(31,604)**	43,871
Net changes in fair value of own credit risk on financial liabilities (Note 20)	**6,526**	14,932
	(25,078)	58,803
Items that may be reclassified subsequently to consolidated statement of profit or loss:		
Translation differences from a subsidiary	**171,546**	(2,083,048)
Other comprehensive income/ (loss) for the year	**146,468**	(2,024,245)
Total comprehensive loss for the year	**(12,300)**	(1,981,836)
Attributable to:		
Equity holders of the Bank	**(8,017)**	(1,980,465)
Non-controlling interests	**(4,283)**	(1,371)
Total comprehensive loss for the year	**(12,300)**	(1,981,836)

The accompanying notes 1 to 39 form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December

	Share capital AED'000	Statutory reserve AED'000	Contingency reserve AED'000	General and impairment reserve AED'000	Investment fair value reserve AED'000	Currency translation reserve AED'000	Retained earnings/ (accumulated losses) AED'000	Equity attributable to equity holders of the bank AED'000	Non-controlling interests AED'000	Total equity AED'000
Balance as at 1 January 2021	**2,100,000**	**1,050,000**	**640,000**	**288,962**	**(740,095)**	**-**	**(182,157)**	**3,156,710**	**8,707**	**3,165,417**
Net profit for the year	-	-	-	-	-	-	43,780	43,780	(1,371)	42,409
Other comprehensive loss for the year	-	-	-	-	58,803	(2,083,048)	-	(2,024,245)	-	(2,024,245)
Total comprehensive loss for the year	-	-	-	-	**58,803**	**(2,083,048)**	**43,780**	**(1,980,465)**	**(1,371)**	**(1,981,836)**
Hyperinflation impact (Note 2)	-	-	-	-	-	-	239,854	239,854	-	239,854
Disposal of FVOCI investment	-	-	-	-	-	-	(82)	(82)	-	(82)
Transfer to share capital	100,000	-	-	(100,000)	-	-	-	-	-	-
Transfer to impairment reserve (Note 8 (b))	-	-	-	32,010	-	-	(32,010)	-	-	-
Directors fees (Note 33)	-	-	-	-	-	-	(4,481)	(4,481)	-	(4,481)
Charity donations (Note 33)	-	-	-	-	-	-	(7,500)	(7,500)	-	(7,500)
Balance as at 31 December 2021	**2,200,000**	**1,050,000**	**640,000**	**220,972**	**(681,292)**	**(2,083,048)**	**57,404**	**1,404,036**	**7,336**	**1,411,372**
Prior year adjustment	-	-	-	-	-	-	(456)	(456)	-	(456)
Net loss for the year	-	-	-	-	-	-	(154,485)	(154,485)	(4,283)	(158,768)
Other comprehensive income for the year	-	-	-	-	(25,078)	171,546	-	146,468	-	146,468
Total comprehensive loss for the year	**-**	**-**	**-**	**-**	**(25,078)**	**171,546**	**(154,941)**	**(8,473)**	**(4,283)**	**(12,756)**
Hyperinflation impact (Note 2)	-	-	-	-	-	-	95,740	95,740	-	95,740
Transfer from impairment reserve (Note 8 (b))	-	-	-	(73,348)	-	-	73,348	-	-	-
Balance as at 31 December 2022	**2,200,000**	**1,050,000**	**640,000**	**147,624**	**(706,370)**	**(1,911,502)**	**71,551**	**1,491,303**	**3,053**	**1,494,356**

The accompanying notes 1 to 39 form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

for the year ended 31 December

	Notes	2022 AED'000	2021 AED'000
Cash flows from operating activities			
Net (loss)/profit before tax for the year		**(158,262)**	47,114
Adjustments for:			
Depreciation of properties and equipment	15-30	**31,874**	29,620
Loss on retirement/ (gain on sale) of properties and equipment		**830**	(579)
Hyperinflationary and foreign currency adjustments on properties and equipment		**(12,562)**	745,985
Amortisation of other intangibles	12	**1,230**	927
Hyperinflationary and foreign currency adjustments on other intangibles		**(1,210)**	(17,368)
Net charges of provisions for expected credit losses on financial assets and cash	29	**349,356**	152,881
Foreign currency adjustments on provisions for expected credit losses on financial assets	29	**(26,776)**	(842,478)
Accretion of premium on debt instruments		**(1,183)**	(526)
Unrealised fair value losses/(gains) on financial assets at fair value through profit or loss	28	**21,580**	(21,686)
Realised gain on disposal of financial assets at fair value through profit or loss	28	**(1,778)**	(5,707)
Provision for employees' end of service benefits	19.1	**11,143**	6,392
Interest on lease liabilities		**2,746**	3,021
Loss on sale on assets acquired in settlement of debts		**(1,076)**	(156,391)
Discount charge on recognition of receivables related to disposals of assets acquired in settlement of debts		**-**	157,250
Net fair value loss on issued debt securities		**4,839**	6,090
Net fair value gain on interest rate swaps		**(4,839)**	(6,090)
Fair value gain on revaluation of investment properties	15	**(66,198)**	(5,151)
Unrealized (gain)/loss on assets acquired in settlement of debts	11	**(8,745)**	277,341
Dividends income	28	**(33,977)**	(15,926)
Loss on monetary position	2	**312,436**	191,206
Operating profit before changes in operating assets and liabilities		**419,428**	545,925
Changes in:			
Deposits and balances due from banks maturing after three months from dates of placements		**1,439,349**	(351,879)
Statutory deposits with central banks		**207,883**	1,021,611
Loans and advances		**(617,760)**	(2,221,209)
Derivative assets and liabilities held for risk management		**(6,227)**	33,628
Other assets		**16,026**	2,894,044
Customers' deposits		**(726,288)**	84,835
Other liabilities		**(149,862)**	383,085
		582,549	2,390,040
Payments of provision for employees' end of service benefits	19.1	**(1,611)**	(1,081)
Income taxes paid during the year		**(506)**	(4,705)
Payment of directors' remuneration and charity donations		**-**	(11,981)
Cash generated from operations		**580,432**	2,372,273
Cash flows from investing activities			
Purchase of properties and equipment	15	**(18,046)**	(13,306)
Proceeds from sale of properties and equipment		**-**	8,127
Payments to purchase financial assets at amortised cost, FVTPL and FVOCI		**(77,781)**	(196,859)
Proceeds from sale/maturities of financial assets at amortised cost, FVTPL and FVOCI			
Additions to assets acquired in settlement of debts	11	**64,095**	11,735
Additions to investment properties	10	**(493)**	-
Proceeds from sale of investment properties		**(12,641)**	(318,798)
Proceeds from sale of assets acquired in settlement of debts		**12,273**	-
Dividends received	28	**203,371**	371,814
Cash generated from/(used in) investing activities		**33,977**	15,926
		204,755	(121,361)

CONSOLIDATED STATEMENT OF CASH FLOWS (continued)

for the year ended 31 December

	Notes	2022 AED'000	2021 AED'000
Cash flows from financing activities			
Settlements of issued bonds		**(2,746,357)**	-
Proceeds from issued bonds		**459,125**	459,124
Proceeds from repo borrowings		**4,188,576**	-
Payment of lease liabilities		**(14,293)**	(15,889)
Cash generated from financing activities		**1,887,051**	443,235
Net increase in cash and cash equivalents during the year		**2,672,238**	2,694,147
Cash and cash equivalents at the beginning of the year	6	**689,518**	1,358,191
Effect of changes in exchange rates during the year on cash inflows and cash outflows during the year		**(45,150)**	(3,362,820)
Cash and cash equivalents at the end of the year	6	**3,316,606**	689,518

The accompanying notes 1 to 39 form an integral part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

for the year ended 31 December 2022

1. GENERAL INFORMATION

Bank of Sharjah P.J.S.C. (the "Bank"), is a public joint stock company incorporated by an Amiri Decree issued on 22 December 1973 by His Highness The Ruler of Sharjah and was registered in February 1993 under the Commercial Companies Law Number 8 of 1984 (as amended). The Bank commenced its operations under a banking license issued by the United Arab Emirates Central Bank dated 26 January 1974. The Bank is engaged in commercial and investment banking activities.

The Bank's registered office is located at Al Khan Road, P.O. Box 1394, Sharjah, United Arab Emirates. The Bank operates through eight branches in the United Arab Emirates located in the Emirates of Sharjah, Dubai, Abu Dhabi, and City of Al Ain. The accompanying consolidated financial statements combine the activities of the Bank and its subsidiaries (collectively the "Group"), as listed in Note 32.

2. HYPERINFLATION AND BASIS OF PREPARATION

Hyperinflation and currency translation

The International Monetary Fund (IMF) publishes inflation forecasts. Applying the October 2020 IMF information and the indicators laid out in IAS 29, the Lebanese economy was considered a hyperinflationary economy for the purposes of applying IAS 29 and for retranslation of foreign operations in accordance with IAS 21 The Effect of Changes in Foreign Exchange Rates in the consolidated financial statements, consequently, the Group has first time adopted IAS 29 Financial reporting in Hyperinflationary Economies to its subsidiary, Emirates Lebanon Bank SAL in the consolidated financial statements of the Group for the year ended 31 December 2020. The Lebanese economy is still considered as hyperinflationary as at 31 December 2022 and accordingly IAS29 is still applicable to the Group for the year ended 31 December 2022.

	31/12/2022		
	Before IAS 29 @1,507.5 LBP/USD	**Hyperinflation & currency translation impact**	**After IAS 29 @38,000 LBP/USD**
	AED 000	**AED 000**	**AED 000**
Net profit/(loss)	**244,970**	**(403,738)**	**(158,768)**
Total comprehensive income/(loss)	**219,884**	**(403,730)**	**(183,846)**
Currency translation effect on other comprehensive loss		**171,546**	
Accumulated IAS 29 effect on equity - 31.12.2021		**(1,790,385)**	
Retained earnings adjustment during 2021		**4,737**	
IAS 29 effect on equity - 12 months 2022		**95,740**	
Equity	**3,416,448**	**(1,922,092)**	**1,494,356**

	31/12/2021		
	Before IAS 29 @1,507.5 LBP/USD	Hyperinflation & currency translation impact	After IAS 29 @22,700 LBP/USD
	AED 000	AED 000	AED 000
Net profit	224,864	(182,455)	42,409
Total comprehensive income	284,672	(183,460)	101,212
Currency translation effect on other comprehensive loss	-	(2,083,048)	-
Accumulated IAS 29 effect on equity - 31.12.2020		236,269	
IAS 29 effect on equity - 12 months 2021		239,854	
Equity	3,201,757	(1,790,385)	1,411,372

In line with IAS 29, the financial statements of Emirates Lebanon Bank SAL have been restated by applying the general price index of the reporting date to the comparative amounts, in order to reflect the changes in the purchasing power of the LBP, on the closing date of the financial statements. The non-monetary items of the statement of financial position as well as the income statement, statement of other comprehensive income and statement of cash flows for the current year of Emirates Lebanon Bank SAL, have been adjusted for inflation and re-expressed in accordance with the variation of the consumer price index ('CPI'), at the presentation date of its financial statements. The consumer price index at the beginning of the reporting year was 921.40 and closed at 2,045.46.

The loss on the net monetary position which has been derived as the difference resulting from the restatement of non-monetary assets, owners' equity and items in the statement of comprehensive income is recognised in the consolidated statement of profit or loss. During 2022, the resulting loss on the net monetary position for Emirates Lebanon Bank SAL was AED 312 million (2021: AED 191 million).

The application of IAS 21 on the USD denominated Assets and Liabilities of our Lebanese subsidiary, by multiplying One US Dollar with the peg rate of 1,507.50 and dividing the result by the Sayrafa rate of 38,000, has rendered the USD equal to 4.0 cents. This result will be immediately corrected once the peg is removed. The removal of the peg is a requirement from IMF within their proposed financial support. It is understood, this would have a positive effect on the Equity level of the subsidiary as around 80% of the subsidiary's assets and liabilities are denominated in USD.

The Bank's consolidated financial statements are impacted by the application of the International Financial Reporting Standards on hyperinflation and foreign exchange on the consolidation of the Bank's subsidiary in Lebanon. This impacts every single line item on the Bank's consolidated statement of financial position and the consolidated statement of profit or loss. As a result, it may be difficult for the users of the financial statements (which include the Board, Management, Regulators, Investors, Rating Agencies, etc) to understand the performance of the Group apart from the effect of its Subsidiary in Lebanon.

The reported Net Loss for the year ended 31 December 2022 amounted to AED 159 million (2021: Profit of AED 42 million). This is after the impact of applying IAS 29 and Sayrafa exchange rate in the consolidated financial statements, which resulted in a decrease in the net income for the year by AED 404 million (2021: AED 183 million). Had IAS 29 not been applied and had the Group used the pegged exchange rate of 1,507.5 LBP/USD instead of Sayrafa rate of 38,000 LBP/USD as of 31 December 2022, the net profit for the year ended 31 December 2022 would have been equal to AED 245 million (2021: AED 225 million).

The reported total comprehensive loss for the year ended 31 December 2022 amounted to AED 12 million (2021: AED 1,982 million). This is after the impact of applying IAS 29 and Sayrafa exchange rate in the consolidated financial statements, which resulted in a decrease in the total comprehensive loss for the year by AED 232 million (2021: AED 2,267 million). Had IAS 29 not been applied and had the Group used the pegged exchange rate of 1,507.5 LBP/USD instead of Sayrafa rate of 38,000 LBP/USD as of 31 December 2022, the total comprehensive income for the year ended 31 December 2022 would have been equal to AED 220 million (2021: AED 285 million).

The reported total equity as at 31 December 2022 amounted to AED 1,494 million (2021: AED 1,411 million). This is after the impact of applying IAS 29 and Sayrafa exchange rate in the consolidated financial statements which resulted in a decrease in total equity of AED 1,922 million (2021: AED 1,791 million). Had IAS 29 not been applied and had the Group used the pegged exchange rate of 1,507.5 LBP/USD instead of Sayrafa rate of 38,000 LBP/USD as of 31 December 2022, total equity as at 31 December 2022 would have been equal to AED 3,416 million (2021: AED 3,202 million).

	31 December 2022 Before applying IAS 29 @1,507.5 LBP/USD AED'000	31 December 2021 Before applying IAS 29 @1,507.5 LBP/USD AED'000
ASSETS		
Cash and balances with central banks	**7,086,256**	6,565,551
Deposits and balances due from banks	**146,389**	96,241
Loans and advances, net	**22,811,098**	22,397,830
Investments measured at fair value	**464,158**	515,800
Investments measured at amortised cost	**7,390,969**	4,417,179
Investment properties	**1,158,109**	1,091,543
Other intangibles	**22,111**	23,362
Assets acquired in settlement of debt	**1,259,863**	1,492,699
Other assets	**1,351,327**	1,360,200
Derivative assets held for risk management	**6,388**	9,083
Property and equipment	**293,340**	300,700
Total assets	**41,990,008**	38,270,188
LIABILITIES AND EQUITY		
Liabilities		
Customers' deposits	**27,772,968**	26,491,847
Deposits and balances due to banks	**662,797**	238,405
Repo borrowings	**5,003,552**	750,000
Other liabilities	**2,074,822**	2,226,078
Derivative liabilities held for risk management	**-**	8,922
Issued bonds	**3,059,421**	5,353,179
Total liabilities	**38,573,560**	35,068,431
Equity		
Capital and reserves		
Share capital	**2,200,000**	2,200,000
Statutory reserve	**1,050,000**	1,050,000
Contingency reserve	**640,000**	640,000
General and impairment reserve	**147,624**	220,972
Investment fair value reserve	**(705,374)**	(680,288)
Retained Earnings/ (Accumulated losses)	**81,145**	(236,263)
Equity attributable to equity holders of the bank	**3,413,395**	3,194,421
Non-controlling interests	**3,053**	7,336
Total equity	**3,416,448**	3,201,757
Total liabilities and equity	**41,990,008**	38,270,188

	2022 Before applying IAS 29 @1,507.5 LBP/USD AED'000	2021 Before applying IAS 29 @1,507.5 LBP/USD AED'000
Interest income	**1,266,373**	1,148,289
Interest expense	**(770,149)**	(713,707)
Net interest income	**496,224**	434,582
Net fee and commission income	**256,009**	192,977
Exchange profit	**34,038**	23,926
Income on investments	**14,195**	71,854
Net income on properties	**98,113**	73,735
Other income	**1,673**	1,749
Operating income	**900,252**	798,823
Net impairment loss on financial assets	**(256,589)**	(216,360)
Net operating income	**643,663**	582,463
Personnel expenses	**(220,373)**	(186,203)
Depreciation	**(33,731)**	(32,993)
Other expenses	**(132,340)**	(116,627)
Amortisation of intangible assets	**(1,249)**	(1,247)
Profit before taxes	**255,970**	245,393
Income tax expense - overseas	**(11,000)**	(20,529)
Net profit for the year	**244,970**	**224,864**
Other comprehensive income items Items that will not be reclassified subsequently to consolidated statement of profit or loss:		
Net changes in fair value of financial assets measured at fair value through other comprehensive income	**(31,612)**	44,876
Net changes in fair value of own credit risk on financial liabilities designated at fair value through profit or loss	**6,526**	14,932
Other comprehensive income/(loss) for the year	**(25,086)**	59,808
Total comprehensive income/(loss) for the year	**219,884**	284,672

Hyperinflation and currency translation - Official peg from US Dollar 1,507.50 to 15,000

During the month of September 2022, the Government of Lebanon announced the forthcoming change of the official peg from US Dollar 1,507.50 to 15,000. Had the value of 15,000 been retained, the Consolidated Balance sheet of the Group would have reflected the following salient figures:

	Dec'22 After IAS 29 & IAS 21 @ 15,000/38,000 LBP/USD AED'000	Dec'22 After IAS 29 & IAS 21 @ 1,507.5/38,000 LBP/USD AED'000	Variance AED'000
Total Assets	39,218,171	37,402,331	1,815,840
Total Liabilities	36,811,337	35,907,975	903,362
Total Equity	2,406,834	1,494,356	912,478
Cash and Central banks	4,946,541	3,949,107	997,434
Loans and Advances	22,017,546	21,623,267	394,279
Customers' deposits	26,067,393	25,281,131	786,262

Before applying IAS 29 & IAS 21, the currency translation reserve would have been AED 313 million had the official rate been retained at 15,000 instead of 1,507.5 as at 31 December 2022.

Basis of preparation

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as issued by International Accounting Standard Board (IASB) and applicable requirements of the laws of the U.A.E., including the UAE Federal Law No 2 of 2015 («UAE Companies Law of 2015») as amended by the Federal Decretal Law No. 26 of 2020 issued on 27 September 2020, for certain provisions which will take effect on 02 January 2021, and the Decretal Federal Law No. (14) of 2018.

Basis of measurement - The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and investment properties that are measured at fair values as explained in the accounting policies below.

The Lebanese economy is considered to be hyperinflationary. Accordingly, the results, cash flows and the financial position of the Emirates Lebanon Bank SAL have been expressed in terms of the measuring unit current at the reporting date.

Functional and presentation currency - The consolidated financial statements are presented in United Arab Emirates Dirham (AED) and all values are rounded to the nearest thousands' dirham, except when otherwise indicated.

Basis of consolidation – The consolidated financial statements incorporate the financial statements of the Bank and entities controlled by the Bank. Control is achieved when the Bank has:

- power over the investee,
- exposure, or has rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect its returns.

The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above. This includes circumstances in which protective rights (e.g. more from

a lending relationship) becomes substantive and lead to the Bank having power over as investee. When the Bank has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give it power, including:

- the size of the Bank holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Bank, other vote holders and other parties;
- rights raising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns and previous shareholders' meetings.

Consolidation of a subsidiary begins when the Bank obtains control over the subsidiary and ceases when the Bank loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit or loss from the date the Bank gains control until the date when the Bank ceases to control the subsidiary. Profit or loss and each component of other comprehensive income are attributable to the owners of the Bank and to the non-controlling interests. Total comprehensive income of the subsidiaries is attributable to the owners of the Group and to the non-controlling interest even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intragroup assets, liabilities, equity, income, expenses and cash flows relating to transactions between entities of the Group are eliminated in full on consolidation.

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid/payable or received/receivable is recognised directly in equity and attributed to owners of the Group. When the Group loses control of a subsidiary, a gain or loss is recognised in the consolidated statement of profit or loss and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest, and (ii) the previous carrying amount of the assets (including goodwill) and liabilities of the subsidiary, and any non-controlling interests. All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Bank had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to statement of profit or loss or transferred to another category of equity as specified/permitted by applicable IFRSs). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under IFRS 9 (IFRS 9 Financial instruments) issued in 2010, when applicable, or the cost on initial recognition of an investment in an associate or a joint venture.

3. APPLICATION OF OTHER NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS ("IFRS")

3.1 New and revised IFRSs applied with no material effect on the consolidated financial statements

The following are the new and revised IFRS, which became effective for annual periods beginning on or after 1 January 2022, have been adopted in these consolidated financial statements. The application of these revised IFRSs, except where stated, have not had any material impact on the amounts reported for the current and prior periods.

Narrow-scope amendments to IFRS 3, IAS 16, IAS 17 and some annual improvements on IFRS 9 and IFRS 16

Amendments to IFRS 3, 'Business combinations' update a reference in IFRS 3 to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations; Amendments to IAS 16, 'Property, plant and equipment' prohibit a company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the company is preparing the asset for its intended use. Instead, a company will recognise such sales proceeds and related cost in profit or loss; Amendments to IAS 37, 'Provisions, contingent liabilities and contingent assets' specify which costs a company includes when assessing whether a contract will be lossmaking; and annual improvements make minor amendments to IFRS 9, 'Financial instruments', and the Illustrative Examples accompanying IFRS 16, 'Leases'.

3.2 New and revised IFRS in issue but not yet effective

Amendments to IAS 1, Presentation of financial statements on classification of liabilities - These narrow-scope amendments to IAS 1, 'Presentation of financial statements', clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (for example, the receipt of a waiver or a breach of covenant). The amendment also clarifies what IAS 1 means when it refers to the 'settlement' of a liability - Deferred until accounting periods starting not earlier than 1 January 2024.

Amendment to IAS 12 – deferred tax related to assets and liabilities arising from a single transaction - These amendments require companies to recognize deferred tax on transactions that, on initial recognition give rise to equal amounts of taxable and deductible temporary differences - Effective for annual periods beginning on or after 1 January 2023.

Amendments to IAS 1, 'Presentation of financial statements' IFRS Practice statement 2 and IAS 8,' Accounting policies, changes in accounting estimates and errors' - The IASB amended IAS 1, 'Presentation of Financial Statements', to require companies to disclose their material accounting policy information rather than their significant accounting policies. The amendment also clarifies that accounting policy information is expected to be material if, without it, the users of the financial statements would be unable to understand other material information in the financial statements. Further, the amendment to IAS 1 clarifies that immaterial accounting policy information need not be disclosed. However, if it is disclosed, it should not obscure material accounting policy information. To support this amendment, the Board also amended IFRS Practice Statement 2, 'Making Materiality Judgements', to provide guidance on how to apply the concept of materiality to accounting policy disclosures. The amendment to IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', clarifies how companies should distinguish changes in accounting policies from changes in accounting estimates. The distinction is important, because changes in accounting estimates are applied prospectively to future transactions and other future events, but changes in accounting policies are generally applied retrospectively to past transactions and other past events as well as the current period - Effective for annual periods beginning on or after 1 January 2023.

The Group is currently assessing the impact of these standards, interpretations and amendments on the future consolidated financial statements and intends to adopt these, if applicable, when they become effective.

4. SIGNIFICANT ACCOUNTING POLICIES

4.1 Financial instruments

Recognition and Initial Measurement

A financial instrument is any contract that gives rise to both a financial asset for the Group and a financial liability or equity instrument for another party or vice versa. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace. Recognised financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at FVTPL) are added to or deducted from the fair value of the financial assets or financial liabilities respectively, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at FVTPL are recognised immediately in consolidated statement of profit or loss.

Classification of financial assets

Balances with central banks, due from banks and financial institutions, financial assets and certain items in receivables and other assets that meet the following conditions are subsequently measured at amortised cost less impairment loss and deferred income, if any (except for those assets that are designated as at fair value through profit or loss on initial recognition). IFRS 9 contains three principal classification categories for financial assets: measured at amortized cost, fair value through other comprehensive income (FVOCI) and fair value through profit or loss (FVTPL). On initial recognition, a financial asset is classified as measured at: amortised cost, FVOCI or FVTPL.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Bank may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis. In addition, on initial recognition the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets measured at amortised cost

The effective interest rate method is a method of calculating the amortised cost of those financial instruments measured at amortised cost and of allocating income over the relevant period. The effective interest rate is the rate that is used to calculate the present value of the estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial instruments, or, where appropriate, a shorter period, to arrive at the net carrying amount on initial recognition. Income is recognised in the consolidated statement of profit or loss on an effective interest rate basis for financing and investing instruments measured subsequently at amortised cost.

Financial assets measured at FVTPL

Investments in equity instruments are classified as financial assets measured at FVTPL, unless the Group designates fair value through other comprehensive income (FVTOCI) at initial recognition. Financial assets that do not meet the amortised cost criteria described above, or that meet the criteria but the Group has chosen to designate it as at FVTPL at initial recognition, are measured at FVTPL. Financial assets (other than equity instruments) may be designated at FVTPL upon initial recognition if such designation eliminates or significantly reduces a measurement or recognition inconsistency that would arise from measuring assets or liabilities or recognizing the gains or losses on them on different basis. Financial assets are reclassified from amortised cost to FVTPL when the business model is changed such that the amortised cost criteria are no longer met. Reclassification of financial assets (other than equity instruments) designated as at FVTPL at initial recognition is not permitted. Financial assets measured at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on re-measurement recognised in the consolidated statement of profit or loss at the end of each reporting period. The net gain or loss recognised in the consolidated statement of profit or loss. Fair value is determined in the manner described in note 38.

Financial assets measured at FVTOCI

On initial recognition, the Group can make an irrevocable election (on an instrument-by-instrument basis) to designate investments in equity instruments as at FVTOCI. Designation at FVTOCI is not permitted if the equity investment is held for trading. A financial asset is held for trading if:

- it has been acquired principally for the purpose of selling it in the near term;
- on initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and has evidence of a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument or a financial guarantee.

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs.

Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the investments fair value reserve. Where the asset is disposed of, the cumulative gain or loss previously accumulated in the investments fair value reserve is not transferred to consolidated statement of profit or loss.

Business model assessment

The Bank assesses the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether

management›s strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Bank ‹s management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessments whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, ‹principal› is defined as the fair value of the financial asset on initial recognition. ‹Interest› is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin. In assessing whether the contractual cash flows are solely payments of principal and interest, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Group›s claim to cash from specified assets; and
- features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

The Group holds a portfolio of long-term fixed-rate loans for which the Group has the option to propose to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty.

The Group has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECLs are measured as follows:

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset;
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Derecognition

Financial assets

The Group derecognises a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Group neither transfers nor retains substantially all their risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

In the case where the financial asset is derecognised, the loss allowance for ECL is remeasured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated credit impaired. This applies only in the case where the fair value of the new loan is recognised at a significant discount to its revised par amount because there remains a high risk of default which has not been reduced by the modification. The Group monitors credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

Any cumulative gain or loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Group is recognised as a separate asset or liability.

The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognised. Examples of such transactions are securities lending and sale-and-repurchase transactions.

Financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit or loss.

When the Group exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability.

Purchased or originated credit-impaired (POCI) financial assets

For purchased or originated credit impaired (POCI) financial assets, the Group recognises all changes in lifetime ECL since initial recognition as a loss allowance with any changes recognised in statement of profit or loss. A favourable change for such assets creates an impairment gain.

Non-recourse loans

In some cases, loans made by the Group that are secured by collateral of the borrower limit the Group›s claim to cash flows of the underlying collateral (non-recourse loans). The group applies judgment in assessing whether the non-recourse loans meet the SPPI criterion.

The Group typically considers the following information when making this judgement:

- whether the contractual arrangement specifically defines the amounts and dates of the cash payments of the loan;
- the fair value of the collateral relative to the amount of the secured financial asset;
- the ability and willingness of the borrower to make contractual payments, notwithstanding a decline in the value of collateral;
- whether the borrower is an individual or a substantive operating entity or is a special-purpose entity;
- the Group›s risk of loss on the asset relative to a full-recourse loan; and
- the extent to which the collateral represents all or a substantial portion of the borrower›s assets; and whether the Group will benefit from any upside from the underlying assets.

Measurement of ECL

Credit loss allowances are measured using a three-stage approach based on the extent of credit deterioration since origination:

- Stage 1 – Where there has not been a significant increase in credit risk (SICR) since initial recognition of a financial instrument, an amount equal to 12 months expected credit loss is recorded. The expected credit loss is computed using a probability of default occurring over the next 12 months. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity is used.
- Stage 2 – When a financial instrument experiences a SICR subsequent to origination but is not considered to be in default, it is included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.
- Stage 3 – Financial instruments that are considered to be in default are included in this stage. Similar to Stage 2, the allowance for credit losses captures the lifetime expected credit losses.

ECLs are an unbiased probability-weighted estimate of the present value of credit losses that is determined by evaluating a range of possible outcomes. For funded exposures, ECL is measured as follows:

- for financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's effective interest rate (EIR);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;

However, for unfunded exposures, ECL is measured as follows:

For undrawn loan commitments, as the present value of the difference between the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is drawn down; and for financial guarantee contracts, the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Group expects to receive from the holder, the debtor or any other party. The Group measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic and credit risk characteristics. The measurement of the loss allowance is based on the present value of the asset's expected cash flows using the asset's original EIR, regardless of whether it is measured on an individual basis or a collective basis.

The key inputs into the measurement of ECL are the term structure of the following variables:

- Probability of default (PD) – PD estimates are estimates at a certain date, which are calculated based on statistical rating models currently used by the Group, and assessed using rating tools tailored to the various categories and sizes of counterparties.
- Exposure at default (EAD) – EAD represents the expected exposure upon default of an obligor. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortisation. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EADs are potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts. For financial guarantees, the EAD represents the amount of the guaranteed exposure when the financial guarantee becomes payable.

EAD is calculated as below:

  - For Direct Facilities: Limit or Exposure whichever is higher
  - For Letters of Credit & Acceptances: Limit or Exposure whichever is higher
  - For all types of Guarantees: Exposure
- Loss given default (LGD) – LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, considering cash flows from the proceeds from liquidation of any collateral. The LGD models for secured assets consider forecasts of future collateral valuation considering sale discounts, time to realisation of collateral, cross-collateralization and seniority of claim, cost of realization of collateral and cure rates (i.e. exit from non-performing status). LGD models for unsecured assets consider time of recovery, recovery rates and seniority of claims.

LGD is derived as below:

  - Senior Unsecured: 45%
  - Subordinated Unsecured: 75%
  - Eligible Securities as per Basel lower LGD, taking into consideration applicable Basel haircuts on collateral as well as LGD floors to certain collateral

Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics that include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term of maturity; industry; geography location of the borrower; size of counterparty; and segment of counterparty.

Forward-looking information

The measurement of expected credit losses for each stage and the assessment of significant increases in credit risk considers information about past events and current conditions as well as reasonable and supportable forecasts of future events and economic conditions. The estimation and application of forward-looking information requires significant judgement. The group formulates three economic scenarios: a base case with a 40% weight, upside scenario with a 30% weight and a downside scenario with 30% weight.

Macroeconomic factors

In its models, the Group relies on a broad range of forward-looking information as economic inputs, such as: GDP (Gross Domestic Product) growth and oil prices. The inputs and models used for calculating expected credit losses may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are made as temporary adjustments using expert credit judgement. The economic scenarios used as at 31 December 2022 included the following key indicators for the years ending 31 December 2023 to 2027.

	Macro Variable	Scenario	2023	2024	2025	2026	2027
UAE	Oil Price	Base	-8%	-20%	-6%	0%	2%
		Upside	-5%	-22%	-7%	0%	2%
		Downside	-25%	-25%	14%	4%	2%
	GDP	Base	2%	2%	3%	3%	3%
		Upside	4%	4%	3%	3%	3%
		Downside	-1%	-1%	4%	4%	4%
Lebanon	GDP	Baseline	5%	5%	6%	6%	7%
		Upside	5%	6%	6%	6%	8%
		Downside	4%	7%	7%	6%	9%
	Equity Index	Baseline	35%	14%	9%	2%	3%
		Upside	37%	12%	8%	0%	2%
		Downside	30%	19%	13%	4%	6%

Assessment of significant increase in credit risk

The assessment of a significant increase in credit risk is done on a relative basis. To assess whether the credit risk on a financial asset has increased significantly since origination, the Group compares the risk of default occurring over the expected life of the financial asset at the reporting date to the corresponding risk of default at origination, using key risk indicators that are used in the Group's existing risk management processes. At each reporting date, the assessment of a change in credit risk will be individually assessed for those considered individually significant. This assessment is symmetrical in nature, allowing credit risk of financial assets to move back to Stage 1, if certain criteria are met, if the increase in credit risk since origination has reduced and is no longer deemed to be significant.

The group assesses whether credit risk has increased significantly since initial recognition at each reporting date.

Determining whether an increase in credit risk is significant depends on the characteristics of the financial instrument and the borrower, and the geographical region. What is considered significant differs for different types of lending, in particular between wholesale and retail. The credit risk may be deemed to have increased significantly since initial recognition based on qualitative factors linked to the Group's credit risk management process that may not otherwise

be fully reflected in its quantitative analysis on a timely basis. This will be the case for exposures that meet certain heightened risk criteria, such as placement on a watch list. Such qualitative factors are based on its expert judgement and relevant historical experiences. As a backstop, the group considers that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due. Days past due are determined by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received. Due dates are determined without considering any grace period that might be available to the borrower. If there is evidence that there is no longer a significant increase in credit risk relative to the initial recognition, then the loss allowance on an instrument returns to being measured as 12-month ECL. Some qualitative indicators of an increase in credit risk, such as delinquency or forbearance, may be indicative of an increased risk of default that persists after the indicator itself has ceased to exist. In these cases, the Group determines a probation period during which the financial asset is required to demonstrate good behaviour to provide evidence that its credit risk has declined sufficiently. When contractual terms of a loan have been modified, evidence that the criteria for recognising lifetime ECL are no longer met includes a history of up-to-date payment performance against the modified contractual terms.

The group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due;
- the average time between the identification of a significant increase in credit risk and default appears reasonable;
- exposures are not generally transferred directly from 12-month ECL measurement to credit impaired; and
- there is no unwarranted volatility in loss allowance from transfers between 12-month PD [stage 1] and lifetime PD [stage 2].

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and expert credit assessment and including forward-looking information. The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- The remaining lifetime probability of default (PD) as at the reporting date; with
- The remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations)

The Group uses three criteria for determining whether there has been a significant increase in credit risk:

- quantitative test based on movement in PD;
- quantitative indicators
- a backstop of 30 days past due.

Improvement in credit risk profile

If there is evidence that there is no longer a significant increase in credit risk relative to initial recognition, then the loss allowance on an instrument returns to being measured as 12-month ECL.

The Group has defined below criteria in accordance with regulatory guidelines to assess any improvement in the credit risk profile which will result into upgrading of customers moving from Stage 3 to Stage 2 and from Stage 2 to Stage 1.

- Significant decrease in credit risk will be upgraded stage-wise (one stage at a time) from Stage 3 to Stage 2 and from Stage 2 to Stage 1 after meeting the curing period of at least 12 months.
- Restructured cases will be upgraded if repayments of 3 instalments (for quarterly instalments) have been made or 12 months (for instalments longer than quarterly) curing period is met.

Definition of default

The Bank considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Bank in full without recourse by the Bank to actions such as realising security (if any is held);
- the borrower is past due more than 90 days on any material credit obligation to the Bank; or
- it is becoming probable that the borrower will restructure the asset as a result of bankruptcy due to the borrower's inability to pay its credit obligations.

Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding.

In assessing whether a borrower is in default, the Bank considers indicators that are:

- qualitative - e.g. breaches of covenant;
- quantitative - e.g. overdue status and non-payment on another obligation of the same issuer to the Bank; and
- based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- financial assets measured at amortised cost: (as a deduction from the gross carrying amount of the assets);
- where a financial instrument includes both a drawn and an undrawn component, and the Group cannot identify the ECL on the loan commitment component separately from those on the drawn component: The Group presents a combined loss allowance for both components. The combined amount is presented as deduction from the gross carrying amount of the drawn component.
- debt instruments measured at FVOCI: no loss allowance is recognised in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognised in the statement of profit or loss.

Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows.

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. The amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received. In the case where the financial asset is derecognised, the loss allowances for ECL is remeasured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated credit impaired. This applies only in the case where the fair value of the new loan is recognised at a significant discount to its revised par amount because there remains a high risk of default which has not been reduced by the modification. The Group monitors credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms. On derecognition of a financial asset in its entirety, the difference between the carrying amount allocated to the part that is no longer recognised and the sum of the consideration received for the part no longer recognised and any cumulative gain / loss allocated to it that had been recognised in OCI is recognised in consolidated statement of profit or loss. Any cumulative gain / loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in the consolidated statement of profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Group is recognised as a separate asset or liability.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at FVTPL' or 'amortised cost'. The Group initially recognises financial liabilities such as deposits and debt securities issued on the date at which they are originated. All other financial liabilities (including liabilities designated at fair value through profit or loss) are initially recognised on the trade date at which the Group becomes party to the contractual provision of the instrument.

Financial liabilities at FVTPL

Financial liabilities are classified at FVTPL where the financial liability is either held for trading or it is designated at FVTPL and measured at fair value. Determination is made at initial recognition and is not reassessed. Financial liabilities at FVTPL are stated at fair value, with any gains / losses arising on remeasurement recognised in profit or loss to the extent that they are not part of a designated hedging relationship. The net gain/ loss recognised in consolidated statement of profit or loss incorporates any interest paid on the financial liability.

However, for non-derivative financial liabilities that are designated as at FVTPL, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in OCI, unless the recognition of the effects of changes in the liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognised in profit or loss. Changes in fair value attributable to a financial liability's credit risk that are recognised in OCI are not subsequently reclassified to consolidated statement of profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability. In making the determination of whether recognising changes in the liability's credit risk in OCI will create or enlarge an accounting mismatch in profit or loss, the Group assesses whether it expects that the effects of changes in the liability's credit risk will be offset in profit or loss by a change in the fair value of another financial instrument measured at FVTPL. This determination is made at initial recognition. Fair value is determined in the manner described in note 39. The Bank has designated certain financial liabilities as at FVTPL in either of the following circumstances: the liabilities are managed, evaluated and reported internally on a fair value basis; or the designation eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial liabilities at amortized cost

Other financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

De-recognition of financial liabilities

Financial liabilities are derecognised when they are extinguished - that is when the obligation specified in the contract is discharged, cancelled or expired.

Offsetting

Financial assets and liabilities are offset and reported net in the consolidated financial position only when there is a legally enforceable right to set off the recognised amounts and when the Group intends to settle either on a net basis, or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions such as in the Group trading activity. The Group is party to a number of arrangements, including master netting agreements, that give it the right to offset financial assets and financial liabilities but where it does not intend to settle the amounts.

4.2 Derivative financial instruments

A derivative is a financial instrument whose value changes in response to an underlying variable, that requires little or no initial investment and that is settled at a future date. The Group enters into a variety of derivative financial instruments to manage its exposure to foreign exchange rate risks, including forward foreign exchange contracts, interest rate swaps and currency swaps. All derivatives are carried at their fair values as assets where the fair values are positive and as liabilities where the fair values are negative. Fair values are generally obtained by reference to quoted market prices, discounted cash flow models and recognised pricing models as appropriate.

Hedge Accounting - The Bank may designate a recognised asset or liability, a firm commitment, highly probable forecast transaction or net investment of a foreign operation into a formal hedge accounting relationship with a derivative that has been entered to manage interest rate and/or foreign exchange risks present in the hedged item. The Bank continues to apply the hedge accounting requirements of IAS 39 Financial Instruments: Recognition and Measurement. For the purpose of hedge accounting, the Group classifies hedges into two categories: (a) fair value hedges, which hedge the exposure to changes in the fair value of a recognised asset or liability; and (b) cash flow hedges, which hedge exposure to variability in cash flows that are either attributable to a particular risk associated with a recognised asset or liability, or a highly probable forecasted transaction that will affect future reported net income. In order to qualify for hedge accounting, it is required that the hedge should be expected to be highly effective, i.e. the changes in fair value or cash flows of the hedging instrument should effectively offset corresponding changes in the hedged item and should be reliably measurable. At inception of the hedge, the risk management objectives and strategies are documented including the identification of the hedging instrument, the related hedged item, the nature of risk being hedged, and how the Group will assess the effectiveness of the hedging relationship. Subsequently, the hedge is required to be assessed and determined to be an effective hedge on an ongoing basis.

Fair value hedges - Where a hedging relationship is designated as at fair value hedge, the hedged item is adjusted for the change in fair value in respect of the risk being hedged. Gains or losses on the re-measurement of both the derivative and the hedged item are recognised in the consolidated statement of profit or loss. Fair value adjustments relating to the hedging instrument are allocated to the same consolidated statement of profit or loss category as the related hedged item. Any ineffectiveness is also recognised in the same consolidated statement of profit or loss category as the related hedged item. If the derivative is expired, sold, terminated, exercised, it no longer meets the criteria for fair value hedge accounting, or the designation is revoked, hedge accounting is discontinued. Any adjustment up to that point to a hedged item for which the effective interest method is used, is amortised in the consolidated statement of profit or loss as part of the recalculated effective interest rate over the period to maturity.

Cash flow hedges - The effective portion of changes in the fair value of derivatives that are designated and qualified as cash flow hedges are recognised in the cash flow hedging reserve in equity. The ineffective part of any gain or loss is recognised immediately in the consolidated statement of profit or loss as trading revenue/loss. Amounts accumulated in equity are transferred to the consolidated statement of profit or loss in the periods in which the hedged item affects profit or loss. However, when the forecast transaction that is hedged results in the recognition of a non-financial asset or a non-financial liability, the cumulative gains or losses previously deferred in equity are transferred from equity and included in the initial measurement of the cost of the asset or liability. When a hedging instrument is expired or sold, or when a hedge no longer meets the criteria for hedge accounting, the cumulative gains or losses recognised in other comprehensive income remain in

equity until the forecast transaction is recognised, in the case of a non-financial asset or a non-financial liability, or until the forecast transaction affects the consolidated statement of profit or loss. If the forecast transaction is no longer expected to occur, the cumulative gains or losses recognised in other comprehensive income are immediately transferred to the consolidated statement of profit or loss and classified as trading revenue/loss.

Derivatives that do not qualify for hedge accounting - All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognised immediately in the consolidated statement of profit or loss as trading revenue/loss. However, the gains and losses arising from changes in the fair values of derivatives that are managed in conjunction with financial instruments designated at fair value are included in net income from financial instruments designated at fair value under other non-interest revenue/loss. Derivatives embedded in other financial instruments or other non-financial host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contract and the host contract is not carried at fair value with unrealised gains or losses reported in the consolidated statement of profit or loss.

4.3 Cash and cash equivalents

Cash and cash equivalents include cash on hand, unrestricted balances held with Central Banks, deposits and balances due from banks, items in the course of collection from or in transmission to other banks and highly liquid assets with original maturities of less than three months from the date of acquisition, which are subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the consolidated statement of financial position.

4.4 Reverse-repo placements

Assets purchased with a simultaneous commitment to resell at a fixed price on a specified future date are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method and recognized initially at amortised cost.

4.5 Investment properties

Investment properties are held to earn rental income and/or capital appreciation. Investment properties include cost of initial purchase, developments transferred from property under development, subsequent cost of development, and fair value adjustments. Investment properties are reported at valuation based on fair value at the end of the reporting period. The fair value is determined on a periodic basis by independent professional valuers. Fair value adjustments on investment property are included in the consolidated statement of profit or loss in the period in which these gains or losses arise. Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in the consolidated statement of profit or loss in the period of derecognition. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

4.6 Assets acquired in settlement of debt

The Group often acquires real estate and other collateral in settlement of certain loans and advances. Such real estate and other collateral are stated at the lower of the net realisable value of the loans and advances and the current fair value of such assets at the date of acquisition. Subsequently, the real estate are measured at acquisition value, less impairment losses, if any. Gains or losses on disposal and unrealised losses on revaluation are recognised in the consolidated statement of profit or loss.

4.7 Property and equipment

Property and equipment are stated at historical cost less accumulated depreciation and impairment loss, if any. Historical cost includes expenditure that is directly attributable to the acquisition of the asset. Depreciation is charged so as to write off the cost or valuation of assets, over their estimated useful lives using the straight-line method as follows:

	Years
Buildings	20 - 40
Furniture and office equipment	2 - 6
Installation, partitions and decorations	3 - 4
Leasehold improvements	5 - 10
Motor vehicles	3

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the consolidated statement of profit or loss statement when incurred. Gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset at that date and is recognised in the consolidated statement of profit or loss. Capital work-in-progress is carried at cost, less any accumulated impairment loss. Cost includes professional fees and, for qualifying assets, borrowing costs capitalised in accordance with the Group's accounting policy. Depreciation of these assets commences when the assets are ready for their intended use.

4.8 Intangible assets acquired separately

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost). Subsequent to initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each annual reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Amortisation is charged so as to write off the cost of intangible assets, over their estimated useful lives using the straight-line method as follows:

	Years
Banking license	Indefinite
Legal corporate setup in Lebanon	10
Customer base	10
Branch network	10

4.9 Impairment of tangible and intangibles

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangibles to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable

amount of the assets is estimated in order to determine the extent of the impairment loss, if any. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. The recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than it's carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in the consolidated statement of profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease. Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in the consolidated statement of profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

4.10 Customers' deposits

Customers' deposits are initially measured at fair value which is normally consideration received net of directly attributable transaction costs incurred, and subsequently measured at their amortised cost using the effective interest method.

4.11 Acceptances

Acceptances arise when the Group is under an obligation to make payments against documents drawn under letters of credit. Acceptances specify the amount of money, the date and the person to which the payment is due. After acceptance, the instrument becomes an unconditional liability (time draft) of the Group and is therefore recognized as a financial liability in the consolidated statement of financial position with a corresponding contractual right of reimbursement from the customer recognized as a financial asset. Acceptances have been considered within the scope of IFRS 9 - Financial Instruments and continued to be recognized as a financial liability in the consolidated statement of financial position with a contractual right of reimbursement from the customer as a financial asset. Therefore, commitments with respect to acceptances have been accounted for as financial assets and financial liabilities.

4.12 Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms. Financial guarantees are initially recognised at their fair value, which is the premium received on issuance. The received premium is amortised over the life of the financial guarantee. The guarantee liability (the notional amount) is subsequently recognised at the higher of this amortised amount and the present value of any expected payments (when a payment under guarantee has become probable).

4.13 Employees' end-of-service benefits

The Group provides end of service benefits for its expatriate employees in accordance with U.A.E. Labour Law. The entitlement to these benefits is based upon the employees' length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment. Pension and national insurance contributions for the U.A.E. citizens are made by the Group in accordance with Federal Law No. 2 of 2000.

4.14 Provisions and contingent liabilities

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, considering the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows. When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably. Contingent liabilities, which include certain guarantees and letters of credit pledged as collateral security, are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the Group's control. Contingent liabilities are not recognised in the consolidated financial statements but are disclosed in the notes to the consolidated financial statements.

4.15 Leasing

The Group has applied IFRS 16 using the modified retrospective approach. At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in IFRS 16.

Group acting as a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates consideration in the contract to each lease component on the basis of its relative standalone price. However, for leases of branches and office premises the Group has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component. The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate. The weighted average lessee's incremental borrowing rate applied to lease liabilities recognised in the statement of financial position is 4.23%. The Group determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments; variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date; amounts expected to be payable under a residual value guarantee; and the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero. The Group presents right-of-use assets in 'property and equipment' and lease liabilities in 'other liabilities' in the statement of financial position.

Short-term leases and leases of low-value assets - The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including leases of IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Group acting as a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices. When the Group acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease. To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

Rent receivables

Rent receivables are recognised at their original invoiced value except where the time value of money is material, in which case rent receivables are recognised at fair value and subsequently measured at amortised cost. Refer to the accounting policies on financial assets for more details.

4.16 Revenue and expense recognition

Interest income and expense

Interest income and interest expense are recognised in consolidated statement of profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the Group estimates the future cash flows considering all contractual terms of the financial instrument, but not future credit losses.

The calculation of the effective interest rate includes transactions costs, fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Effective interest rate

Interest income and expense are recognised in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL. The calculation of the effective interest rate includes transaction cost and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issuance of a financial asset or financial liability.

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit impaired) or to the amortised cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest. The effective interest rate is also revised for fair value hedge adjustments at the date amortisation of the hedge adjustment begins. However, for financial assets that have become credit impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit impaired, then the calculation of interest income reverts to the gross basis. For financial assets that were credit impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

Fee and commission

Fee income, which is not an integral part of the effective interest rate of a financial instrument, is earned from a diverse range of services provided by the Group to its customers, and are accounted for in accordance with IFRS 15 'Revenue from Contracts with Customers'. Under the IFRS 15, fee income is measured by the Group based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Group recognises revenue when it transfers control over a product or service to a customer. A contract with a customer that results in a recognised financial instrument in the Group's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Group first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

Fee income is accounted for as follows:

- income earned on the execution of a significant act is recognised as revenue when the act is completed (for example, fees arising from negotiating, or participating in the negotiation of a transaction for a third-party, such as an arrangement for the acquisition of shares or other securities);
- income earned from the provision of services is recognised as revenue as the services are provided (for example, asset management, portfolio and other management advisory and service fees); and
- other fees and commission income and expense are recognised as the related services are performed or received.

Fee income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate (for example, certain loan commitment fees) and recorded in 'Interest income'.

Dividend income

Dividend income is recognized in the consolidated statement of profit or loss when the Group's right to receive such income is established. Usually this is the ex-dividend date for equity securities.

Rental income

The Group earns revenue from acting as a lessor in operating leases which do not transfer substantially all of the risks and rewards incidental to ownership of an investment properties or assets acquired in settlement of debts.

Rental income arising from operating leases on investment properties or assets acquired in settlement of debts is accounted for on a straight-line basis over the lease term and is included in revenue in the consolidated statement of profit or loss due to its operating nature, except for contingent rental income which is recognised when it arises. Initial direct costs incurred in negotiating and arranging an operating lease are recognised as an expense over the lease term on the same basis as the lease income.

Presentation

Interest income calculated using the effective interest method presented in the statement of profit or loss and OCI includes:

- Interest on financial assets measured at amortised cost;
- Interest on debt instruments measured at FVOCI;
- The effective portion of fair value changes in qualifying hedging derivatives designated in cash flow hedges of variability in interest cash flows, in the same period as the hedged cash flows affect interest income/expense; and
- The effective portion of fair value changes in qualifying hedging derivatives designated in fair value hedges of interest rate risk

Other interest income presented in the statement of profit or loss and OCI includes interest income on finance leases. Interest expense presented in the statement of profit or loss and OCI includes:

- Financial liabilities measured at amortised cost; and
- The effective portion of fair value changes in qualifying hedging derivatives designated as cash flows hedges of variability in interest cash flows; in the same period as the hedged cash flows affect interest income/ expense

Interest income and expenses on all trading assets and liabilities were considered to be incidental to the Groups trading operations and were presented together with all other changes in the fair value of trading assets and liabilities in net trading income. Interest income and expense on other financial assets and financial liabilities carried at FVTPL were presented in net income from other financial instruments at FVTPL.

4.17 Foreign currency transactions

Transactions in foreign currencies are recorded in the functional currency at the rate of exchange prevailing on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the rate of exchange prevailing at the consolidated statement of financial position date. Non-monetary assets and liabilities that are measured at historical cost in a foreign currency are translated into the functional currency using rate of exchange at the date of initial transaction. Non-monetary assets and liabilities measured at fair value in a foreign currency are translated into the functional currency using the rate of exchange at the date the fair value was determined. Foreign currency differences are generally recognised in the statement of profit or loss.

For financial assets measured at FVTPL, the foreign exchange component is recognised in the consolidated statement of profit or loss. For financial assets measured at FVTOCI any foreign exchange component is recognised in other comprehensive income. For foreign currency denominated debt instruments measured at amortised cost, the foreign exchange gains and losses are determined based on the amortised cost of the asset and are recognised in the consolidated statement of profit or loss.

4.18 Foreign operations

Group companies

The results and financial position of foreign operations that have a functional currency that is different from the group's presentation currency are translated into the group's presentation currency as follows:

- assets and liabilities (including goodwill, intangible assets and fair value adjustments arising on acquisition) are translated at the closing rate at the reporting date
- income and expenses are translated at average exchange rates for each month; and
- all resulting foreign exchange differences are accounted for directly in a separate component of OCI, being the group's FCTR.

Transactions and balances

Foreign currency transactions are translated into the respective group entities' functional currencies at exchange rates prevailing at the date of the transactions (in certain instances a rate that approximates the actual rate at the date of the transactions is utilised, for example an average rate for a month). Foreign exchange gains and losses resulting from the settlement of such transaction and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates, are recognised in profit or loss (except when recognised in OCI as part of qualifying cash flow hedges and net investment hedges). Non-monetary assets and liabilities denominated in foreign currencies that are measured at historical cost are translated using the exchange rate at the transaction date, and those measured at fair value are translated at the exchange rate at the date that the fair value was determined. Exchange rate differences on non-monetary items are accounted for based on the classification of the underlying items. Foreign exchange gains and losses on equities (debt) classified as fair value through OCI are recognised in the fair value through OCI reserve in OCI (trading revenue) whereas the exchange differences on equities (debt) that are classified as held at fair value through profit

or loss are reported as part of the other revenue (trading revenue) in profit or loss. Foreign currency gains and losses on intragroup loans are recognised in profit or loss except where the settlement of the loan is neither planned nor likely to occur in the foreseeable future. In these cases, the foreign currency gains and losses are recognised in the group's FCTR. The results, cash flows and financial position of group entities which are accounted for as entities operating in hyperinflationary economies and that have functional currencies different from the presentation currency of the group are translated into the presentation currency of its parent at the exchange rate at the reporting date. These foreign exchange gains and losses on a hyperinflationary foreign operation are presented in OCI.

Subsidiaries in hyperinflationary economies

The results and financial position of the group entities whose functional currencies are the currencies of hyperinflationary economies are adjusted in terms of the measuring unit at the end of the reporting year following the historic cost approach. However, as the presentation currency of the group is that of a non-hyperinflationary economy, comparative amounts are not adjusted for changes in the index in the current year. Differences between these comparative amounts and current year hyperinflation adjustment are recognised directly in equity and the currency translation differences on translation of foreign operations to the presentation currency of the Group are recognised in the consolidated statement of comprehensive income.

The carrying amounts of non-monetary assets and liabilities are adjusted to reflect the change in the general price index from the date of acquisition to the end of the reporting year. On initial application of hyperinflation, prior year gains and losses are recognised directly in equity. Gains or losses on the net monetary position are recognised in profit or loss. All items recognised in the income statement are restated by applying the change in the general price index from the dates when the items of income and expenses were initially earned or incurred. At the beginning of the first year of application, the components of equity, except retained earnings, are restated by applying a general price index from the dates the components were contributed or otherwise arose. These restatements are recognised directly in equity as an adjustment to opening retained earnings. Restated retained earnings are derived from all other amounts in the restated statement of financial position. At the end of the first year and in subsequent years, all components of equity are restated by applying a general price index from the beginning of the year or the date of contribution, if later. All items in the statement of cash flows are expressed in terms of the general price index at the end of the reporting year. Results, cash flows and the financial position of the group's subsidiaries which have been classified as hyperinflationary have been expressed in terms of the measuring unit current at the reporting date. The International Practices Task Force (IPTF) of the Centre of Audit Quality (CAQ) in its discussion document for the 10 November 2020 meeting stated Lebanon as one of the countries with three-year cumulative inflation rates exceeding 100%. In addition, applying the October 2020 International Monetary Fund (IMF) information and the indicators laid out in IAS29, the Lebanese economy was considered as hyperinflationary during 2020. Accordingly, the results and financial position of the Group's subsidiary – Emirates Lebanon Bank SAL expressed in terms of the measuring unit current at the reporting date.

4.19 Fiduciary activities

The Group acts as trustee/manager and in other capacities that result in holding or placing of assets in a fiduciary capacity on behalf of trusts or other institutions. Such assets and income arising thereon are not included in the Group's consolidated financial statements as they are not assets of the Group.

4.20 Taxation

Provision is made for current and deferred taxes arising from operating results of overseas subsidiary in accordance with the fiscal regulations of the respective country in which the subsidiary operates.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the consolidated statement of profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures, except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. The preparation of the consolidated financial statements requires management to make estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses. Such estimates are necessarily based on assumptions about several factors involving varying degrees of judgment and uncertainty and actual results may therefore differ, resulting in future changes in these estimates.

4.21 Business combinations

Acquisitions of subsidiaries and businesses are accounted for using the purchase method. The cost of the business combination is measured at the aggregate of the fair values, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the Group in exchange for control of the acquiree, plus any costs directly attributable to the business combination. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under IFRS 3 Business Combinations are recognised at their fair values at the acquisition date; except for non-current assets (or disposal banks) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations, which are recognised and measured at fair value less costs to sell. Goodwill arising on acquisition is recognised as an asset and initially measured at cost, being the excess of the cost of the business combination over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised. If,

after reassessment, the Group's interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities exceeds the cost of the business combination, the excess is recognised immediately in the consolidated statement of profit or loss. The interest of non-controlling shareholders in the acquiree is initially measured at the non-controlling shareholder's proportion of the net fair value of the assets, liabilities and contingent liabilities recognised.

4.22 Goodwill

Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill is allocated to each of the Group's cash-generating units expected to benefit from the synergies of the combination. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

4.23 Taxation

On 9 December 2022, the UAE Ministry of Finance released the Federal Decree-Law No. 47 of 2022 on the Taxation of Corporations and Businesses (the Law) to enact a Federal corporate tax (CT) regime in the UAE. The CT regime will become effective for accounting periods beginning on or after 1 June 2023.

A rate of 9% will apply to taxable income exceeding a particular threshold to be prescribed by way of a Cabinet Decision (expected to be AED 375,000 based on information released by the Ministry of Finance), a rate of 0% will apply to taxable income not exceeding this threshold. In addition, there are several other decisions that are yet to be finalized by way of a Cabinet Decision that are significant in order for entities to determine their tax status and taxable income. Therefore, pending such important decisions, the Group has considered that the Law, as it currently stands, is not substantively enacted as at 31 December 2022 from the perspective of IAS 12 – Income Taxes. The Group shall continue to monitor the timing of the issuance of these critical Cabinet Decisions to determine their tax status and the application of IAS 12 – Income Taxes.

5. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION

In the application of the Group's accounting policies, which are described in Note 4, management is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods. Significant areas where management has used estimates, assumptions or exercised judgements are as follows:

5.1 Measurement of the expected credit loss allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost and FVTOCI is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behavior (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring Expected Credit Loss (ECL) is further detailed in note 36.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining the criteria for significant increase in credit risk;
- Determining the criteria and definition of default;
- Choosing appropriate models and assumptions for the measurement of ECL, including measurement of ECL for default exposures;
- Determining the fair values of underlying collaterals values, if any, for each financial asset;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

5.2 Valuation of investment properties and assets acquired in settlement of debts

The fair values of investment properties and assets acquired in settlement of debts are determined by real estate valuation experts using recognised valuation techniques and the principles of IFRS 13 Fair Value Measurement. investment properties and assets acquired in settlement of debts are measured based on estimates prepared by independent real estate valuation experts, except where such values cannot be reliably determined and on the basis of price offerings from potential buyers.

In one case, the fair value of the investment properties under development could not be reliably determined because it is situated in an area in which there is considerable political uncertainty and economic instability. Therefore, the circumstances do allow for an expert adjustment to the fair values' estimate; based on certain haircut that is suitable in the market. The significant methods and assumptions used by valuers in estimating the fair value of investment property are set out in notes10 and 11.

5.3 Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded on the consolidated statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but where observable market data are not available, judgment is required to establish fair values. These include comparison with similar instruments where market observable prices exist, discounted cash flow analysis and other valuation techniques commonly used by market participants.

5.4 Hyperinflation

The group exercises significant judgement in determining the hyperinflation in respect of its operations in Lebanon. Various characteristics of the economic environment of Lebanon are considered. These characteristics include, but are not limited to, whether:

- the general population prefers to keep its wealth in non-monetary assets or in a relatively stable foreign currency;
- prices are quoted in a relatively stable foreign currency;
- sales or purchase prices take expected losses of purchasing power during a short credit period into account;
- prices are linked to a price index; and
- the cumulative inflation rate over three years is approaching, or exceeds, 100%.

Lebanese Pound exchange rate

The economic and political situation in Lebanon, and the difficulty in accessing foreign currencies led to the emergence of a parallel market to the official peg whereby the price to access foreign currencies increased, deviating significantly from the official peg of 1507.5 LBP/USD. This has resulted in an uncontrolled rise in prices driving high inflation and rise in the consumer price index. Several exchange rates have emerged that vary significantly among each other and from the official exchange rate (refer to note 2). In the absence of any formal communication from the Central Bank of Lebanon, management has elected to use the sayrafa rate of LBP/USD 38,000 which is based on the Central Bank of Lebanon Sayrafa platform rate (31 December 2021: official rate LBP/USD 1,507.5) for the conversion of the financial statements of Emirates Lebanon Bank SAL to include them in the consolidated financial statements of the Group.

5.5 Determination of fair value of restructured loans

Loan modifications that are not identified as renegotiated are considered to be commercial restructuring. Where a commercial restructuring results in a modification such that the Group rights to the cash flows under the original contract have expired, the old loan is derecognised and a new financial asset is recognised at fair value.

In order to determine the fair value of loans and advances to customers, loans are segregated, as far as possible, into portfolios of similar characteristics. Fair values are based on observable market transactions, when available. When they are unavailable, fair values are estimated using valuation models incorporating a range of input assumptions. These assumptions may include: forward-looking discounted cash flow models, taking account of expected customer prepayment rates, using assumptions that the Group believes are consistent with those that would be used by market participants in valuing such loans; and new business rates estimates for similar loans. The fair value of loans reflects expected credit losses at the balance sheet date and the fair value effect of repricing between origination and the balance sheet date. For credit impaired loans, fair value is estimated by discounting the future cash flows over the time period they are expected to be recovered.

6. CASH AND BALANCES WITH CENTRAL BANKS

(a) The analysis of the Group's cash and balances with central banks is as follows:

	2022 AED'000	2021 AED'000
Cash on hand	**80,380**	90,996
Statutory deposits	**94,548**	302,431
Current accounts	**3,885,803**	2,924,101
Certificates of deposits	**41,524**	75,877
	4,102,255	3,393,405
Expected credit losses (Note 29)	**(153,148)**	(170,048)
	3,949,107	3,223,357

(b) The geographical analysis of the cash and balances with central banks is as follows:

	2022 AED'000	2021 AED'000
Banks abroad	**180,199**	309,459
Banks in the U.A.E.	**3,922,056**	3,083,946
	4,102,255	3,393,405
Expected credit losses (Note 29)	**(153,148)**	(170,048)
	3,949,107	3,223,357

As per the new UAE regulations, the bank is allowed to draw their balances held in the UAE reserve account, while ensuring that they meet the reserve requirements over 14 days period. Balances with other central banks includes mandatory reserves which are available for day-to-day operations only under certain specified conditions.

Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following consolidated statement of financial position amounts:

	2022 AED'000	2021 AED'000
Cash and balances with central banks (Note 6)	**4,102,255**	3,393,405
Deposits and balances due from banks (Note 7)	**115,580**	66,684
Deposits and balances due to banks (Note 17)	**(662,333)**	(237,995)
Repo borrowings (Note 18)	**(103,552)**	(750,000)
	3,451,950	2,472,094
Less: Deposits and balances with central banks - original maturity more than three months	**(40,796)**	(1,480,145)
Less: Statutory deposits with central banks (Note 6)	**(94,548)**	(302,431)
	3,316,606	689,518

**Approximately AED 4.9 billion of Repo borrowing have not been deducted from cash and cash equivalents as at 31 December 2022. Considering the increase in this Repo borrowing during the current financial year, the underlying substance of the borrowing and nature of the underlying collateral, the Group has classified the proceeds from the Repo borrowing as a cash inflow from financing activities. (Note 18)*

7. DEPOSITS AND BALANCES DUE FROM BANKS

(a) The analysis of the Group's deposits and balances due from banks is as follows:

	2022 AED'000	2021 AED'000
Demand	**88,152**	56,723
Time	**27,428**	9,961
	115,580	66,684
Expected credit losses (Note 29)	**(1,683)**	(2,330)
	113,897	64,354

(b) The geographical analysis of the deposits and balances due from banks is as follows:

	2022 AED'000	2021 AED'000
Banks abroad	**95,706**	44,687
Banks in the U.A.E.	**19,874**	21,997
	115,580	66,684
Expected credit losses (Note 29)	**(1,683)**	(2,330)
	113,897	**64,354**

8. LOANS AND ADVANCES, NET

(a) The analysis of the Group's loans and advances measured at amortised cost is as follows:

	2022 AED'000	2021 AED'000
Overdrafts	**4,077,074**	4,215,039
Commercial loans	**14,354,258**	14,458,504
Bills discounted	**2,375,775**	2,368,164
Other advances	**2,591,337**	2,279,250
Gross amount of loans and advances	**23,398,444**	23,320,957
Expected credit losses (Note 29)	**(1,775,177)**	(2,006,910)
Net loans and advances	**21,623,267**	**21,314,047**

(b) Impairment reserve

In accordance with CBUAE circular, in case where provision under CBUAE guidance exceeds provision under IFRS 9, the excess is required to be transferred to impairment reserve. The details of the same are below:

	Bank 2022 AED'000	Bank 2021 AED'000
Impairment reserve – Specific		
Specific provisions and interest in suspense under Circular 28/2010 of CBUAE	**1,008,658**	1,442,268
Stage 3 provisions under IFRS 9 *	**1,579,794**	1,914,094
Specific provision transferred to the impairment reserve	**-**	-
Impairment reserve – Collective		
Collective provisions under Circular 28/2010 of CBUAE	**398,970**	356,061
Stage 1 and Stage 2 provisions under IFRS 9 *	**251,346**	135,089
Collective provision transferred to the impairment reserve	**147,624**	**220,972**

As at 31 December 2022, AED 73.348 million are transferred from impairment reserve to retained earnings (2021: AED 32.010 million were transferred from retained earnings to impairment reserve).

* Provisions in accordance with IFRS 9 are determined based on CBUAE classification of loans and advances.

(c) The geographic analysis of the gross loans and advances of the Group is as follows:

	2022 AED'000	2021 AED'000
Loans and advances resident in the U.A.E.	**22,331,923**	22,000,596
Loans and advances non-resident in Lebanon	**59,545**	92,649
Loans and advances non-resident others	**1,006,976**	1,227,712
	23,398,444	**23,320,957**

(d) The composition of the loans and advances portfolio by economic sector is as follows:

	2022 AED'000	2021 AED'000
Economic sector		
Services	**7,232,066**	7,956,984
Personal loans	**3,977,585**	3,319,600
Trading	**3,694,148**	4,056,112
Manufacturing	**2,789,570**	2,588,383
Government	**1,152,359**	214,017
Construction	**966,101**	1,087,547
Mining and quarrying	**935,340**	1,058,804
Financial institutions	**706,856**	823,004
Government related entities	**701,806**	1,279,461
Transport and communication	**234,022**	229,301
Agriculture	**107**	1,109
Other	**1,008,484**	706,635
	23,398,444	23,320,957
Less: Expected credit losses (Note 29)	**(1,775,177)**	(2,006,910)
	21,623,267	21,314,047

(e) The composition of the non-performing loans and advances portfolio by economic sector is as follows:

	2022 AED'000	2021 AED'000
Economic sector		
Trading	**882,876**	1,115,914
Services	**124,225**	117,905
Manufacturing	**115,090**	203,630
Personal loans	**61,850**	41,799
Construction	**11,512**	38,231
Transport and communication	**577**	1,328
Financial institutions	**4**	7
Others	**107,140**	95
Total non-performing loans	**1,303,274**	1,518,909

9. INVESTMENTS MEASURED AT FAIR VALUE AND AMORTISED COST

(a) The analysis of the Group's investments measured at fair value is as follows:

	2022 AED'000	2021 AED'000
Investments measured at fair value		
Investments measured at FVTPL		
Quoted equity securities	**154,367**	172,948
	154,367	172,948
Investments measured at FVTOCI		
Quoted equity securities	**121,717**	140,265
Unquoted equity securities	**157,058**	171,592
Debt Securities	**3,956**	6,620
Expected credit losses (Note 29)	**(2,790)**	(4,670)
	279,941	313,807
Total investments measured at fair value	**434,308**	486,755
Investments measured at amortised cost		
Debt securities	**7,343,090**	4,363,876
Expected credit losses (Note 29)	**(7,930)**	(12,629)
Total investments measured at amortised cost	**7,335,160**	4,351,247
Total investments	**7,769,468**	4,838,002

All of the quoted investments are listed on the securities exchanges in the U.A.E. (Abu Dhabi Securities Exchange and Dubai Financial Market). Included in the debt securities measured at amortised cost are bonds and sukuk with the fair value of AED 6.27 billion (2021: AED 938 million) given as collateral against borrowings under repo agreements (Note 18).

(b) The composition of investments by geography is as follows:

	2022 AED'000	2021 AED'000
United Arab Emirates	**7,631,762**	4,684,444
Middle East (other than G.C.C. countries)	**129,093**	142,685
Europe	**19,333**	28,172
	7,780,188	4,855,301
Expected credit losses (Note 29)	**(10,720)**	(17,299)
	7,769,468	4,838,002

Investments measured at FVTOCI are not held to benefit from changes in their fair value and are not held for trading. The management believes therefore that designating these investments as at FVTOCI provides a more meaningful presentation of its medium to long-term interest in its investments rather than fair valuing through profit or loss.

During the year ended 31 December 2022, 20.5 million of equity securities were acquired at an amount of AED 22.9 million (2021: 1,083 thousand shares of equity securities were acquired at an amount of AED 837 thousand).

During the year ended 31 December 2022, dividends received from financial assets measured at FVTOCI and FVTPL amounting to AED 34 million (2021: AED 16 million) have been recognised as investment income in the consolidated statement of profit or loss.

10. INVESTMENT PROPERTIES

Details of investment properties are as follows:

	Plots of land AED'000	Commercial and residential units AED'000	Total AED'000
Opening balance at 1 January 2021	**26,900**	**740,694**	767,594
(Decrease)/increase in fair value during the year	(4,000)	9,151	5,151
Additions during the year	-	318,798	318,798
Balance at 31 December 2021	**22,900**	**1,068,643**	1,091,543
Increase in fair value during the year	-	66,198	66,198
Additions during the year	-	12,641	12,641
Disposals during the year	-	(12,273)	(12,273)
Fair value at 31 December 2022	**22,900**	**1,135,209**	**1,158,109**

The fair value of the Group's investment properties is estimated using sales comparison, income capitalisation, residual approach and discounted cash flow method, considering the property being valued. In estimating the fair value of the properties, the highest and best use of the properties is their current use. The valuations, where applicable were carried out by RICS certified professional valuers not related to the Group who hold recognised and relevant professional qualifications and have recent experience in the location and category of the investment properties being valued. The fair values have been determined based on varying valuation models depending on the intended use of the investment properties; in accordance with the Royal Institution of Chartered Surveyors (RICS) Valuation Standards. The valuation of investment properties performed by external valuer is based on the information available to them at the time of the valuation and relies on several inputs.

Valuation technique	Nature of property	Significant unobservable inputs
Income capitalisation	Community project	Capitalisation rate 8%
Direct comparison approach	Land and office units	Comparable transactions

11. ASSETS ACQUIRED IN SETTLEMENT OF DEBTS

	Real estate properties AED'000	Investment securities AED'000	Total AED'000
Balance at 1 January 2021	**2,947,305**	**9,185**	2,956,490
Decrease in fair value during the year	(280,440)	(5,175)	(285,615)
Additions during the year	123,176	10,441	133,617
Disposals during the year	(1,355,692)	-	(1,355,692)
Balance at 31 December 2021	**1,434,349**	**14,451**	**1,448,800**
(Decrease)/increase in fair value during the year	(19,986)	809	(19,177)
Additions during the year	493	-	493
Disposals during the year	(202,295)	-	(202,295)
Balance at 31 December 2022	**1,212,561**	**15,260**	**1,227,821**

Real estate properties represent properties and plots of lands acquired in settlement of debt. During the year, net unrealised losses of AED 19 million (2021: AED 286 million) are recognised in the consolidated statement of profit or loss on real estate properties. The realisable values of the properties and plots of land were carried out by RICS certified independent valuers having appropriate professional qualifications and are based on recent experience in the location and category of the properties and plots of land being valued. The fair value of these properties and plots of land as at 31 December 2022 amounted to AED 1,274 (2021: AED 1,450), out of which AED 1,213 million (2021: AED 1,434 million) was reflected in the statement of financial position as at year end. Description of valuation techniques and key inputs used to determine the realisable values of real estate properties acquired in settlement of debt as at 31 December 2022:

Valuation technique	Nature of property	Significant unobservable inputs
Discounted Cash Flow Approach	Villas	Discount rate 9%
Income capitalisation	Residential building	Capitalisation rate 8%
Direct comparison approach	Land, building, office units and villas	Comparable transactions

The assessment of realisable values performed by external valuer at 31 December 2022 is based on the information available to them at the time of assessment and relies on several inputs.

12. OTHER INTANGIBLE ASSETS

The analysis of the Group's other intangibles is as follows:

	2022 AED'000	2021 AED'000
Other intangibles		
Banking license	**18,365**	18,365
Customer base	**3,690**	3,710
Total	**22,055**	**22,075**

The movement of other intangible assets during the year is as follows:

	Banking license AED'000	Customer base AED'000	Total AED'000
Balance at 1 January 2021	**18,365**	**22,005**	**40,370**
Adjustment due to hyperinflation	-	47,821	47,821
Currency translation adjustment	-	(65,189)	(65,189)
Amortisation during the year	-	(927)	(927)
Balance at 31 December 2021	**18,365**	**3,710**	**22,075**
Adjustment due to hyperinflation	-	37,145	37,145
Currency translation adjustment	-	(35,935)	(35,935)
Amortisation during the year	-	(1,230)	(1,230)
Balance as at 31 December 2022	**18,365**	**3,690**	**22,055**

13. OTHER ASSETS

	2022 AED'000	2021 AED'000
Acceptances – contra (Note 19)	1,076,370	1,158,396
Interest receivable	56,728	16,851
Prepayments	10,431	7,948
Others	138,580	115,396
	1,282,109	1,298,591
Expected credit losses	(27,964)	(27,964)
Total	**1,254,145**	**1,270,627**

14. DERIVATIVE FINANCIAL INSTRUMENTS

In the ordinary course of business, the Group enters into various types of transactions that involve derivatives. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in the price of one or more underlying financial instruments, reference rate, or index. Derivative financial instruments which the Group enters into include forwards and swaps. The Group uses the following derivative financial instruments for both hedging and non-hedging purposes.

Forward currency transactions - Currency forwards represent commitments to purchase foreign and domestic currency, including undelivered spot transactions.

Swap transactions – Interest rate (IRS) and cross currency interest rate swaps (CCIRS) - are commitments to exchange one set of cash flows for another. CCIRS result in an economic exchange of currency cash flows. Exchange of principal may or may not take place. Under interest rate swaps, the Bank agrees with other parties to exchange, at specified intervals, the difference between fixed-rate and floating-rate interest amounts calculated by reference to an agreed notional amount. The Group's credit risk represents the potential cost to replace the swap contracts if counterparties fail to fulfil their obligation. This risk is monitored on an ongoing basis with reference to the current fair value. To control the level of credit risk taken, the Group assesses counterparties using the same techniques as for its lending activities, and applies cash margining with market counterparties to mitigate the credit risk involved.

Derivative related credit risk - Credit risk with respect to derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Group. The Group enters into derivative contracts with a number of financial institutions of good credit rating.

Derivatives held or issued for hedging purposes - The Group uses derivative financial instruments for hedging purposes as part of its asset and liability management activities in order to reduce its own exposure to fluctuations in interest rates and exchange rates. In all such cases the hedging relationship and objective, including details of the hedged item and hedging instrument, are formally documented and the transactions are accounted for as fair value hedges.

			Notional amounts by term to maturity			
	Positive fair value AED'000	Negative fair value AED'000	Notional amount AED'000	Within 3 months AED'000	3-12 months AED'000	1-5 years AED'000
2022						
Interest rate swaps	4,839	-	91,825	-	-	91,825
Currency swaps	1,549	-	3,649,543	3,649,543	-	-
Total	**6,388**	**-**	**3,741,368**	**3,649,543**	**-**	**91,825**
2021						
Interest rate swaps	6,090	(8,134)	1,949,261	1,928,325	-	20,936
Currency swaps	2,993	(788)	3,607,248	3,584,348	22,900	-
Total	**9,083**	**(8,922)**	**5,556,509**	**5,512,673**	**22,900**	**20,936**

15. PROPERTIES AND EQUIPMENT

	Land & buildings AED'000	Furniture and office equipment AED'000	Leasehold improvements installation, partitions and decoration AED'000	Motor vehicles AED'000	Total AED'000
Cost					
At 1 January 2021	573,359	271,796	227,335	8,969	1,081,459
Additions	2,757	3,387	6,991	170	13,305
Disposals	(8,630)	(43,176)	(40,177)	(2,107)	(94,090)
Adjustment due to hyperinflation	35,996	25,101	18,118	539	79,754
Currency translation adjustment	(229,877)	(173,775)	(144,137)	(4,236)	(552,025)
At 31 December 2021	373,605	83,333	68,130	3,335	528,403
Additions	12,490	4,095	1,011	450	18,046
Disposals	-	(15,584)	(20,620)	(1,129)	(37,333)
Adjustment due to hyperinflation	31,550	27,310	20,805	612	80,277
Currency translation adjustment	(17,431)	(15,089)	(11,494)	(340)	(44,354)
At 31 December 2022	**400,214**	**84,065**	**57,832**	**2,928**	**545,039**
Accumulated depreciation					
At 1 January 2021	182,533	227,129	161,289	7,922	578,873
Charge for the year	17,824	7,467	3,778	551	29,620
Disposals	(1,012)	(43,251)	(40,176)	(2,107)	(86,546)
Adjustment due to hyperinflation	13,225	20,158	13,323	482	47,188
Currency translation adjustment	(83,991)	(133,421)	(99,733)	(3,757)	(320,902)
At 31 December 2021	128,579	78,082	38,481	3,091	248,233
Charge for the year	20,095	7,631	3,900	248	31,874
Disposals	-	(15,745)	(19,629)	(1,129)	(36,503)
Adjustment due to hyperinflation	12,116	23,280	16,213	592	52,201
Currency translation adjustment	(6,694)	(12,862)	(8,957)	(327)	(28,840)
At 31 December 2022	**154,096**	**80,386**	**30,008**	**2,475**	**266,965**
Net book value:					
At 31 December 2022	**246,118**	**3,679**	**27,824**	**453**	**278,074**
At 31 December 2021	245,026	5,251	29,649	244	280,170

16. CUSTOMERS› DEPOSITS

The analysis of customers' deposits is as follows:

	2022 AED'000	2021 AED'000
Current and other accounts	**3,575,571**	3,193,512
Saving accounts	**135,884**	133,376
Time deposits	21,569,676	20,430,531
	25,281,131	**23,757,419**

17. DEPOSITS AND BALANCES DUE TO BANKS

The analysis of deposits and balances due to banks is as follows:

	2022 AED'000	2021 AED'000
Demand	**382,333**	57,995
Time	**280,000**	180,000
	662,333	**237,995**

Due to banks represent due to:

	2022 AED'000	2021 AED'000
Banks in the U.A.E.	**293,232**	207,563
Banks abroad	**369,101**	30,432
	662,333	**237,995**

18. REPO BORROWINGS

The analysis of the repo borrowing agreements is as follows:

	2022 AED'000	2021 AED'000
Banks in the U.A.E.	**5,003,552**	750,000
	5,003,552	**750,000**

The Group entered into repo agreements under which bonds with fair value of AED 6.27 billion (31 December 2021: AED 938 million) were given as collateral against borrowings. The risks and rewards relating to these bonds remain with the Group.

Repo borrowings include an amount of AED 4.9 billion which is represented as part of the group›s financing activities in the consolidated statement of cashflows. (Note 6)

19. OTHER LIABILITIES

	2022 AED'000	2021 AED'000
Acceptances – contra (Note 13)	**1,076,370**	1,158,396
Unearned income	**205,429**	216,839
Interest payable	**199,409**	244,647
Lease liabilities	**68,209**	79,756
Provision for employees' end of service benefits (Note 19.1)	**53,155**	43,874
ECL on unfunded exposure	**33,164**	22,919
Managers' cheques	**25,357**	38,091
Clearing balances	**21,341**	53,651
Deferred tax liability	**14,088**	10,693
Accrued expenses	**4,523**	3,252
Others	**200,493**	171,053
	1,901,538	2,043,171

19.1 The movement in the provision for employees' end of service benefits is as follows:

	2022 AED'000	2021 AED'000
At 1 January	**43,874**	48,056
Charged during the year	**11,143**	6,392
Write back to profit or loss	**-**	(48)
Payments during the year	**(1,611)**	(1,081)
Currency translation adjustment	**(251)**	(9,445)
At 31 December	**53,155**	**43,874**

20. ISSUED BONDS

Issue date	Maturity	Currency	Face value million	2022 Carrying value AED' 000	2021 Carrying value AED' 000
28 February 2017	Mar-22	USD	500	**-**	1,849,117
8 August 2019	Aug-22	USD	120	**-**	439,655
18 September 2019	Sep-24	USD	600	**2,203,134**	2,202,752
29 November 2019	Nov-23	CHF	100	**397,269**	402,568
25 February 2021	Feb-22	USD	125	**-**	459,087
28 February 2022	Feb-23	USD	125	**459,018**	-
				3,059,421	**5,353,179**

On 18 September 2019, the Bank issued Senior Unsecured Fixed Rate Notes, totalling USD 600 million (equivalent to AED 2,204 million) for a five-year maturity at mid swaps plus 250 basis points, to yield 4.015%, classified at amortized cost. The Notes were issued under the Bank's EMTN Programme which is listed on the Irish Stock Exchange.

On 29 November 2019, the Bank issued Senior Unsecured Fixed Rate Notes, totalling CHF 100 million (equivalent to AED 401 million) for a four-year maturity at mid swaps plus 205 basis points, to yield 1.4575%, classified at amortized cost. The Notes are listed on the SIX Swiss Exchange and were issued under the Bank's EMTN Programme.

On 28 February 2022, the Bank issued Senior Unsecured Fixed Rate Notes 2.85%, totalling USD 125 million (equivalent to AED 459.125 million) for a one-year maturity, classified at amortized cost. The Notes were issued under the EMTN Programme.

During the year, the Group has fully repaid the below notes:

- Senior Unsecured Fixed Rate Notes, totalling USD 500 million (equivalent to AED 1,836 million), issued on 28 February 2017 with a five-year maturity;
- Senior Unsecured Floating Rate Notes, totalling USD 120 million (equivalent to AED 440.76 million), issued on 8 August 2019 for a three-year maturity.
- Senior Unsecured Fixed Rate Notes 2%, totalling USD 125 million (equivalent to AED 459.125 million), issued on 25 February 2021 for a one-year maturity;

Subsequently, on 14 March 2023, the Bank issued Senior Unsecured Fixed Rate Notes, totalling USD 500 million (equivalent to AED 1,836.5 million) for a five-year maturity at a coupon of 7%, classified at amortized cost. The Notes were issued under the Bank's EMTN Programme which is listed on the Irish Stock Exchange.

The General Assembly on 5 August 2020, authorised an update of the Bank's EMTN programme and approved an increase in its global size from USD 1.5 billion to USD 2.5 billion.

The fair value and the change in that fair value that can be ascribed to changes in underlying credit risk are set out below:

	31 December 2022 AED'000	31 December 2021 AED'000
Fair value of issued bonds	**2,943,778**	5,425,231
Changes in fair value of issued bond not attributable to changes in market conditions	**6,526**	14,932
Difference between carrying amount and amount contractually required to be paid at maturity	**(624)**	11,762

The Group estimates changes in fair value due to credit risk by estimating the amount of change in fair value that is not due to changes in market conditions that give rise to market risk.

21. CAPITAL AND RESERVES

Issued and paid-up capital

	2022		2021	
	Number of shares	**AED'000**	Number of shares	AED'000
Issued capital	**2,200,000,000**	**2,200,000**	2,200,000,000	2,200,000
	2,200,000,000	**2,200,000**	2,200,000,000	2,200,000

Statutory reserve - In accordance with the Bank's Articles of Association and Article (239) of the UAE Federal Law No. (2) of 2015, the Bank transfers 10% of annual profits, if any, to the statutory reserve until it is equal to 50% of the paid-up share capital. This reserve is not available for distribution other than in circumstances stipulated by law.

Contingency reserve - In accordance with the Articles of Association of the Bank a contingency reserve is calculated at 10% of the profit for the year and transferred to a contingency reserve until this reserve becomes 50% of the issued and paid up capital.

General reserve - Transfers to general reserve are made based on the discretion of the Board of Directors and is subject to the approval of the shareholders at the annual general meeting.

Impairment reserve - In accordance with CBUAE circular, in case where provision under CBUAE guidance exceeds provision under IFRS 9, the excess is required to be transferred to impairment reserve.

22. (LOSS)/ PROFIT PER SHARE

(Loss)/ Profit per share are computed by dividing the loss for the year by the average number of shares outstanding during the year as follows:

Basic and diluted (loss)/ profit per share	**2022**	2021
(Loss)/ Profit attributable to owners of the Bank for the year (AED'000)	**(154,485)**	43,780
Weighted average number of ordinary shares: Ordinary shares at the beginning of the year	**2,200,000**	2,200,000
Weighted average number of shares outstanding during the year (in thousands shares)	**2,200,000**	2,200,000
Basic and diluted (loss)/ profit per share (AED)	**(0.07)**	0.02

As at the reporting date, the diluted (loss)/ profit per share is equal to the basic (loss)/ profit per share as the Group has not issued any financial instruments that should be taken into consideration when the diluted (loss)/ profit per share is calculated.

23. COMMITMENTS AND CONTINGENT LIABILITIES

	2022 AED'000	2021 AED'000
Financial guarantees for loans	**217,462**	179,340
Other guarantees	**1,370,661**	1,321,515
Letters of credit	**321,966**	1,015,052
	1,910,089	2,515,907
Irrevocable commitments to extend credit	**1,218,184**	1,039,391
	3,128,273	3,555,298

These contingent liabilities have off-balance sheet credit risk as only the related fees and accruals for probable losses are recognised in the statement of financial position until the commitments are fulfilled or expired. Many of the contingent liabilities will expire without being advanced in whole or in part. Therefore, the amounts do not represent expected future cash-flows.

Credit-related commitments include commitments to extend credit, standby letters of credit, and guarantees which are designed to meet the requirements of the Group's customers. Commitments to extend credit represent contractual commitments to make loans and advances and revolving credits. Commitments generally have fixed expiry dates, or other termination clauses. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash requirements. Letters of credit and guarantees commit the Group to make payments on behalf of customers contingent upon the failure of the customer to perform under the terms of the contract. The bank and its subsidiaries are party to legal proceedings, including regulatory investigations, in the ordinary course of business. While there is inherent difficulty in predicting the outcome of these proceedings, management does not expect the outcome of any of these proceedings, individually or in the aggregate, to have a material adverse effect on the consolidated financial position or the results of operations of the bank.

24. FIDUCIARY ASSETS

The Group holds investments amounting to AED 0.1 billion (31 December 2021: AED 0.1 billion) which are held on behalf of customers and not treated as assets in the consolidated statement of financial position.

25. INTEREST INCOME

	2022 AED'000	2021 AED'000
Loans and advances	**1,032,825**	906,644
Certificates of deposit and treasury bills with central banks and debt instruments	**4,670**	10,426
Net interest income on swaps	**84,065**	89,283
Placements with banks	**14,974**	1,576
	1,136,534	1,007,929

26. INTEREST EXPENSE

	2022 AED'000	2021 AED'000
Customers' deposits	**580,904**	502,710
Issued bonds	**130,177**	191,037
Banks' deposits	**56,036**	13,084
	767,117	706,831

27. NET FEE AND COMMISSION INCOME

	2022 AED'000	2021 AED'000
Management & commitment fees	**162,800**	95,490
Trade finance activities	**36,536**	37,802
Letters of guarantee	**18,008**	17,775
Corporate banking credit related fees	**14,566**	21,497
Others	**1,265**	1,453
	233,175	174,017

28. INCOME ON INVESTMENTS

	2022 AED'000	2021 AED'000
Dividends	**33,977**	15,926
Net trading gain	**1,778**	5,707
Realized and unrealized (loss)/ gain on investments measured at FVTPL	**(21,580)**	50,196
	14,175	71,829

29. NET IMPAIRMENT LOSS ON FINANCIAL ASSETS

	Opening balance AED'000	Net charges / (reversals) during the year AED'000	Write off during the year AED'000	Currency translation effect AED'000	Closing balance AED'000
Cash and balances with central banks	**170,048**	**(1,453)**	**-**	**(15,447)**	**153,148**
Deposits and balances due from banks	**2,330**	**(645)**	**-**	**(2)**	**1,683**
Loans and advances	**2,006,910**	**343,043**	**(568,195)**	**(6,581)**	**1,775,177**
Investments	**17,299**	**(1,864)**	**-**	**(4,715)**	**10,720**
Unfunded exposure	**22,919**	**10,275**	**-**	**(31)**	**33,163**
Other assets	**27,964**	**-**	**-**	**-**	**27,964**
	2,247,470	**349,356**	**(568,195)**	**(26,776)**	**2,001,855**
Direct recoveries		**(57,915)**			
Total after direct recoveries		**291,441**			

	Opening balance AED'000	Net charges / (reversals) during the year AED'000	Recoveries net of write off during the year AED'000	Currency translation effect AED'000	Closing balance AED'000
Cash and balances with central banks	710,108	(63,828)	-	(476,232)	**170,048**
Deposits and balances due from banks	1,617	834	-	(121)	**2,330**
Reverse-repo placements	1,152	(1,152)	-	-	**-**
Loans and advances	1,943,953	291,062	(34,968)	(193,137)	**2,006,910**
Investments	183,676	1,287	-	(167,664)	**17,299**
Unfunded exposure	131,529	(103,286)	-	(5,324)	**22,919**
Other assets	-	27,964	-	-	**27,964**
	2,972,035	**152,881**	**(34,968)**	**(842,478)**	**2,247,470**
Hyperinflation effect		**(25,299)**			
Total after hyperinflation effect		**127,582**			

30. GENERAL AND ADMINISTRATIVE EXPENSES

	2022 AED'000	2021 AED'000
Personnel expenses	**161,529**	152,900
Depreciation (Note 15)	**31,874**	29,620
Other expenses*	**107,727**	94,084
	301,130	276,604

*Other expenses include an amount of AED 5.4 million (2021: AED 1.7 million) representing social contributions made during the year ended 31 December 2022.

31. TAXATION

Income tax expense represents the income tax expense incurred in Lebanon by Emirates Lebanon Bank S.A.L. The enacted income tax rate in Lebanon is 17% (31 December 2021: 17%). Effective tax rate reconciliation is not material in relation to the consolidated financial statements as tax charge relates to an overseas subsidiary only.

32. SUBSIDIARIES

The Bank's interests, held directly or indirectly, in the subsidiaries are as follows:

Name of Subsidiary	Proportion of ownership interest		Year of incorporation	Year of acquisition	Country of incorporation	Principal activities
	2022	2021				
Emirates Lebanon Bank S.A.L.*	**100%**	100%	1965	2008	Lebanon	Financial institution
El Capital FZC	**100%**	100%	2007	2017	U.A.E.	Investment in a financial institution
BOS Real Estate FZC	**100%**	100%	2007	2007	U.A.E.	Real estate development activities
BOS Capital FZC	**100%**	100%	2007	2007	U.A.E.	Investment
Polyco General Trading L.L.C.	**100%**	100%	2008	2008	U.A.E.	General trading
Borealis Gulf FZC	**100%**	100%	2010	2010	U.A.E.	Investment & Real estate development activities
BOS Funding Limited	**100%**	100%	2015	2015	Cayman Islands	Financing activities
Muwaileh Capital FZC	**90%**	90%	2010	2017	U.A.E.	Developing of real estate & related activities
BOS Repos Limited	**100%**	100%	2018	2018	Cayman Islands	Financing activities
BOS Derivatives Limited	**100%**	100%	2018	2018	Cayman Islands	Financing activities
GTW Holding LTD	**100%**	-	2022	-	U.A.E. (ADGM)	To facilitate the sale of real estate assets
GDLR Holding LTD	**100%**	-	2022	-	U.A.E. (ADGM)	To facilitate the sale of real estate assets

*Emirates Lebanon Bank S.A.L (fully owned by the Group, 80% by Bank of Sharjah PJSC and 20% by EL Capital FZC) selected standalone financial information, comprehensive income and cash flows as at and for the years ended 31 December 2022 and 2021:

	2022 AED'000	2021 AED'000
Statement of financial position		
Total assets	**324,132**	451,827
Total liabilities	**221,139**	320,372
Equity	**102,993**	131,455
Statement of comprehensive income		
	8,513	22,433
Interest income	**(317,035)**	(191,332)
Loss for the year	**(317,065)**	(193,159)
Total comprehensive loss for the year		

33. RELATED PARTY BALANCES AND TRANSACTIONS

The Group enters into transactions with companies and entities that fall within the definition of a related party as contained in IAS 24 Related Party Disclosures. Related parties comprise companies under common ownership and/or common management and control, their shareholders and key management personnel. Transactions with associate and other related parties are made on substantially the same terms, as those prevailing at the same time for comparable transactions with external customers and parties. Transactions within the Group and its subsidiaries have been eliminated on consolidation and are not disclosed in this note. The related parties' balances included in the consolidated statement of financial position and the significant transactions with related parties are as follows:

Balances at the end of the reporting period	**2022 AED'000**	2021 AED'000
Loans and advances	**770,011**	727,818
Letters of credit, guarantee and acceptances	**556**	7,567
	770,567	735,385
Collateral deposits	**100**	45
Expected Credit Losses	**2,944**	6,380
Net exposure	**767,523**	728,960
Other deposits	**4,669,605**	2,429,958

Transactions during the reporting period	**2022 AED'000**	2021 AED'000
Interest income	**51,849**	51,002
Interest expense	**60,485**	40,306

Compensation of Directors and key management personnel

	2022 AED'000	2021 AED'000
Short term benefits	**16,560**	16,560
End of service benefits	**3,663**	2,801
Total compensation as at 31 December	**20,223**	19,361

No impairment loss has been recognised against balances outstanding with key management personnel and other related parties.

33.1 Transactions with owners and directors of the Group

Bank of Sharjah

Dividends - at the Annual General Meeting of the shareholders to approve the consolidated financial statements of 31 December 2021, held on 20 October 2022, the shareholders approved no cash dividends distribution (2020: no cash dividend distribution).

Directors' remuneration - at the Annual General Meeting of the shareholders to approve the consolidated financial statements of 31 December 2021, held on 20 October 2022, the shareholders of the Bank approved no Directors' remuneration (2020: no Directors' remuneration).

Charity donations - at the Annual General Meeting of the shareholders to approve the consolidated financial statements of 31 December 2021, held on 20 October 2022, the shareholders approved no charitable donations (2020: AED 7.5 million).

Transfer from reserves - at the Annual General Meeting of the shareholders held on 20 October 2022, the shareholders approved no transfer from reserves (2020: a transfer of AED 100 million from the General Reserve to Paid Up Capital as Bonus issue for 2020 of 4.76%).

Emirates Lebanon Bank

Directors' remuneration - At the Annual General Meeting of Emirates Lebanon Bank S.A.L, a subsidiary of the Bank, the shareholders approved no directors' remuneration for the year ended 31 December 2022.

34. SEGMENTAL INFORMATION

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segment and to assess its performance. Information reported to the Group's chief operating decision maker for the purposes of resource allocation and assessment of segment performance is specifically focused on the type of business activities undertaken as a Group. For operating purposes, the Group is organised into two major business segments:

(i) Commercial Banking, which principally provides loans and other credit facilities, deposits and current accounts for corporate, government, institutional and individual customers; and
(ii) Investment Banking, which involves the management of the Group's investment portfolio.

The following table presents information regarding the Group's operating segments for the year ended 31 December 2022:

	Commercial Banking AED'000	Investment banking AED'000	Unallocated* AED'000	Total AED'000
Operating income				
- Net interest income	281,253	88,164	-	369,417
- Net fee and commission income	233,175	-	-	233,175
- Exchange profit	31,657	-	-	31,657
- Income on investments	-	14,175	-	14,175
- Net income on properties	-	98,113	-	98,113
- Other income	1,438	-	-	1,438
Total operating income	547,523	200,452	-	747,975
Other material non-cash items				
- Net impairment charge on financial assets	(288,124)	(3,317)	-	(291,441)
- Depreciation	-	-	(31,874)	(31,874)
- Loss on monetary position	-	-	(312,436)	(312,436)
- General and administrative expenses	(228,868)	(40,388)	-	(269,256)
- Amortization of intangible assets	-	-	(1,230)	(1,230)
- Income tax expenses – overseas	-	-	(506)	(506)
Net profit for the year	30,531	156,747	(346,046)	(158,768)
Segment assets	26,896,320	8,815,952	1,690,059	37,402,331
Segment liabilities	32,023,386	3,059,421	825,168	35,907,975

The following table presents information regarding the Group's operating segments for the year ended 31 December 2021:

	Commercial Banking AED'000	Investment banking AED'000	Unallocated* AED'000	Total AED'000
Operating income				
- Net interest income	232,928	68,170	-	301,098
- Net fee and commission income	174,017	-	-	174,017
- Exchange profit	20,989	-	-	20,989
- Income on investments	-	71,829	-	71,829
- Net income on properties	-	73,735	-	73,735
- Other income	1,765	-	-	1,765
Total operating income	429,699	213,734	-	643,433
Other material non-cash items				
- Net impairment charge on financial assets	(190,123)	62,541	-	(127,582)
- Depreciation	-	-	(29,620)	(29,620)
- Loss on monetary position	-	-	(191,206)	(191,206)
- General and administrative expenses	(209,936)	(37,048)	-	(246,984)
- Amortization of intangible assets	-	-	(927)	(927)
- Income tax expenses – overseas	-	-	(4,705)	(4,705)
Net profit for the year	29,640	239,227	(226,458)	42,409
Segment assets	25,876,400	5,835,374	1,850,284	33,562,058
Segment liabilities	25,903,805	5,353,179	893,702	32,150,686

* Unallocated items comprise mainly head office expenses and tax assets and liabilities of the overseas subsidiary as well as monetary losses resulting from the application of IAS 29.

Revenue reported above represents revenue generated from external customers. There were no inter-segment sales during the year (2021: Nil). Transactions between segments, inter-segment cost of funds and allocation of expenses are not determined by management for resource allocation purpose. The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 4. For the purposes of monitoring segment performance and allocating resources between segments:

- All assets are allocated to reportable segments except for property and equipment, goodwill and other intangibles and certain amounts included in other assets; and
- All liabilities are allocated to reportable segments except for certain amounts included in other liabilities.

34.1 Geographical information

The Group operates in two principal geographical areas - United Arab Emirates (country of domicile) and Lebanon (referred to as 'Foreign Entity'). The Group's operating income and information about its non-current assets by geographical location are detailed below:

	Country of domicile AED'000	Foreign AED'000	Total AED'000
2022			
Operating income	738,470	9,505	747,975
2021			
Operating income	625,090	18,343	643,433

34.2 Information about major customers

In 2022, one customer accounted for more than 10% of the Group's operating income (2021: one customer accounted for more than 10% of the Group's operating income).

35. CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

(a) The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2022:

	FVTPL AED'000	FVTOCI AED'000	Amortised cost AED'000	Total AED'000
Financial assets:	-	-	3,868,726	3,868,726
Cash and balances with central banks	-	-	113,897	113,897
Deposits and balances due from banks	-	-	21,623,267	21,623,267
Loans and advances, net	154,367	279,941	-	434,308
Investments measured at fair value	-	-	7,335,160	7,335,160
Investments measured at amortised cost	21,648	-	1,243,715	1,265,363
Other assets and derivatives	176,015	279,941	34,184,765	34,640,721
Total				
Financial liabilities:				
Customers' deposits	-	-	25,281,131	25,281,131
Deposits and balances due to banks	-	-	662,333	662,333
Repo borrowings	-	-	5,003,552	5,003,552
Other liabilities	-	-	1,642,954	1,642,954
Issued Bonds	-	-	3,059,421	3,059,421
Total	-	-	35,649,390	35,649,390

(b) The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2021:

	FVTPL AED'000	FVTOCI AED'000	Amortised cost AED'000	Total AED'000
Financial assets:				
Cash and balances with central banks	-	-	3,223,357	3,223,357
Deposits and balances due from banks	-	-	64,354	64,354
Loans and advances, net	-	-	21,314,047	21,314,047
Investments measured at fair value	172,948	313,807	-	486,755
Investments measured at amortised cost	-	-	4,351,247	4,351,247
Other assets and derivatives	23,534	-	1,262,680	1,286,214
Total	196,482	313,807	30,215,685	30,725,974
Financial liabilities:				
Customers' deposits	-	-	23,757,419	23,757,419
Deposits and balances due to banks	-	-	237,995	237,995
Repo borrowings	-	-	750,000	750,000
Other liabilities	8,922	-	1,969,024	1,977,946
Issued Bonds	1,836,500	-	3,516,679	5,353,179
Total	1,845,422	-	30,231,117	32,076,539

36. FINANCIAL RISK MANAGEMENT

The Group has Senior Management committees to oversee the risk management. The Board Executive Committee and the Board Risk Committee, under delegation from the Board of Directors defines policies, processes, and systems to manage and monitor credit risk. It also sets policies, system and limits for interest rate risk, foreign exchange risk, and liquidity risk. The Group also has a Credit Risk function which independently reviews adherence to all risk management policies and processes. The Group's internal audit function, which is part of risk review, primarily evaluates the effectiveness of the controls addressing operational risk.

The Emirates Lebanon Bank SAL operations are carried out in Lebanon which has been witnessing, since 17 October 2019, severe events that have set off an interconnected fiscal, monetary and economic crisis as well as deep recession that have reached unprecedented levels. Sovereign credit ratings have witnessed a series of downgrades by all major rating agencies and reached the level of default when, on 7 March 2020, the Lebanese Republic announced that it will withhold payment on the bonds due on 9 March 2020, which was followed by another announcement on 23 March 2020 for the discontinuation of payments on all of its US Dollars denominated Eurobonds. Throughout this sequence of events, the ability of the Lebanese Government and the banking sector in Lebanon to borrow funds from international markets was significantly affected. Banks have imposed unofficial capital controls, restricted transfers of foreign currencies outside Lebanon, significantly reduced credit lines to companies and withdrawal of cash to private depositors, all of which added to the disruption of Lebanon's economic activity, as the economic model of Lebanon relies mainly on imports and consumption. Businesses are downsizing, closing or going bankrupt and unemployment and poverty are rising fast and have reached unprecedented levels. The difficulty in accessing foreign currencies led to the emergence of a parallel market to the peg whereby the price to access foreign currencies has been increasing constantly, deviating significantly from the peg of 1,507.5 LBP/USD. This has resulted in an uncontrolled rise in prices and the incessant de facto depreciation of the Lebanese pound, impacting intensely the purchasing power of the Lebanese citizens, driving a currency crisis, high inflation and rise in the consumer price index.

As a result of the above, these consolidated financial statements have reflected adjustments including an increase in expected credit losses (and respective staging). The Group continues to monitor the situation closely and the subsidiary continues to operate and has support from the Group.

Credit risk management

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counter-parties, and continually assessing the creditworthiness of counter-parties. In addition to monitoring credit limits, the Group manages the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counter-parties in appropriate circumstances, and by limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counter-parties to mitigate credit risk. Concentrations of credit risk arise when a number of counter-parties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political, or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Group's performance to developments affecting a particular industry or geographic location.

Policies relating to credit are reviewed and approved by the Group's Executive Committee. All credit lines are approved in accordance with the Group's credit policy set out in the Credit Policy Manual. Credit and marketing functions are segregated. In addition, whenever possible, loans are secured by acceptable forms of collateral in order to mitigate credit risk. The Group further limits risk through diversification of its assets by economic and industry sectors. All credit facilities are administered and monitored by the Credit Administration Department. Periodic reviews are conducted by Credit Risk and facilities are risk graded based on criterion established in the Credit Policy Manual. Cross border exposure and financial institutions exposure limits for money market and treasury activities are approved as per guidelines established by the Group's Executive Committee and are monitored by the Senior Management on a daily basis. The Executive Committee is responsible for setting credit policy of the Group. It also establishes industry caps, approves policy exceptions, and conducts periodic portfolio reviews to ascertain portfolio quality.

Commercial/Institutional lending underwriting - All credit applications for Commercial and Institutional lending are subject to the Group's credit policies, underwriting standards and industry caps (if any) and to regulatory requirements, as applicable from time to time. The Group does not lend to companies operating in industries that are considered by the Group inherently risky and where industry knowledge specialisation is required. In addition, the Group sets credit limits for all customers based on their creditworthiness. All credit facilities extended by the Group are made subject to prior approval pursuant to a delegated signature authority system under the ultimate authority of the Executive Committee or the Group's Executive Director and General Manager under the supervision of the Board. At least two signatures are required to approve any commercial or institutional credit application.

Credit review procedures and loan classification - The Group's Credit Risk department subjects the Group's risk assets to an independent quality evaluation on a regular basis in conformity with the guidelines of the Central Bank of the U.A.E. and the Group's internal policies in order to assist in the early identification of accrual and potential performance problems. The Credit Risk department validates the risk ratings of all commercial clients, provides an assessment of portfolio risk by product and industry and monitors observance of all approved credit policies, guidelines and operating procedures across the Group. All commercial/institutional loan facilities of the Group are assigned one of ten risk ratings (1-10) where 1 is being excellent and 10 being loss with no reimbursement capacity and total provisioning. If a Loan is impaired, interest will be suspended and not be credited to the consolidated statement of profit or loss. Specific allowance for impairment of classified assets is made based on recoverability of outstanding and risk ratings of the assets. The Group also measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

Credit risk management at the level of Emirates Lebanon Bank SAL

Measurement uncertainty and sensitivity analysis of Sovereign and Central Bank of Lebanon ECL estimates

Due to the current and economic financial crisis prevailing in the country, the recognition and measurement of ECL involves the use of significant judgement and estimation. The subsidiary's management forms three economic scenarios, which is in line with best market practices, based on economic forecasts, apply these assumptions to credit risk models to estimate future credit losses, and probability-weight the results to determine an unbiased ECL estimate.

1) Methodology

The high degree of uncertainty surrounding the Lebanese banking sector and the Lebanese economy as a whole has been triggered by the following events:

- business disruption since the last quarter of 2019;
- a series of Lebanese sovereign credit risk downgrades which started to deteriorate since the last quarter of 2019 and reached a default credit risk rating by all major rating during 2020, after years of a stable credit risk rating at "B" category
- restrictions on the movement and withdrawal of funds in foreign currencies;
- the inability to transfer foreign currency funds outside Lebanon;
- the sharp fluctuation in the foreign currency exchange rates and creation of parallel markets with a wide range of price variances;
- on March 7, 2020, the Lebanese Government announced its decision to default on the 6.375% US$1,200,000,000 bonds due on March 9, 2020;
- an announcement on March 23, 2020 by the Lebanese Government to discontinue payments on all of its U.S. Dollars denominated Eurobonds;
- further deterioration in the market value of Lebanese Government bonds to junk status, resulting in the majority of the valuation of financial assets being adversely impacted in Lebanon;
- prolonged severe inactivity in capital markets rendering markets illiquid;

The subsidiary's management assessed whether financial assets are credit impaired and considered factors mentioned above such as credit ratings and the ability of the borrower to raise funding leading to a reclassification for sovereign exposure to stage 3 as at 31 December 2022 and 2021. The three economic scenarios as at 31 December 2022 and 2021 and their likely outcomes are referred to as the Baseline, Optimistic and Downside scenarios.

The Optimistic and Downside scenarios are consistent with a probability weighting of 15% and 35%, respectively, while the Base scenario is assigned the remaining 50%. Although there is no scientific approach behind the weights of each scenario, this weighting scheme is deemed appropriate for the unbiased estimation of ECL in most circumstances. The subsidiary's management noted that there is a great difficulty in the determination of expected credit losses given the absence of publicly available supporting data. With a probability of default of 100% on all instruments, the key determinant of the ECL is the Loss Given Default (LGD) per instrument type, based on assumptions. The rationale behind the LGD per instrument is correlated to whom will suffer a greater haircut in potential Central Bank of Lebanon (BDL) recapitalization. Specifically, the moving from the Optimistic, to Base and Downside scenario, the impact from the recapitalization shifts from the Lebanese Government (and therefore requiring to haircut its bonds by a higher percentage) to the BDL's depositors in foreign currency (FCY). At the reporting date, a team of independent valuation experts have reviewed subsidiary's management above scenarios and ECL assessment.

2) Description of consensus economic scenarios

The economic assumptions presented in this section have been formed by the subsidiary with reference to available assumptions specifically for the purpose of calculating ECL. Management considered the PD parameter constant at 1 and sensitized the LGD assumption per instrument type. The Lebanese Treasury Bills for all scenarios were kept at a constant LGD of 20% as at December 31,2022 and 2021; Subsidiary's management applied the 20% to all scenarios based on a Citigroup report for Lebanese Restructuring which suggested 20% as a potential haircut on the Lebanese Treasury Bills. The

Subsidiary's total gross exposure in Lebanese Treasury bills as at December 31, 2022 stands at LBP 8 billion (LBP 14 billion as at December 31, 2021) and hence there is a minor impact that might arise in relation to this instrument.

The consensus Base scenario

The current accounts and statutory reserves in foreign currency held with the Central Bank of Lebanon are calculated on the basis of a stage three classification with LGD of 15% and 3.6% respectively (15% and 3.6% respectively as at December 31, 2021) and for both the long-term placements with the Central Bank of Lebanon and Certificates of deposit issued by the Central Bank of Lebanon LGD of 27% as at December 31, 2022 (25% as at December 31, 2021). The ECL on Lebanese government bonds in foreign currency held at fair value through other comprehensive income and at amortized cost are both calculated on the basis of a stage three classification with LGD of 70% as at December 31, 2022 and 70% as at December 31, 2021.

The consensus Optimistic scenario

The current accounts and statutory reserves in foreign currency held with the Central Bank of Lebanon are calculated on the basis of a stage three classification with LGD of 7.5% and 3.6% respectively (7.5% and 3.6% respectively as at December 31, 2021) and for both the long-term placements with the Central Bank of Lebanon and Certificates of deposit issued by the Central Bank of Lebanon LGD of 27% (20.8% as at December 31, 2021). The ECL on Lebanese government bonds in foreign currency held at fair value through other comprehensive income and at amortized cost is calculated on the basis of a stage three classification with LGD of 85% as at December 31, 2022 and 85% as at December 31, 2021.

The consensus Downside scenario

The current accounts and statutory reserves in foreign currency held with the Central Bank of Lebanon are calculated on the basis of a stage three classification with LGD of 30% and 12.4% respectively as at December 31, 2022 (30% and 11% respectively as at December 31, 2021) and for both the long-term placements with the Central Bank of Lebanon and Certificates of deposit issued by the Central Bank of Lebanon LGD of 30% (33% as at December 31, 2021). The ECL on Lebanese government bonds in foreign currency held at fair value through other comprehensive income and at amortized cost is calculated on the basis of a stage three classification with LGD of 65% as at December 31, 2022 and 65% as at December 31, 2021.

3) Economic scenarios sensitivity analysis of ECL estimates on the sovereign and Central Bank of Lebanon exposure

Management considered the sensitivity of the ECL outcome by calculating the ECL under each scenario described above for the sovereign exposure, applying a 15%, 50%, and 35% weighting to the Optimistic, Base, and Downside scenarios respectively. The weighting is reflected in both the determination of a significant increase in credit risk and the measurement of the resulting ECL. The ECL calculated for the Optimistic and Downside scenarios should not be taken to represent the upper and lower limits of possible actual ECL outcomes. For all Central Bank of Lebanon outstanding instruments in foreign currency, the assumption is that the LGD is equivalent to the Central Bank foreign currency gap in his balance sheet adjusted by the permitted GDP deficit. This adjusted gap is estimated to represent around 16.8% (16.8% as at December 31, 2021) of total foreign currency liabilities which was derived mainly from Central Bank of Lebanon balance sheet as at December 31, 2022 and independent reports to show a split between foreign currency and Lebanese pound denominated assets and liabilities, as detailed below:

- For the current accounts in foreign currency held with the Central Bank of Lebanon, the Subsidiary's management's approach is where LGD is ultimately determined based on who will cover the Central Bank of Lebanon foreign currency gap. A scenario where banks are ultimately required to provide for potential losses instead of the Government. In this hypothetical scenario, the required ECL would be 30% on the current account balances in U.S. Dollars held with the BDL. Moreover, the rationale for applying a 7.5% LGD on the Optimistic and 15% on the Base scenarios is that LGD on BDL Current Accounts will be reduced through funding by the Government (or through customer deposit conversion and / or haircut) which might result in a lower than 30% haircut on the bank›s deposits. Hence a maximum LGD of 30% is assumed and a lower LGD to the remaining scenarios, on the assumption that the bondholders might not recover their full balances.
- For the mandatory reserves in foreign currency held with the Central Bank of Lebanon, considering that they are still unused, and in an attempt to be prudent, the Subsidiary's management used an LGD of 3.6% for both the Optimistic and Base scenarios and 12.4% for the Downside scenario (LGD of 3.6% for both the Optimistic and Base scenarios and 12.4% for the Downside scenario as at December 31, 2021).
- For the long-term placements in foreign currency held with the Central Bank of Lebanon and Certificates of deposit (CDs) in foreign currency, considering the longer-term nature of these accounts the subsidiary's management has determined the provisions to be equal to the Central Bank of Lebanon deficit adjusted by the loans to commercial banks outstanding at the Central Bank of Lebanon balance sheet. Three scenarios were used for the loans outstanding to commercial banks optimistic, base and adverse with a weighing loss of 25%, 50% and 100% respectively on this account balance as at December 31, 2021. Based on the above scenarios the Bank applied a revised Central Bank foreign currency gap deficit equivalent to 27% for the optimistic scenario, 27% for the base line scenario and 30% on the downside. (27% for the base and 27% for the optimistic scenario and 30% for the downside scenario as at December 31, 2021).

The regulatory governing body, namely the Central Bank of Lebanon imposed in the Intermediate circular 567 issued on 26 August 2020 a minimum regulatory ECL using present LGDs. The weighted ECL calculated and booked by the management far exceeds the minimum regulatory ECL.

Expected credit loss allowance

As of 31 December 2022	Stage 1		Stage 2		Stage 3		Total	
	AED'000 Exposure	AED'000 ECL	AED'000 Exposure	AED'000 ECL	AED'000 Exposure	AED'000 ECL	AED'000 Exposure	AED'000 ECL
Balances with central banks	3,969,877	-	16,174	1,080	116,204	152,068	4,102,255	153,148
Due from banks and financial institutions	114,609	1,463	971	220	-	-	115,580	1,683
Loans and advances	12,083,860	80,771	10,011,310	1,297,614	1,303,274	396,792	23,398,444	1,775,177
Investments measured at FVOCI	278,708	-	-	-	4,023	2,790	282,731	2,790
Investments measured at amortised cost	7,336,639	3,784	-	-	6,451	4,146	7,343,090	7,930
Other assets	1,282,109	27,964	-	-	-	-	1,282,109	27,964
Unfunded exposure	1,957,215	14,610	165,107	17,164	5,361	1,389	2,127,683	33,163
	27,023,017	**128,592**	**10,193,562**	**1,316,078**	**1,435,313**	**557,185**	**38,651,892**	**2,001,855**

As of 31 December 2021	Stage 1		Stage 2		Stage 3		Total	
	AED'000 Exposure	AED'000 ECL	AED'000 Exposure	AED'000 ECL	AED'000 Exposure	AED'000 ECL	AED'000 Exposure	AED'000 ECL
Balances with central banks	3,160,817	-	30,734	2,053	201,854	167,995	3,393,405	170,048
Due from banks and financial institutions	66,426	2,325	258	5	-	-	66,684	2,330
Loans and advances	12,876,926	70,870	8,925,122	1,168,422	1,518,909	767,618	23,320,957	2,006,910
Investments measured at FVOCI	311,741	-	-	-	6,736	4,670	318,477	4,670
Investments measured at amortised cost	4,352,060	5,503	-	-	11,816	7,126	4,363,876	12,629
Other assets	1,298,591	27,964	-	-	-	-	1,298,591	27,964
Unfunded exposure	3,228,050	8,286	126,402	14,258	2,261	375	3,356,713	22,919
	25,294,611	**114,948**	**9,082,516**	**1,184,738**	**1,741,576**	**947,784**	**36,118,703**	**2,247,470**

Stage migration of loans and advances

	Stage 1		Stage 2		Stage 3		Total	
	Exposure AED'000	ECL AED'000	Exposure AED'000	ECL AED'000	Exposure AED'000	ECL AED'000	Exposure AED'000	ECL AED'000
Retail banking loans								
As of 1 January 2022	910,804	1,458	9,019	23	9,094	219	928,917	1,700
Transfers from stage 1 to stage 2	(2,762)	-	2,762	-	-	-	-	-
Transfers from stage 2 to stage 1	204	-	(204)	-	-	-	-	-
Transfers from 1&2 to stage 3	(1)	-	(8,413)	-	8,414	-	-	-
Transfers from stage 3	-	-	-	-	-	-	-	-
Other movements	953,027	6,328	1,112	23	4,806	231	958,945	6,582
Currency translation effect	(508)	(34)	-	-	(91)	(79)	(599)	(113)
As of 31 December 2022	**1,860,764**	**7,752**	**4,276**	**46**	**22,223**	**371**	**1,887,263**	**8,169**
Wholesale banking loans								
As of 1 January 2022	11,966,122	69,412	8,916,103	1,168,399	1,509,815	767,399	22,392,040	2,005,210
Transfers from stage 1 to stage 2	(1,301,885)	(20,749)	1,301,885	20,749	-	-	-	-
Transfers from stage 2 to stage 1	14,229	344	(14,229)	(344)	-	-	-	-
Transfers from 1&2 to stage 3	(69,131)	(144)	(289,976)	(1,752)	359,107	1,896	-	-
Transfers from stage 3	-	-	42,184	6,592	(42,184)	(6,592)	-	-
Other movements	(370,548)	24,175	66,376	105,793	(539,658)	(361,692)	(843,830)	(231,724)
Currency translation effect	(15,691)	(19)	(15,309)	(1,869)	(6,029)	(4,590)	(37,029)	(6,478)
As of 31 December 2022	**10,223,096**	**73,019**	**10,007,034**	**1,297,568**	**1,281,051**	**396,421**	**21,511,181**	**1,767,008**
	12,083,860	**80,771**	**10,011,310**	**1,297,614**	**1,303,274**	**396,792**	**23,398,444**	**1,775,177**

	Stage 1 Exposure AED'000	Stage 1 ECL AED'000	Stage 2 Exposure AED'000	Stage 2 ECL AED'000	Stage 3 Exposure AED'000	Stage 3 ECL AED'000	Total Exposure AED'000	Total ECL AED'000
Retail banking loans								
As of 1 January 2021	**1,194,710**	**3,816**	**10,385**	**79**	**8,890**	**3,460**	**1,213,985**	**7,355**
Transfers from stage 1 to stage 2	(6,773)	-	6,773	-	-	-	-	-
Transfers from stage 2 to stage 1	-	-	-	-	-	-	-	-
Transfers from 1&2 to stage 3	(707)	-	-	-	707	-	-	-
Transfers from stage 3	-	-	-	-	-	-	-	-
Other movements	(251,039)	(1,183)	(8,139)	(56)	2,111	(934)	(257,067)	(2,173)
Currency translation effect	(25,387)	(1,175)	-	-	(2,614)	(2,307)	(28,001)	(3,482)
As of 31 December 2021	**910,804**	**1,458**	**9,019**	**23**	**9,094**	**219**	**928,917**	**1,700**
Wholesale banking loans								
As of 1 January 2021	**12,748,526**	**285,862**	**5,796,366**	**760,891**	**2,704,358**	**889,845**	**21,249,250**	**1,936,598**
Transfers from stage 1 to stage 2	(1,488,756)	(3,760)	1,488,756	3,760	-	-	-	-
Transfers from stage 2 to stage 1	1,060,865	121,595	(1,060,865)	(121,595)	-	-	-	-
Transfers from 1&2 to stage 3	(23,770)	(713)	(13,035)	(1,857)	36,805	2,570	-	-
Transfers from stage 3	-	-	1,167,437	141,723	(1,167,437)	(141,723)	-	-
Other movements	250,767	(306,769)	2,161,043	420,502	269,111	144,534	2,680,921	258,267
Currency translation effect	(581,510)	(26,803)	(623,599)	(35,025)	(333,022)	(127,827)	(1,538,131)	(189,655)
As of 31 December 2021	**11,966,122**	**69,412**	**8,916,103**	**1,168,399**	**1,509,815**	**767,399**	**22,392,040**	**2,005,210**
	12,876,926	**70,870**	**8,925,122**	**1,168,422**	**1,518,909**	**767,618**	**23,320,957**	**2,006,910**

ECL change/(flow) of loans and advances

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Retail banking loans:				
ECL allowance as of 1 January 2022	**1,458**	**23**	**219**	**1,700**
Others	**6,328**	**23**	**231**	**6,582**
Currency translation effect	**(34)**	**-**	**(79)**	**(113)**
ECL allowance as of 31 December 2022	**7,752**	**46**	**371**	**8,169**
Wholesale banking loans:				
ECL allowance as of 1 January 2022	**69,412**	**1,168,399**	**767,399**	**2,005,210**
Emirates governments	**(1,747)**	**-**	**-**	**(1,747)**
GREs (Gov ownership >50%)	**(2,413)**	**-**	**-**	**(2,413)**
Other corporates	**11,169**	**74,307**	**(292,227)**	**(206,751)**
High net worth individuals	**(734)**	**45,679**	**17,340**	**62,285**
SMEs	**(2,625)**	**11,088**	**(92,332)**	**(83,869)**
Others	**(24)**	**(36)**	**831**	**771**
Currency translation effect	**(19)**	**(1,869)**	**(4,590)**	**(6,478)**
ECL allowance as of 31 December 2022	**73,019**	**1,297,568**	**396,421**	**1,767,008**
Total	**80,771**	**1,297,614**	**396,792**	**1,775,177**
Retail banking loans:				
ECL allowance as of 1 January 2021	3,816	79	3,460	7,355
Others	(1,183)	(56)	(934)	(2,173)
Currency translation effect	(1,175)	-	(2,307)	(3,482)
ECL allowance as of 31 December 2021	**1,458**	**23**	**219**	**1,700**
Wholesale banking loans:				
ECL allowance as of 1 January 2021	285,862	760,891	889,845	1,936,598
Emirates governments	1,071	-	-	1,071
GREs (Gov ownership >50%)	(2,844)	-	-	(2,844)
Other corporates	(171,125)	288,130	30,607	147,612
High net worth individuals	1,961	89,790	(82,761)	8,990
SMEs	(16,885)	93,249	6,667	83,031
Others	(1,825)	(28,636)	50,868	20,407
Currency translation effect	(26,803)	(35,025)	(127,827)	(189,655)
ECL allowance as of 31 December 2021	**69,412**	**1,168,399**	**767,399**	**2,005,210**
Total	**70,870**	**1,168,422**	**767,618**	**2,006,910**

Maximum exposure to credit risk

2022	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Loans and advances				
Grade 1	-	-	-	-
Grade 2	126	-	-	126
Grade 3	1,858,199	1,404	9	1,859,612
Grade 4	3,717,003	394,814	8	4,111,825
Grade 5	2,160,247	386,645	1,786	2,548,678
Grade 6	3,636,762	4,699,079	7,042	8,342,883
Grade 7	370,785	1,968,327	228,930	2,568,042
Default grades 8-10	340,738	2,561,041	1,065,499	3,967,278
Total gross carrying amount	**12,083,860**	**10,011,310**	**1,303,274**	**23,398,444**
Allowance for impairment losses	(80,771)	(1,297,614)	(396,792)	(1,775,177)
Net carrying amount	**12,003,089**	**8,713,696**	**906,482**	**21,623,267**

2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Loans and advances				
Grade 1	-	-	-	-
Grade 2	150	-	-	150
Grade 3	4,457,814	580	-	4,458,394
Grade 4	3,806,918	831,151	-	4,638,069
Grade 5	1,460,797	201,291	-	1,662,088
Grade 6	1,925,331	4,695,569	-	6,620,900
Grade 7	1,025,916	2,548,614	-	3,574,530
Default grades 8-10	200,000	647,917	1,518,909	2,366,826
Total gross carrying amount	**12,876,926**	**8,925,122**	**1,518,909**	**23,320,957**
Allowance for impairment losses	(70,870)	(1,168,422)	(767,618)	(2,006,910)
Net carrying amount	**12,806,056**	**7,756,700**	**751,291**	**21,314,047**

The Central Bank of the UAE classification of loans and advances

2022	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Loans and advances				
Normal	10,764,948	1,474,700	123,682	12,363,330
Other loans exceptionally monitored	-	1,040,397	-	1,040,397
Substandard	1,085,663	2,404,844	54,773	3,545,280
Doubtful	199,686	3,851,159	349,139	4,399,984
Loss	-	1,228,772	761,036	1,989,808
Total gross carrying amount	**12,050,297**	**9,999,872**	**1,288,630**	**23,338,799**
Allowance for impairment losses	(80,618)	(1,295,930)	(388,053)	(1,764,601)
Net carrying amount	**11,969,679**	**8,703,942**	**900,577**	**21,574,198**

2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Loans and advances				
Normal	10,990,980	755,050	29,605	11,775,635
Other loans exceptionally monitored	4,433	93,324	-	97,757
Substandard	1,641,279	5,983,224	206	7,624,709
Doubtful	200,000	1,896,315	1,242,979	3,339,294
Loss	-	159,185	230,917	390,102
Total gross carrying amount	**12,836,692**	**8,887,098**	**1,503,707**	**23,227,497**
Allowance for impairment losses	(70,739)	(1,163,781)	(756,021)	(1,990,541)
Net carrying amount	**12,765,953**	**7,723,317**	**747,686**	**21,236,956**

The table below shows the maximum exposure to credit risk for the components of the statement of financial position, including contingent liabilities and commitments. The maximum exposure is shown, before the effect of mitigation through the use of credit enhancements, master netting and collateral agreements.

		2022 AED'000	2021 AED'000
Balances with Central Banks	6	3,868,727	3,132,361
Deposits and balances due from banks	7	113,897	64,354
Loans and advances, net	8	21,623,267	21,314,047
Investments measured at amortised cost	9	7,335,160	4,351,247
Other assets (excluding prepayments & other non-financial assets)	34	1,265,363	1,286,214
Total		**34,206,414**	**30,148,223**
Letters of credit	23	321,966	1,015,052
Guarantees	23	1,588,123	1,500,855
Undrawn loan commitments	23	1,218,184	1,039,391
Total		**3,128,273**	**3,555,298**
Total credit risk exposure		**37,334,687**	**33,703,521**

Where financial instruments are recorded at fair value the amounts shown above represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

Aging analysis of past due but not impaired loans per class of on-balance sheet financial assets

	Less than 30 days 2022 AED'000	31 to 89 days 2022 AED'000	More than 90 days 2022 AED'000	Total 2022 AED'000
	AED'000	AED'000	AED'000	AED'000
Loans and advances	**32**	**644**	**430,606**	**431,282**

	Less than 30 days 2021 AED'000	31 to 89 days 2021 AED'000	More than 90 days 2021 AED'000	Total 2021 AED'000
	AED'000	AED'000	AED'000	AED'000
Loans and advances	5,300	61,395	178,120	244,815

Collaterals held against loans and advances

The fair value of the collateral that the Group held as at 31 December 2022 for past due but not impaired loans and advances to customers covers 110% (2021: 141%) of the outstanding balance. For each loan, the value of the disclosed collateral is capped to the nominal amount of the loan that is held against.

Carrying amount per class of on-balance sheet financial assets whose terms have been renegotiated

	2022 AED'000	2021 AED'000
Loans and advances	**5,766,663**	4,644,060

Impaired loans

Impaired loans are loans for which the Group determines that it is likely the collectability of all principal and interest due according to the contractual terms of the loan/securities agreement(s) would be doubtful. These loans are graded 8 to 10 in the Group's internal credit risk grading system.

Write-off policy

The Group writes off a loan balance (and any related allowances for impairment losses) when the Group determines that the loans are uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrower/issuer's financial position such that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. The Group holds collateral against loans and advances in the form of mortgage interests over properties, vehicles and machineries, cash margins, fixed deposits, guarantees and others. The Group accepts guarantees mainly from well-reputed local or international banks, well-established local or multinational corporate and high net worth private individuals. Management has estimated the fair value of collateral to be AED 13.2 billion (2021: AED 14.3 billion) out of which AED 499 million is collateral held against stage 3 loans and advances (2021: AED 172 million). The fair value of the collateral includes cash deposits which are not under lien and the Group has right to set-off against the outstanding facilities. Concentration risk arises when a number of counterparties are engaged in similar business activities or activities in same geographic region or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. The Group measure its exposure to credit risk by reference to gross carrying amount of financial assets less amounts offset, profit suspended and impairment losses, if any. Concentration of credit risk by industrial sector for loans and advances are presented in notes 8(d) and 8(e). Concentration of credit risk by geographical distribution of loans and advances and financial investments is set out in note 8(c).

Liquidity risk management

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations from its financial liabilities.

Executive Committee (EC) & Board Risk Committee (BRC) - In addition to its credit related activity, the Executive Committee along with the Board Risk Committee have a broad range of authority delegated by the Board of Directors to manage the Group's asset and liability structure and funding strategy. The EC and BRC review liquidity ratios; asset and liability structure; interest rate and foreign exchange exposures; internal and statutory ratio requirements; funding gaps; and general domestic and international economic and financial market conditions. The EC & BRC formulate liquidity risk management guidelines for the Group's operation on the basis of such review.

The Group's Senior Management monitors the liquidity on a daily basis and uses an interest rate simulation model to measure and monitor interest rate sensitivity and varying interest rate scenarios. The EC members comprise of the Chairman, four Board Members, in addition to the General Manager. The EC meets once or more every 45 days, as circumstances dictate. The quorum requires all members to be present at the meeting and decisions taken to be unanimous. The Group manages its liquidity in accordance with U.A.E. Central Bank requirements and the Group's internal guidelines. The U.A.E. Central Bank sets cash ratio reserve requirements on overall deposits ranging between 1.0 percent for time deposits and 14.0 percent for demand deposits, according to the tenor of the deposits. In addition, the U.A.E. Central Bank requires that banks regulated under the Eligible Liquid Asset Ratio (ELAR) regime maintain a stock of High-Quality Liquid Assets (HQLA), as a buffer against unexpected deposit outflows, of a minimum of 10% (reduced during the Covid-19 pandemic to 7%) of all deposits. The Group complies with this regulation at all times, and applies a higher standard in its internal guidelines. The U.A.E. Central Bank also imposes a mandatory 1:1 utilisation ratio, whereby; loans and advances (combined with inter-bank placements having a remaining term of 'greater than three months') should not exceed stable funds as defined by the U.A.E. Central Bank. Stable funds are defined by the U.A.E. Central Bank to mean free-own funds, inter-bank deposits with a remaining term of more than six months, and stable customer deposits. To guard against liquidity risk, the Group diversifies its funding sources and manages its assets with liquidity in mind, seeking to maintain a preferable proportion between cash, cash equivalent, and readily marketable securities. The Board Risk Committee sets and monitors liquidity ratios and regularly revises and updates the Group's liquidity management policies to ensure that the Group would be in a position to meet its obligations as they fall due. Management of liquidity risk within the parameters prescribed by the Board Risk Committee has been delegated to an Asset and Liability Committee (ALCO) comprising the General Manager (operations) and senior executives from treasury, finance, risk, corporate credit, operations, and investment departments.

The Group's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or potential damage to the Group's reputation.

The Treasury department communicates with other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. The Treasury maintains a portfolio of liquid assets to ensure liquidity is maintained within the Group's operations as a whole.

The daily liquidity position is monitored and regular liquidity stress testing is performed under a variety of scenarios covering both normal and severe market conditions. All liquidity policies and procedures are subject to review and approval by the Board. The Daily Position sheet, which reports the liquidity and exchange positions of the Group is reviewed by Senior Management. A summary report, including any exceptions and remedial action taken, is submitted to the Board Risk Committee.

Exposure to liquidity risk

The key measure used by the Group for measuring liquidity risk is the advances to stable resources ratio (regulatory ratio) which is 84.60% as at 31 December 2022 (2021: is 84.48%). In addition, the Group also uses the following ratios/ information on a continuous basis for measuring liquidity risk:

- Liquid assets to total assets ratio;
- Net loans to deposits ratio (LDR);
- Basel III ratios (including ASRR, ELAR, etc.) are also monitored internally and shared with the Board on quarterly basis.

The maturity profile of the assets and liabilities at 31 December 2022 based on the remaining period from the end of the reporting period to the contractual maturity date is as follows:

2022	Within 3 months AED'000	Over 3 months to 1 year AED'000	Over 1 year AED'000	No fixed maturity AED'000	Total AED'000
Assets					
Cash and balances with central banks	3,836,726	1,070	30,931	80,380	**3,949,107**
Deposits and balances due from banks	113,897	-	-	-	**113,897**
Loans and advances, net	4,648,385	2,268,136	14,706,746	-	**21,623,267**
Investments measured at fair value	154,367	-	-	279,941	**434,308**
Investments measured at amortised cost	7,332,884	-	1,846	430	**7,335,160**
Investment properties	-	-	-	1,158,109	**1,158,109**
Other intangibles	-	-	-	22,055	**22,055**
Assets acquired in settlement of debt	-	-	-	1,227,821	**1,227,821**
Other assets	1,040,793	5,252	208,100	-	**1,254,145**
Derivative assets held for risk management	6,388	-	-	-	**6,388**
Property and equipment	-	-	-	278,074	**278,074**
Total assets	**17,133,440**	**2,274,458**	**14,947,623**	**3,046,810**	**37,402,331**
Liabilities					
Customers' deposits	11,866,690	12,997,814	416,627	-	**25,281,131**
Deposits and balances due to banks	662,333	-	-	-	**662,333**
Repo-borrowing	5,003,552	-	-	-	**5,003,552**
Other liabilities	1,880,601	1,417	19,520	-	**1,901,538**
Issued Bonds	459,018	397,269	2,203,134	-	**3,059,421**
Total liabilities	**19,872,194**	**13,396,500**	**2,639,281**	**-**	**35,907,975**
Net liquidity gap	**(2,738,754)**	**(11,122,042)**	**12,308,342**	**3,046,810**	**1,494,356**

The maturity profile of the assets and liabilities at 31 December 2021 based on the remaining period from the end of the reporting period to the contractual maturity date is as follows:

2022	Within 3 months AED'000	Over 3 months to 1 year AED'000	Over 1 year AED'000	No fixed maturity AED'000	Total AED'000
Assets					
Cash and balances with central banks	2,979,325	23,508	56,756	163,768	3,223,357
Deposits and balances due from banks	58,772	5,582	-	-	64,354
Loans and advances, net	5,140,205	1,718,362	14,455,480	-	21,314,047
Investments measured at fair value	172,947	-	-	313,808	486,755
Investments measured at amortised cost	4,346,907	487	3,133	720	4,351,247
Investment properties	-	-	-	1,091,543	1,091,543
Other intangibles	-	-	-	22,075	22,075
Assets acquired in settlement of debt	-	-	-	1,448,800	1,448,800
Other assets	957,706	168,098	144,823	-	1,270,627
Derivative assets held for risk management	9,083	-	-	-	9,083
Property and equipment	-	-	-	280,170	280,170
Total assets	**13,664,945**	**1,916,037**	**14,660,192**	**3,320,884**	**33,562,058**
Liabilities					
Customers' deposits	11,956,660	11,453,798	345,627	1,334	23,757,419
Deposits and balances due to banks	237,995	-	-	-	237,995
Repo-borrowing	750,000	-	-	-	750,000
Other liabilities	2,028,885	4,773	18,435	-	2,052,093
Issued Bonds	2,308,204	439,655	2,605,320	-	5,353,179
Total liabilities	**17,281,744**	**11,898,226**	**2,969,382**	**1,334**	**32,150,686**
Net liquidity gap	**(3,616,799)**	**(9,982,189)**	**11,690,810**	**3,319,550**	**1,411,372**

Market risk management

Market Risk is the risk that the fair value or future cash flows of the financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, and equity prices. The Group classifies exposures to market risk into trading, or non-trading /banking book.

a) Market risk - trading book

The Executive Committee has set limits for acceptable level of risks in managing the trading book. The Group maintains a well-diversified portfolio. In order to manage the market risk in the trading book, the Group carries a limited amount of market risk based on the policy preference and this is continuously monitored by Senior Management. The Group's trading book mainly comprises of equity instruments in companies listed on the U.A.E. exchanges. As such, the market risk in the trading book is limited to equity price risk. Equity price risk refers to the risk of an increase/ (decrease) in the fair values of equities in the Group's trading investment portfolio as a result of reasonable possible changes in levels of equity indices and the value of individual stocks. The effect on the Group's equity investments held in the trading book due to a reasonable possible change in U.A.E. equity indices, with all other variables held constant is as follows:

Market indices	31 December 2022 Change in equity price %	Effect on income AED'000	31 December 2021 Change in equity price %	Effect on income AED'000
	AED'000	AED'000	AED'000	AED'000
Global Stock markets	**+1%**	**1,544**	+1%	1,729
Global Stock markets	**-1%**	**(1,544)**	-1%	(1,729)

b) Market risk - non-trading or banking book

Market risk on non-trading or banking positions mainly arises from the interest rate, foreign currency exposures and equity price changes.

i) Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect the value of financial instruments. The Group is exposed to interest rate risk as a result of mismatches or gaps in the amounts of assets and liabilities. The Group uses simulation-modelling tools to periodically measure and monitor interest rate sensitivity. The results are monitored and analysed by the Senior Management. Since most of the Group's financial assets and liabilities are floating rate, deposits and loans generally re-price simultaneously providing a natural hedge, which reduces interest rate exposure. Moreover, the majority of the Group's assets and liabilities will be re-priced within one year or less, thereby further limiting interest rate risk.

The Group's interest sensitivity position, based on the contractual re-pricing or maturity dates, whichever dates are earlier as at 31 December 2022 was as follows:

	Weighted average effective rate	Within 3 months AED'000	Over 3 months to 1 year AED'000	Over 1 year AED'000	Non-interest sensitive AED'000	Total AED'000
Assets						
Cash and balances with central banks	4.28%	-	4,400	36,397	3,908,310	3,949,107
Deposits and balances due from banks	0.00%	110,214	-	-	3,683	113,897
Loans and advances, net	5.46%	12,042,980	458,439	9,054,958	66,890	21,623,267
Investments measured at fair value		-	-	-	434,308	434,308
Investments measured at amortised cost	1.74%	-	7,331,019	2,305	1,836	7,335,160
Investment properties		-	-	-	1,158,109	1,158,109
Other intangibles		-	-	-	22,055	22,055
Assets acquired in settlement of debt					1,227,821	1,227,821
Other assets		-	-	-	1,254,145	1,254,145
Derivative assets held for risk management					6,388	6,388
Property and equipment, net		-	-	-	278,074	278,074
Total assets		**12,153,194**	**7,793,858**	**9,093,660**	**8,361,619**	**37,402,331**
Liabilities and equity						
Customers' deposits	3.25%	11,405,626	13,298,334	416,627	160,544	25,281,131
Deposits and balances due to banks	4.75%	661,234	-	-	1,099	662,333
Repo-borrowing	4.84%	103,552	-	-	4,900,000	5,003,552
Other liabilities		-	-	-	1,901,538	1,901,538
Issued Bonds	3.53%	-	3,059,421	-	-	3,059,421
Equity		-	-	-	1,494,356	1,494,356
Total liabilities and equity		**12,170,412**	**16,357,755**	**416,627**	**8,457,537**	**37,402,331**
On statement of financial position gap		**(17,218)**	**(8,563,897)**	**8,677,033**	**(95,918)**	**-**
Cumulative interest rate sensitivity gap		**(17,218)**	**(8,581,115)**	**95,918**	**-**	**-**

The Group's interest sensitivity position, based on the contractual re-pricing or maturity dates, whichever dates are earlier as at 31 December 2021 was as follows:

	Weighted average effective rate	Within 3 months AED'000	Over 3 months to 1 year AED'000	Over 1 year AED'000	Non-interest sensitive AED'000	Total AED'000
Assets						
Cash and balances with central banks	0.29%	-	6,098	68,293	3,148,966	3,223,357
Deposits and balances due from banks	0.00%	52,792	5,582	-	5,980	64,354
Loans and advances, net	4.94%	13,078,432	6,964,625	1,211,313	59,677	21,314,047
Investments measured at fair value		-	-	-	486,755	486,755
Investments measured at amortised cost	1.99%	345	4,347,164	1,216	2,522	4,351,247
Investment properties		-	-	-	1,091,543	1,091,543
Other intangibles		-	-	-	22,075	22,075
Assets acquired in settlement of debt					1,448,800	1,448,800
Other assets		-	-	-	1,270,627	1,270,627
Derivative assets held for risk management					9,083	9,083
Property and equipment, net		-	-	-	280,170	280,170
Total assets		**13,131,569**	**11,323,469**	**1,280,822**	**7,826,198**	**33,562,058**
Liabilities and equity						
Customers' deposits	2.11%	11,354,963	11,827,736	345,627	229,093	23,757,419
Deposits and balances due to banks	0.41%	236,344	-	-	1,651	237,995
Repo-borrowing	0.65%	750,000	-	-	-	750,000
Other liabilities		-	-	-	2,052,093	2,052,093
Issued Bonds	3.56%	-	5,353,179	-	-	5,353,179
Equity		-	-	-	1,411,372	1,411,372
Total liabilities and equity		**12,341,307**	**17,180,915**	**345,627**	**3,694,209**	**33,562,058**
On statement of financial position gap		**790,262**	**(5,857,446)**	**935,195**	**4,131,989**	**-**
Cumulative interest rate sensitivity gap		**790,262**	**(5,067,184)**	**(4,131,989)**	**-**	

The effective interest rate (effective yield) of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument, excluding non-interest-bearing items. The rate is a historical rate for a fixed rate instrument carried at amortised cost and the current market rate for a floating rate instrument or for an instrument carried at fair value. The following table depicts the sensitivity to a reasonable possible change in interest rates, with other variables held constant, on the Group's consolidated statement of profit or loss or equity. The sensitivity of the income is the effect of the assumed changes in interest rates on the net interest income for one year, based on the floating rate non-trading financial assets and financial liabilities held as at 31 December 2022, including the effect of hedging instruments. The sensitivity of equity is calculated by revaluing the fixed rate, including the effect of any associated hedges as at 31 December 2022 for the effect of assumed changes in interest rates. The sensitivity of equity is analysed by maturity of the asset or swap. All the banking book exposures are monitored and analysed in currency concentrations and relevant sensitivities are disclosed in AED thousands.

2022 Currency	**Increase in basis**	**Sensitivity of interest income**	**Sensitivity of equity**
AED	**+200**	**(6,642)**	**(6,642)**
USD	**+200**	**(33,451)**	**(33,451)**
Others	**+200**	**(1,896)**	**(1,896)**
AED	**-200**	**6,642**	**6,642**
USD	**-200**	**33,451**	**33,451**
Others	**-200**	**1,896**	**1,896**

2022 Currency	Increase in basis	Sensitivity of interest income	Sensitivity of equity
AED	+200	(56,710)	(56,710)
USD	+200	(7,757)	(7,757)
Others	+200	(213)	(213)
AED	-200	56,710	56,710
USD	-200	7,757	7,757
Others	-200	213	213

ii) Currency risk

Currency risk represents the risk of change in the value of financial instruments due to changes in foreign exchange rates. The Board has set limits on positions by currencies, which are monitored daily, and hedging instruments are also used to ensure that positions are maintained within the limits. The Group's assets are typically funded in the same currency as that of the business transacted in order to eliminate foreign exchange exposure. However, in the normal course of business the Group provides foreign currency exposures to finance its client's activities. The Executive Committee sets the limits on the level of exposure by currency for both overnight and intra-day positions, which are closely monitored by Senior Management. As at 31 December 2022, the Group's net currency position was not material, and all the positions were within limits approved by the Executive Committee. As the UAE Dirham and other GCC currencies are currently pegged to the US Dollar, balances in US Dollars are not considered to represent significant currency risk. The table below shows the foreign currencies to which the Group has a significant exposure to:

	2022 AED'000 equivalent long (short)	2021 AED'000 equivalent long (short)
EURO	**(1,367)**	-
GBP	**(214)**	(460)
AUD	**-**	(6)
CHF	**(73)**	-

The analysis below calculates the effect of a possible movement of the currency rate against AED, with all other variables held constant, on the consolidated statement of profit or loss (due to the fair value of the currency sensitive non-trading monetary assets and liabilities) and equity (due to change in fair value of currency swaps and forward foreign exchange contracts used as cash flow hedges). A positive effect shows a potential increase in consolidated statement of profit or loss or equity; whereas a negative effect shows a potential decrease in consolidated statement of profit or loss or equity.

		(AED'000)	
Currency exposure as at 31 December 2022	**Change in currency rate in %**	**Change on net profit**	**Change on Equity**
EURO	**+5%**	**(68)**	**(68)**
EURO	**-5%**	**68**	**68**
GBP	**+5%**	**(11)**	**(11)**
GBP	**-5%**	**11**	**11**
CHF	**+5%**	**(4)**	**(4)**
CHF	**-5%**	**4**	**4**

	(AED'000)		
Currency exposure as at 31 December 2021	Change in currency rate in %	Change on net profit	Change on Equity
GBP	+5%	(23)	(23)
GBP	-5%	23	23

iii) Equity price risk

Equity price risk refers to the risk of a decrease in the fair value of equities in the Group's non-trading investment portfolio as a result of reasonable possible changes in levels of equity indices and the value of individual stocks. The effect on the Group's quoted equity investments held as financial assets at FVTOCI due to reasonable possible change in equity prices, with all other variables held constant is as follows:

	31 December 2022		31 December 2021	
Market indices	**Change in equity price %**	**Effect on equity AED'000**	Change in equity price %	Effect on equity AED'000
Global stock markets	**+1%**	**1,217**	+1%	1,403
Global stock markets	**-1%**	**(1,217)**	-1%	(1,403)

Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud, or external events. When controls fail to perform, operational risks can cause damage to reputation, and may have legal or regulatory implications, or lead to financial losses. The Group would not be able to eliminate all operational risks, but through a control framework and by monitoring and responding to potential risks, the Group could minimise the risks. Controls include effective segregation of duties, access, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit.

37. CAPITAL ADEQUACY AND CAPITAL MANAGEMENT

Capital management process

The Group's objectives when managing capital, which is a broader concept than the 'equity' in the consolidated statement of financial positions, are:

- To comply with the capital requirements set by the Central Bank of United Arab Emirates;
- To safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored on a regular basis by the Group's management, employing techniques based on the guidelines developed by the Basel Committee and the Central Bank of United Arab Emirates. The required information is filed with the authority on a quarterly basis. The Group assets are risk weighted as to their relative credit, market, and operational risk. Credit risk includes both on and off-balance sheet risks. Market risk is defined as the risk of losses in on and off-balance sheet positions arising from movements in market prices and includes profit rate risk, foreign exchange risk, equity exposure risk, and commodity risk. Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people or systems, or from external events. The Group's regulatory capital is analysed into two tiers:

- Common equity tier 1 (CET 1) capital, which includes ordinary share capital, legal reserve, general reserve and retained earnings; fair value reserves, after deductions for intangibles, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes under "CBUAE" guidelines.
- Tier 2 capital comprises of collective provision which shall not exceed 1.25% of total credit risk weighted assets.

The minimum capital adequacy requirements as set out by the Central Bank are as follows:

- Minimum common equity tier 1 (CET 1) ratio of 7% of risk weighted assets (RWAs).
- Minimum tier 1 ratio of 8.5% of RWAs.
- Total capital adequacy ratio of 10.5% of RWAs.

In addition to CET 1 ratio of 7% of RWAs, a capital conservation buffer (CCB) of 2.5% of RWAs shall be maintained in the form of CET 1. Further, counter cyclical buffer (CCyB) requirement shall be met by using CET 1. The level of CCyB to be notified by ‹the Central Bank›. There is no CCyB requirement during the current year. The Group has not complied with all the externally imposed capital requirements and has prepared the capital adequacy ratios excluding the hyperinflation impact and currency translation resulting from the Lebanese operations.

Basel III

The capital adequacy ratios are computed based on circulars issued by the Central Bank of UAE and based on a specific exception received from the Central Bank of the UAE considering high level of uncertainty facing the Lebanese financial situation as discussed in note 36. Following this specific exception, the computation of capital adequacy ratios of the Group excludes the hyperinflation impact on Lebanese operations and currency translation resulting from the Lebanese operations whereby the financial information of Lebanese operations is translated at the official exchange rate for the purpose of computing capital adequacy ratios.

	31 December 2022 AED'000 (audited)	31 December 2021 AED'000 (audited)
Capital base		
Common Equity Tier 1	**3,247,735**	2,920,471
Additional Tier 1 capital	**-**	-
Tier 1 capital	**3,247,735**	2,920,471
Tier 2 capital	**371,057**	356,602
Total capital base	**3,618,792**	3,277,073
Risk-weighted assets:	**29,684,588**	28,528,198
Credit risk	**336,096**	633,757
Market risk	**1,407,793**	1,197,702
Operational risk		
Total risk-weighted assets	**31,428,477**	30,359,657
Capital ratios		
	10.33%	9.62%
Common equity Tier 1 capital ratio	**10.33%**	9.62%
Tier 1 capital ratio	**11.51%**	10.79%

Had the Group included the hyperinflation impact and the currency translation resulting from the Lebanese operations after translating the financial information of Lebanese operations at sayrafa rate for the purpose of computing capital adequacy ratios, the common equity Tier 1, Tier 1 capital and total capital ratios would have dropped to 4.98%, 4.98% and 6.16% respectively (2021: 4.41%, 4.41% and 5.58% respectively).

38. FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as 'active' if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. if there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction. The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the difference, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out. The fair value of a financial liability with a demand feature (e.g. a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

- The fair value of financial assets and financial liabilities with standard terms and conditions and traded on active liquid markets is determined with reference to quoted market prices;
- The fair value of other financial assets and financial liabilities (excluding derivative instruments) is determined in accordance with generally accepted pricing models based on discounted cash flow analysis using prices from observable current market transactions and dealer quotes for similar instruments; and
- The fair value of derivative instruments is calculated using quoted prices. Where such prices are not available, use is made of discounted cash flow analysis using the applicable yield curve for the duration of the instruments for non-optional derivatives, and option pricing models for optional derivatives.

Investments held at fair value through profit and loss

Investments held for trading or designated at fair value through profit and loss represent investment securities that present the Group with opportunity for returns through dividend income, trading gains and capital appreciation. Including in these investments listed equity securities for which the fair values are based on quoted prices at close of business as of 31 December 2022, and unlisted bonds for which the fair values are derived from internal valuation performed based on generally accepted pricing models, all inputs used for the valuation are supposed by observable market prices or rates.

Unquoted investments held at fair value through other comprehensive income

The consolidated financial statements include holdings in unquoted securities amounting to AED 157 million (2021: AED 172 million) which are measured at fair value. Fair values are determined in accordance with generally accepted pricing models based on comparable ratios backed by discounted cash flow analysis depending on the investment and industry. The valuation model includes some assumptions that are not supported by observable market prices or rates.

For investments valued using comparable ratios, share prices of comparable companies represent significant inputs to the valuation model. If the share prices of the comparable companies were 5% higher/lower while all other variables were held constant, then the fair value of the securities would increase/decrease by AED 8 million (2021: AED 9 million). The impact of the change in fair valuation from previously existing carrying amounts have been recognised as a part of cumulative changes in fair value in equity.

Fair value of financial instruments carried at amortised cost

Except as detailed in the following table, the management considers that the carrying amounts of financial assets and financial liabilities measured at amortised cost in the consolidated financial statements approximate their fair values.

		2022		2021	
	Level	Carrying amount AED'000	Fair value AED'000	Carrying amount AED'000	Fair value AED'000
Financial assets					
- Investments measured at amortised cost	3	**7,335,160**	**7,377,598**	4,351,247	4,358,362
- Loans and advances	3	**21,623,267**	**21,623,267**	21,314,047	21,314,047
Financial liabilities					
- Customers' deposits	2	**25,281,131**	**25,281,131**	**23,757,419**	**23,757,419**
- Issued Bonds	2	**3,059,421**	**2,943,778**	**3,516,679**	**3,576,114**

The fair value for other financial assets measured at amortised cost is based on market prices.

Fair value measurements recognised in the consolidated statement of financial position

The following table provides an analysis of financial instruments that are measured at fair value. They are banked into levels 1 to 3 based on the degree to which the fair value is observable.

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices, including over-the-counter quoted prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

There were no transfers between Level 1 and Level 2 during the current year.

Market indices	**Level 1** AED'000	**Level 2** AED'000	Level 3 AED'000	Total AED'000
At 31 December 2022				
Other financial assets measured at fair value				
Investment measured at FVTPL				
Quoted equity	**154,367**	**-**	**-**	**154,367**
Investments measured at FVTOCI				
Quoted equity	**121,717**	**-**	**-**	**121,717**
Unquoted equity	**-**	**-**	**157,058**	**157,058**
Unquoted debt securities	**-**	**1,166**	**-**	**1,166**
Total	**276,084**	**1,166**	**157,058**	**434,308**
Other assets /liabilities				
Positive fair value of derivatives	**-**	**6,388**	**-**	**6,388**
Negative fair value of derivatives	**-**	**-**	**-**	**-**
At 31 December 2021				
Other financial assets measured at fair value				
Investment measured at FVTPL Quoted equity	172,948	-	-	172,948
Investments measured at FVTOCI				
Quoted equity	140,265	-	-	140,265
Unquoted equity	-	-	171,592	171,592
Unquoted debt securities	-	1,950	-	1,950
Total	313,213	1,950	171,592	486,755
Other financial liabilities measured at fair value				
Issued bonds measured at FVTPL				
Quoted debt securities	1,836,500	-	-	1,836,500
Other assets /liabilities				
Positive fair value of derivatives	-	9,083	-	9,083
Negative fair value of derivatives	-	(8,922)	-	(8,922)

Reconciliation of Level 3 fair value measurements of other financial assets measured at FVTOCI:

	2022 AED'000	2021 AED'000
Opening balance	**171,592**	175,042
Additions during the year	**-**	614
Reclassified during the year	**-**	(1,837)
Loss recognised in other comprehensive income	**(14,534)**	(2,227)
Closing balance	**157,058**	171,592

Unobservable inputs used in measuring fair value

The effect of unobservable input on fair value measurement

Although the Group believes that its estimates of fair value are appropriate, the use of different methodologies or assumptions could lead to different measurements of fair value. For fair value measurements in Level 3, 10% change in the underlying value of these investments would have the following effects.

	Effect on OCI	
31 December 2022	**Favourable +15,706**	**Unfavourable -15,706**

	Effect on OCI	
31 December 2021	Favourable +17,159	Unfavourable -17,159

Impact on fair value of level 3 financial instruments measured at fair value of changes to key assumptions

The impact on the fair value of level 3 instruments of using reasonably possible alternative assumptions by class of instrument is negligible.

Financial Instruments not recorded at fair value

The fair values of financial instruments not recorded at fair value includes cash and balances with Central Banks, due from banks and financial institutions, loans and advances, net, other assets (excluding prepayments), due to banks, customers' deposits and other liabilities that are categorised as level 2 based on market observable inputs. The fair values of financial instruments not recorded at fair value are not materially different to their carrying values. The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements.

Asset for which fair value approximates carrying value

For financial assets and financial liabilities that have short term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits and savings accounts without specific maturity.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest-bearing deposits is based on discounted cash flows using prevailing money market interest rates for debts with similar credit and maturity. For other variable rate instruments, an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

39. RECLASSIFICATION

During the year, management of the Group has conducted reclassifications of selected comparative items in the consolidated statement of profit or loss to conform current year's presentation. These reclassifications are as follows:

Consolidated statement of profit or loss as of 31 December 2021

	Line item as previously classified AED'000	Reclassifications to match current year's presentation AED'000	Line item as currently classified AED'000
Net (loss)/income on properties	(14,571)	88,306	73,735
Other income	90,071	(88,306)	1,765



PROPOSED CAPITAL INCREASE – STRATEGIC INVESTMENT BY THE GOVERNMENT OF SHARJAH REPRESENTED BY SHARJAH ASSET MANAGEMENT

May 4, 2023

SITUATION OVERVIEW

- Over the past three years, Bank of Sharjah's Equity position has been eroded from a presentation perspective due to the situation in Lebanon with regards to its wholly owned subsidiary Emirates Lebanon Bank.
  - As we have communicated with the market, this situation has led to the adoption by the Bank of IAS 21 and 29 accounting standards that have created confusion regarding the Bank's financial position.
  - The standards reflect the unprecedented socio-economic and geo-political challenges facing Lebanon, and the associated hyperinflationary environment and extreme currency instability.
  - The Bank's share price has been severely impacted by the application of these standards and the confusion it triggered in the minds of investors, especially in the absence of cash dividends.
  - International debt markets appear to have understood the situation, as evidenced by the Bank's ability to successfully raise USD $500 million bonds in March 2023.
- At current trading price levels – well below par – it would be extremely challenging for the Bank to raise new capital.
- Therefore, Bank of Sharjah's Board recently approached the Government of Sharjah to raise capital by way of a strategic investment via Sharjah Asset Management.
- His Highness the Ruler of Sharjah was favourable to this request, subject to the approval of CBUAE and SCA.
- Bank of Sharjah's Board of Directors approved the proposed transaction on April 6, 2023.
- Currently, Sharjah Asset Management is the Bank's largest shareholder, at 17.16% of shares outstanding.
- The proposed capital increase would be undertaken by issuing 800 million new shares to Sharjah Asset Management, at AED 1.00 par value, raising AED 800 million:
  - Total shares outstanding would increase from 2,200 million to 3,000 million.
  - Sharjah Asset Management's shareholding would increase to 39.25% of shares outstanding, with further subsequent market purchases to reach 40%.
- The Bank's Equity would increase, prior to the application of IAS 21 and 29, from AED 3,416 million to 4,216 million.

KEY BENEFITS OF THE PROPOSED TRANSACTION

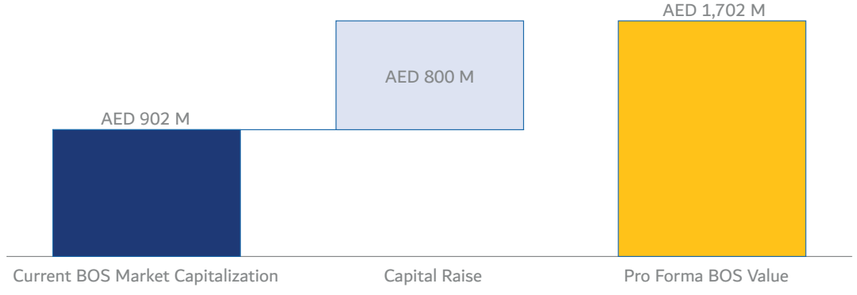
- Further solidify the strong relationship between the Bank and the Government of Sharjah.
- The ability to raise new capital at Par will immediately send a signal to the market that the Bank's shares are undervalued, and help re-set the share price.
  - Additional capital will allow for the Bank to undertake new lending initiatives in support of the UAE Economy.
  - The Bank has already secured an ample liquidity position following it's bond raise, and can now ensure a commensurately secure capital position.

- The Bank's capital position would be considerably propped up:
  - From a regulatory capital position, the Bank's Capital Adequacy Ratio would increase from 11.51% to 14.06%.
- As the Bank benefits from its improved Capital and Liquidity positions, it will be able to better benefit from the current interest rate environment.
- All these factors form concrete steps required to swiftly reinstate the Bank's dividend program.
- The proposed injection will increase the Bank's Capital by 36% - this represents an ongoing positive impact to the Bank and all of its shareholders, as all will benefit from the increased stability and financial position.

AMPLE VALUE CREATION OFFSETS DILUTION CONCERNS FOR EXISTING SHAREHOLDERS

- Other existing shareholders' ownership stakes in the Bank will be diluted by the proposed transaction, by a factor of 26.67%, however they will benefit from the upside of their effective stakes in the AED 800 million raised at a share price of AED 1.00, which more than offsets such dilution.
  - For illustrative purposes, the stake of a shareholder currently holding 1% of the Bank's shares, i.e. owning 22,000,000 shares, amounts to 9.02 million at the current market price of AED 0.41 per share.
  - Following the capital increase, the shareholder would own 22,000,000 shares out of 3 billion outstanding, i.e., 0.733%.
  - The Illustrative Value Creation is shown below. It does not take into consideration any positive market price reaction.

AMPLE VALUE CREATION OFFSETS DILUTION CONCERNS FOR EXISTING SHAREHOLDERS (ILLUSTRATIVE SCENARIO)



Impact of the Capital Increase on the Bank's Equity

in AED '000s

BEFORE IAS 21 & IAS 29

	Before transferring the -ve FV reserve of OTL to RE	OTL transfer of negative FV reserve to RE	After transferring the negative FV reserve of OTL to RE	Proposed transfer from contingency reserve to RE	Proposed increase of share capital by Sharjah Asset Management	After transferring from contingency reserve to RE
Share capital	2,200,000	-	2,200,000	-	800,000	3,000,000
Statutory reserve	1,050,000	-	1,050,000	-	-	1,050,000
Contingency reserve	640,000	-	640,000	(640,000)	-	-
General & impairment (IFRS 9)	147,624	-	147,624	-	-	147,624
Investment fair value reserve	(705,374)	601,362	(104,012)	-	-	(104,012)
Retained earnings	81,145	(601,362)	(520,217)	640,000	-	119,783
	3,413,395	-	3,413,395	-	800,000	4,213,395
Non-controlling interest	3,053	-	3,053	-	-	3,053
Total equity	3,416,448	-	3,416,448	-	800,000	4,216,448

AFTER IAS 21 & IAS 29 (@15,000/38,000 LBP/USD)

	Before transferring the -ve FV reserve of OTL to RE	OTL transfer of negative FV reserve to RE	After transferring the negative FV reserve of OTL to RE	Proposed transfer from contingency reserve to RE	Proposed increase of share capital by Sharjah Asset Management	After transferring from contingency reserve to RE
Share capital	2,200,000	-	2,200,000	-	800,000	3,000,000
Statutory reserve	1,050,000	-	1,050,000	-	-	1,050,000
Contingency reserve	640,000	-	640,000	(640,000)	-	-
General & impairment (IFRS 9)	147,624	-	147,624	-	-	147,624
Currency translation reserve	4,040,829	-	4,040,829	-	-	4,040,829
Investment fair value reserve	(708,370)	601,362	(105,008)	-	-	(105,008)
Retained earnings	(4,968,102)	(601,362)	(5,569,464)	640,000	-	(4,929,464)
	2,403,781	-	2,403,781	-	800,000	3,203,781
Non-controlling interest	3,053	-	3,053	-	-	3,053
Total equity	2,406,834	-	2,406,834	-	800,000	3,206,834